Shree Cement Ltd. (SHREECEM)

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Sub: - Transcript of the Conference call for the Audited Financial Results for the Quarter and Year ended 31st March, 2023

Dear Sirs,

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (LODR) Regulations, 2015, the transcript of the Conference Call held on 23rd May, 2023 relating to the Q4 FY23 financial results is enclosed .

Kindly take the same on record.

Thanking you,

For SHREE CEMENT LIMITED

(S.S. KHANDELWAL)
COMPANY SECRETARY

“Shree Cement Limited
Q4 FY202 3 & FY 2023 Earnings Conference Call”

May 23, 202 3

ANALYST : MR. NAVIN SAHADEO - ICICI SECURITIES LIMITED

MANAGEMENT : SHRI NEERAJ AKHOURY – MANAGING DIRECTOR
– SHREE CEMENT LIMITED
SHRI SUBHASH JAJOO – CHIEF FINANC E OFFICER –
SHREE CEMENT LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to Shree Cement Q4 FY202 3 and FY2023 earnings call hosted by ICICI Securities. As a reminder all participant lines will be in the listen -only m ode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this confere nce is being recorded. I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities . Thank you and over to you Sir!
Navin Sahadeo : Thank you. Good morning everyone. O n behalf of ICICI Securities , I welcome you all to the Q 4 FY202 3 earnings call of Shree Cement Limited . From the management we have with us Managing Director Mr. Neeraj Akhoury and CFO Mr. Subhash Jajoo . Without any further ado I hand over the call to Mr. Akhoury for his opening comments. Over to you Sir!
Neeraj Akhoury : Thank you Navin. Good afternoon ladies and gentlem en. I welcome you to the earning s call of Shree Cement Limited for the quarter and year ending March 31, 2023. Navin I hope I am very clear and audible.
Navin Sahadeo : Absolutely clear Sir. Go ahead.
Neeraj Akhoury : So 2022 -2023 was an exciting year for Bangur and Shree Cement . On one hand we were able to record about 15% healthy volume growth but we also started a new journey of remaining the green est cement company in India . We are very happy to say that we currentl y have 55% of green power share in our process, which to my mind is highest not only in India but also in the globe and we are also making significant investment in the plant with advanced technologies to improve our fuel flexibility including ability to r each higher numbers of alternate fuel and at the same time we are also testing new logistics models including testing of EV vehicles. At the same time at Shree we are executing systematic interventions to explore full potential of our company covering a range of subjects like commissioning of advanced digital solutio ns or updating our I T platforms, enhancing our manufacturing excellence, building our logistics capabilities, as well as working on ro ute to market with enhanced product of ferings .
As you know now we have redesigned our organization and we have a very strong marketing team which is separate from sales as well as commissioned the technical services team which will allow us to bring products with sharper value propositions in the market and pos itively impact not only the volume but

also the price performance. We have recently launched internal campaign "We Lead" and this campaign is to make sure that Shree remains the leader in manufacturing and logistics performance and this program is performing well and we expect that it should start giving results in the coming quarters.

 We have started recovering our performance in Q4 2023 with softening of fuel prices, but also due to start of execution phase of several planned initiatives to mitigate the hea dwind of cost. To focus on the quarterly performance , the company was able to achieve realization improvement of 2% while driving the sales volume growth up to 9 million tonnes in the quarter as against 8 million tonnes in the same quarter last year, which is equal to about 10% growth. The capacity utilization had also increased strongly from 71% to 78% during the same period and this is largely because of very healthy demand shoots that we are observing across the country from infrastructure, housing segme nt both rural and urban as well as commercial real estate . The realization increased by 2% , EBITDA is down by about 2% at Rs.892 Crores against Rs.911 Crores in March 2022. EBITDA per tonne has stood at Rs.1011 as against Rs.1134 last year.
On sequential basis volumes were up by as I said by about 10% and realization has

remained flat during the quarter ; however, absolute EBITDA increased from Rs.708 Crores in December 2022 to Rs. 892 Crores led by operational efficiencies and volume gains . EBITDA per ton ne sequentially has increased from Rs.881 per tonne to Rs.1011 per tonne. For full year, our sale s volumes increased from 27.7 million tonnes in 2021 -2022 to a level of 31.8 million tonne in 2022 -2023 , where capacity utilization for the year was at 70% as compared to 64% in the preceding year. The realization was up by about 3% . Despite increase in sales and sales realization , EBITDA excluding other income decreased from Rs.3648 Crores to Rs.2942 Crores which is roughly about 19% decline largely because of significant and unprecedented increase in fuel cost as well as raw material costs like fly ash and slag. The impact was mitigated to some extent due to higher consumption of alternate fuel and import of fuel from newer market s. With fuel prices declining since Q3 of 2022 -2023 combined with execution of several planned initiatives, profitability started moving up thereafter.

The company continues to focus on sustainability initiatives as I said the share of green power consumption in total power during th e quarter stood at 55% against 50% in the corresponding quarter of the previous year. We have completed commissioning of 122 MW of solar and wind power plant s in different states during the year. As a result , total green power generation capacity has incre ased to 386 MW at the close of 2022 -2023. Another 93 MW green power capacity would be added this year and next year. The company remains committed to continuously increase i ts share of green power.

We are also st epping up our efforts to increase use of ag ricultural, industrial, municipal waste to improve our thermal substitution rate. Th e company has invested in state-of-art facilities for handling and feeding such waste materials which will help significantly in helping our AFR performance. We are very ha ppy to state that we have fully stopped using

 coal or pet coke as fossil fuel in all of our grinding units. We are able to achieve TSR of 4.35% last quarter. We expect to increase it to about 15% by the end of this year.

I am also very happy to share with all of you that under the National Mission for Enhanced Energy Efficiency Shree Cement has been recognized as top performer designated consumer in cement sector for achieving maximum energy savings under PAT Cycle II. As a result of multiple i

nitiatives taken to bring down i ts carbon footprints , the company has been able to reduce its carbon emission by 3% to 513 kg of CO2 per tonne of cement equivalent in 2022 -2023.

On the mar keting side, the company is continuing its efforts towards fulfilling v arious nee ds of its customers with premium offerings and better customer servicing. A new vertical of technical services have been creat ed to support our sales team. The team has well defined KPIs of visiting the construction site s and educating customers regarding products and its applications. We have initiated the process of strengthening our brand equity by engaging with experts and advisors for our future strategy. Due to these efforts we were able to increase the share of a premium product sale against total c ement trade sales from 6.6% in March quarter last year to about 7.5% in the last quarter 2023.

We are also working on various initiatives o n digitalization front . Very shortly we would go live with our customer relationship management, CRM software which helps in real time integration of dealers, retailers, institutional influencers with the company . This would support field sales force with live relevant marketing feedback. Logistics control tower system and transport ers app is also in the process o f setup to enable management of logistic cycle from order -to-pay, end-to-end shipping visibility is now a reality for Shree Cement through our GPS tracking in almost all trucks.

We are also migrating from Oracle to SAP S4 HANA based ERP to adopt more advanced and simplified workflow and process es. In manufacturing operations we have implemented Plant Data Management System which is called P DMS to capture data from IOT sensors and generate automatic KPI reports and alerts to bring overall efficiency in the operati on. We are also digitizing our HR operation by implementing state -of-art tool called Darwinbox .

On the expansion plan I am happy to say that we are working now very strongly to achieve our goal to reach beyond 80 million tonne capacity in the upcoming yea rs. The 3 million tonne East India Puru lia grinding unit will be commissioned very shortly by June, 2023. Work on 3.5 million tonnes project at Nawalgarh Rajasthan unit should be commis sioned by Q3 of this year and then our Andhra project , Guntur project i s also progressing well and should be commis sioned early next year.

 On the demand front we expect demand to maintain its healthy momentum in FY2024. The demand growth is expected to be majorly led by government thrust on infra spending before the Lok Sab ha elections in 2024. Infrastructure segment as a result of 24% enhanced outlay in budgeted spending of central government on key infra sectors shall be the main demand driver. New projects and capacity expansion plans announced by the players in capital intensive sector such as steel , start of work in PLI led project and data center s are likely to contribute to increase in demand in both industrial and commercial segments. Demand from housing segment shall also remain strong on expect ation of normal monso on and continuation of healthy prices for farm produce along with government thrust to schemes like Pradhan Mantri Awa s Yojana. Industry margins are expected to improve in this year because of softening of the fuel prices as well as the declining of the cr ude oil prices. All in all in my view FY2024 is expected to be a favorable year for the cement industry. With this I w ill now open the floor for the Q&A. Thank you very much everybody.

Moderator: Thank you very much. We will now begin the question -and-answ er session. The first question is from the line of Sumangal Nevatia from Kotak Securities . Please go ahead.

Sumangal Nevatia : Good morning and thank you for the opportunity. The first question is on the fuel cost. If you cou

ld just share some details as to what was the cost in Q4 and how do we see coal , petcoke procurement and consumption happening on the next t wo quarter s?

Subhash Jajoo : The current fuel cost has come down s ignificantly, but because of the large inventory which we were carrying the impact of the same is not right now visible in our last quarter results. In fact in March 2023 the per C V cost of fuel was same as compared to what it was in December around 2.53 ; however, t he current prices of petcoke has come down to almost 1.80. The benefit of the same will be visible in the coming one or two quarter s, most probably for the June quarter you will see the fuel cost declining to around Rs.2.30 to Rs.2.40 and then over next quarter it is going to come down. On a full year basis our cost was Rs.2.62 in 2022 -2023 as compared to 1.69 in 2021 -2022.

Sumangal Nevatia : Understood and Jajoo Sir in the mix if you can just share is it fully petco ke or also you are using thermal coal ?

Subhash Jajoo : In March quarter we have used almost 76% p etcoke and remainin g was the other coal and alternative fuel as compared to 50% use d in the last year.

Sumangal Nevatia : Got it.

 Subhash Jajoo : One point of time, thermal coal prices were cheaper as compared to petcoke but now gradually in the last 3 -4 months petcoke has become cheaper, so we are continuously increasing the use of petcoke.

Sumangal Nevatia : Got it.

Subhash Jajoo : Currently on a CV basis petcoke is around 1.80 whereas thermal coal is around Rs.2.

Sumangal Nevatia : Noted Sir thank you. Sir my second question is more with respect to strategy on inorganic growth ambition in the past decade we have seen that we hardly participated in any deals and we clearly prefer to build assets given our superior project execution capability . We now read over that we are evaluat ing with various opportunities in the market , is there any change in thought process , approach strategy over the next 5 to 10 years, the way we want to grow our business to a 80 and 100 million tonnes over the next 5 to 10 years?

Neeraj Akhoury : When we ar e growing of course on organic rou te we have enough plans to reach beyond 80 million tonnes. As far as inorganic is concerned it depends on the strategic fit but also on the value creation potential of the target based on that we take some dec isions. I would like to reemphasize that Shree is very open to such opportunities but the opportunit ies should add value to us at the same time should be part of the strateg ic effect in terms of the market, so we are not against acquisition as has been said by some pe ople even today morning I get the same information. We are very open to merger & acquisition, but it should be positive for our business as well .

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies . Please go ahead.

Prateek Kumar : Good morning sir. My first question is on your premiumization of your product mix, while you highlighted in your opening remarks but there have been in our efforts for taking up this kind of product mix where Shree end up by FY2024 and how much it can contribute to your incremental realization on a per tonne basis?

Neeraj Akhoury : Last year same quarter it has been roughly about 6% to 6.5% of premium products. Last quarter of this year we have been able to increase it to 7.5%. The journey has st arted where we are bringing up some new products . Just about 2 days back or 3 days back we launched a new product in our coastal market s of Odisha by the brand name of Rockstrong . We are also working with our R&D as well as manufacturing to come up with so me enhanced products which has sharper value proposition. With the current brand that we have in the market we expect to grow up to about 15% of s hare in the premium segment by end of this year. I

would rather say the journey has started . We are building a brand equity . We are
 making strong corrections in our brand architecture and this will all help us to communicate the value that we bring to the customers in a stronger way . So my first-year ambition is to reach about 15% and thereafter we will chart the ways of how to grow it further. As far as I think , my view would be , at the current level of pricing , this 15% would give us about Rs.50 /- per ton advantage in our EBITDA.

Prateek Kumar : Understand the strategy or the product mix of cement pricing . Is it different across regions or we have like similar mix of cement product s?

Neeraj Akhoury : In my view cement is a very local product and so each market, each districts needs to have its own unique strategy of products and product position ing and this is exa ctly what we are doing. Each market has its own needs. For example when I just mentioned about coastal Odisha, coastal O disha is known for its weather and is known for its very harsh weather. These are specific type of concrete to have durable structures a nd that is what our focus has been. Similarly if you go for a coastal market because there are separate challenges so as I said each district has its own approach. We are defining it district -by-district but overall I see a space for two to four premium br ands in the market as we look forward.

Prateek Kumar : Thank you. Another question is on what was the loss of volumes due to the IT incident happened over the last week of the quarter and was that volume recovered in first quarter of 2024?

Neeraj Akhoury : No. there was no volume impact because of the IT incident. We have a very strong business continuity process in the company and the moment it was reported that there is an IT incident very quickly the BCP process took over and therefore there has not been a ny impact because of this on business performance.

Moderator: Thank you Mr. Kumar request you to join the queue for any followups. The next question is from the line of Shyam Sundar Sriram from Franklin Templeton . Please go ahead.

Shyam Sundar Sriram : Hi sir. Good morning. Thanks for the opportunity. Hope I am audible.

Moderator : Yes you are audible. Please go ahead.

Shyam Sundar Sriram : We are seeing utilization s improving over the last few quarters from a two -year perspective .Can you please highlight the pecking order of our strategic priorities such as say market share gains, product mix improvement, EBITDA improvement, what would be your pecking order of strategic priorit ies. Would be great to hear that , just adding to that we are also seeing the cost curve shifting down led by fossil fuel prices just like Jajoo Ji just
 highlighted in the prior question . Will we look to share some of that surplus to deepen our market presence or will we retain that within the company to improve the profitability ?

Neeraj Ak houry : So let me try to understand the question first, so first is the strategic priorities.

Shyam Sundar Sriram : More importantly your p ecking order how you think of it ?

Neeraj Akhoury : I suppose to think of all the same pecking order, which is not that one is better than other, but let me see if I can answer a part of it. First thing is as we said that the Shree Cement is very clear on our objective to become the greenest cement company in the country and this is the top priority for us, which is good for environment, good for business and therefore it is something that we would like to pursue big as we have been pursuing in the last two years. The second priority is to make sure that from the current operations we are able to extract more value for our sh areholders . This will come in two fronts one is by having a better look at the offering that we are making in the market , our product off

erings and how can we price it better in some cases . What can we do in terms of meeting the exact and precise customer expectations . This is something that we are doing and we believe this is a journey by its elf. It takes some time before we reach there . We have mentioned to you that we have recently partnered with McCann, one of the worlds very known advertising agency group to make sure that our brand stories are told w ell in the market. This is the other priority that we have not second but other priority . Third is to make sure that Shree is able to maintain its momentum of capacity growth . We a re known for this in last several years and this is so mething that we are firmly on ground . We have a very strong team that is pursuing this and we believe that in the coming years we should be reaching 80 mill ion tonnes through our organic efforts in different parts of the countr y, wh ich by the way will truly make u s a Pan India company. These are the three big topics for us but the fourth topic that is going to be is the platform on which we will construct all these initiatives . This is what I call the very modern organization, o rganization with advance d IT tools like SAP S/4 HANA , organization with advanced digital tools, one we are doing in CR M, in logistics or in the manufacturing and that is the way we are setting up our objectives for the coming year. W hat I am saying is also applicable to other support functions and they are all working around these priorities to make sure that as a company we succeed in the coming years.

Shyam Sundar Sriram : Understood Sir that was clear and the other point I was trying to understand is give n the cost curve shifting down, will we look to share some of the surplus to deepen our market presence or will we try to retain that within the company as we also have growth ambitions going forward?

 Neeraj Akhoury : So I do not think we are going to play a role by which we destroy our price line in order to reach the volume target. Our objecti ve strategy is very clear. We have to reach a volume level by which our utilization level is at least that of avera ge industry that is number one, but by doing so we are extremely conscious that our role is to make sure that the price line does not get eroded. We are able to strenghten it by pushing more premium products and that is the strategy we are going to play.

Shyam Sundar Sriram : Understood Sir. Thank you very much Sir. One last question if I may ask is there aspirational EBITDA per tonne that we would like to reach in the medium term for Shree Cement?

Neeraj Akhoury : So we have been leaders in EBITDA per tonne in the industry if you look at the grey cement I t hink I used to believe that even today we should not be in anyway a company which is giving an inferior set of numbers on our core business . With the new capacity additions, with in crease in premium products, with making sure that we are able to work on manufacturing and logistics excellence we believe we should be able to crea te some additional room for adding to the EBITDA per tonne performance in the company and that is the way for us moving forward.

Shyam Sundar Sriram : Thank you very much. I will fa ll back in the queue.

Moderator: Thank you. The next question is from Kunal Khudania from DSP Asset Managers . Please go ahead.

Kunal Khudania : My question is on the debt front like although you have explained in terms of the capacity expansion so how do you s ee your debt levels panning out in the near to medium term or is it that your internal accruals would be sufficient to take care of the capex requirement?

Subhash Jajoo : Kunal currently we have a net cash of around Rs.5700 Cr as of March ending and we believe despite our aggressive capital expenditure program everything will be through internal accruals . We do not foresee to take any

further debt in the book . In fact the cash in the book is sufficient to take care of our needs in the coming few years.

Kunal Khudania : Understood sir that was my question. Thanks.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Good morning. Thank you for the opportunity. I have two questions. First on the inorganic optionality that you are exploring earlier I believe the thought that used to be that you

 would not look beyond $80 per tonne kind of valuation for an asset, so given that most transactions in the market for integrated plant are happening abo ve $100 so how the thought change or you still looking at the $80?

Neeraj Akhoury : The value of any acquisition target is based on the quality of the asset, quality of business that we are acquiring. It is not right to give one number for any business, it depends on which market that asset is , what are the operational numbers, what are the limestone reserve for example, so it is not right to give one number for it, each asset is evaluated based on the specific set of financials that we get and clearly the i dea would be how to make sure that by acquiring that asset we are making our business from and that is how it could be done.

Amit Murarka : But you are not benchmarking yourself to that $80 number or something I think which used to..

Neeraj Akhoury : Each opportunity has to be evaluated based on the specifics that it brings on the table and so $80 per tonne is one number, but a sset quality would largely determine what kind of valuations we give .

Amit Murarka : The next question is on UAE, so you have invested another Rs.525 Crores in UAE so what was this amount for and then how much more is planned to be spend in that asset in the

coming year s?
Subhash Jajoo : No we have not done any further investments in UAE . In fact the other investment s which you are seeing is in our other subsidiary company like Shree Cement East where we are setting up our Purulia grinding unit. For UAE we are not doing any expenditure right now.
Amit Murarka : It is my mistake and I thought that in the consol idated it is showing up and it i s showing up as an investment in subsidiary .
Subhash Jajoo : That figure is for expenditure done in own subsidiaries and the major part is for the Purulia grinding unit which we are setting up in Shree Cement East.
Amit Murarka : Got it Sir. There is no furt her investment plan in UAE as of now right ?
Subhash Jajoo : No as of now apart from certain efficiency improvement expenditure, there is no major investment as such.
Amit Murarka : Could you detail out your capex plan for FY2024 ?
Subhash Jajoo : In the curre nt year we will be spending something close to Rs.3300 to Rs.3500 Crores .
 Moderator: Thank you Mr. Murarka request you to join the queue for followu p. The nex t question is from the line of Satyadeep Jain from Ambit Capital . Please go ahead.
Satyadeep Jain : Thank you for the opportunity . Couple of question s. First one is on volume and capacity tied up followup to Sh yam's question in a way you are indicating that you want to bridge the gap on utilization between S hree Cement and industry utilization and given Shree cement is also adding capacity in the next year how much growth can we lo ok at from next year I think earlier in the media interviews and all if I am not mistaken we heard of 36 million ton in FY2024 . Does it still hold and in the release you mentio ned beyond 80 million ton nes versus a target of 80 million tonnes by FY203 0 so beyond 80 million tons would be by FY2030 are you looking at even beyond 80 million tons before FY2030 and after these expansions which one will be of Nawalgarh and all these pr ojects commission what could be the pecking order for

projects for you beyond this project and then second one would be on the branding strategy ?
Neeraj Akhoury : What was the last line I am sorry , I did not get it, last li ne please.
Satyadeep Jain : Second question would be on branding strategy .
Neeraj Akhoury : So as we said 80 million tonnes is a very well stated objective which our Chairman has already communicated to all of you in the last year as well. For this detailed plan site-by-site is there we are progressing on each of the sites, separate stage s of development somewhere the land acquisition is over , we ar e going for EC, in some cases EC has been done , and in some cases we are progressing with the land acquisition . So after Nawalgarh we expect to ha ve four or five projects . It depends on the date by which we get the clearance from the government as well as other regulatory authorities and as and when we get the clearance we will be starting those projects and you will hear it from us every time when we start a project . We have sufficient limestone to go from current to 80 million tonnes which will be mix of Brownfield and Greenfield expansion projects.
Satyadeep Jain : On the volume growth for this year for FY2023?
Neeraj Akhoury : Volumes are as we sai d we should be reaching about 36 odd million tonnes this is what we have kept which means th e growth are about 13% for us , which is slightly ahead of the market estimate . The market growth that we are expecting is in the range of 7% to 8% . So we are sligh tly ahead of that growth largely because we are adding new capacities .
Satyadeep Jain : Thank you . Second question is on the branding strategy you t ouched upon premium products in the Rockstrong premium product in O disha. When you look at the northern regio n and the northern category A products also in addition to the premium category is
 there some thought on the strategy specifically on the northern region . How would you look at improving the utilization s there , is it largely going to be introduction of new premium products or may be brand repositioning or introduction of new products and category A specifically in that category premium product s have also been lot of players are chasing that market . How is the initial reception been in that premium category , are you seeing a lot of competition in that particular market and in north and overall the premium depth and positioning ?
Neeraj Akhoury : In my view and in our view there is a segment of customers who are looking for products with sharper value propositio n be it in soaps, be it in cars , or be it cement and that is the customer group that we have identified and we have studied their requirements, their needs, both stated and nonstated and therefore the products that are being designed and introduced in north India are in two stages . One we have two existing premium category brands in the market Roofon and B angur Power, both of them today are in a position in line with the A

group pricing, but beyond this we are looking at what else we can do to certainly communicate this big message, SASTA NAHI SABSE ACHA , with the product that has more sharper value proposition and when I say value proposition you might think we can talk in terms of cement that are designed for high performance areas for example in 30 and 40 and 50 grades of concrete . These are the kind of products that we are now launching and hopefully we should see one brand at least in north India which will be launched in this year in addition to Bangur Power and Roofon .

Satyadeep Jain : Thank you so much .

Moderator: Thank you. The next question is from the line of Rashi Chopra from Citigroup . Please go ahead.

Rashi Chopra : Thank you . What I am trying to understand is better on a sequential basis our realization s were flattish, the power costs were flattis h, with the trends that we are seein

g and how do we kind of allocate that between the remaining cost as well as the sale of power?

Subhash Jajoo : Yes Rashi you are correct the realization s were more or less flat, there was very marginal increase if you wou ld compare it from the December numbers and yes fuel cost also did not move up in fact December quarter the fuel cost was around 2.53 on a per CV basis and it remains the same more or less in this quarter that is particularly because of some high-cost inventory which we are carrying . We believe some part of it is going to come in this quarter .We should see some moderation in fuel cost to around Rs.2.35 in the current quarter .

 Rashi Chopra : Good and then on the cement realization post the quarter had there been significant change or realization the kind of flattish?

Subhash Jajoo : No, in fact you are talking about December and March ?

Rashi Chopra : Current. Post the quarter.

Subhash Jajoo : No, the realization has slightly come down I would say as compared to l ast quarter.

Rashi Chopra : Just last bookkeeping questions . What were lead distance and trade sales in the quarter?

Subhash Jajoo : Trade sale was around 80 % and lead distance was 463 kilometers as compared to 473 last year and 450 kilometers in December qu arter.

Rashi Chopra : Yes.

Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Sec urities . Please go ahead.

Rajesh Ravi : Good morning and my questions first pertains to the Union Cement performance , could you share what was the volume nu mbers and profitability for that unit in FY2023 and what is the outlook ?

Subhash Jajoo : Can you just repeat the question once again .

Rajesh Ravi : The Union Cement , how is that unit performed in FY2023 and what is the outlook , volume and margin ?

Subhash Jajoo : No, unfortunately we will not be able to share details of any of our subsidiary individually . We can only give an outlook . The last year ’s performance was not very good and the primary reason was because the main export market Sri Lanka and B angladesh has just collapsed . Even the domestic prices were not that good last year and that is why the performance was not up-to-mark . But we expect some recovery in the current year .

Rajesh Ravi : Great and given that now Purulia will be set up under the subsidiary structure so the standalone number would appear slightly distorted so can we have the consolidated numbers for cement volumes for FY2023 and FY2022 ?

Subhash Jajoo : No that maybe from next year onwards we will think about but right now I will not be able to share the details individually for any subsidiary. Purulia wil l only start functioning from second quarter.

 Rajesh Ravi : Correct and clinker how much was the production number for FY2023?

Subhash Jajoo : What?

Rajesh Ravi : Clinker production in FY2023 full year standalone .

Subhash Jajoo : It is around 20.2 million .

Rajesh Ravi : Just because of the external power sales the sequential numbers , because you are not reporting it separately , the realization numbers appear volatile . Is there a way to men tion that in the press release as because it distorts both the topline realization as well as the energy cost numbers ?

Subhash Jajoo : I got your point but right now our polic y is that we will not be able to share the power details . We will think about it a nd maybe from next quarter we will find out a way how to give you .

Rajesh Ravi : Sure at least cement number , when you mention , which is area of analysis so that will help us and last question on the total capex on the ongoing projects how much is spending in terms of which you will be spending you mentioned that Rs.3300 Crores to Rs.3400 Crores on ongoing projects in FY2024 so what would be balance amount that would be left for FY202 5 primarily to o

ur Guntur ?
Subhash Jajoo : Yes as we told you like we have a lready spent around 3300 Crores last year , current year we should also expect similar sort of spending . This includes the amount for Guntur , Nawalgarh . Purulia is now more or less complete so there is no major amount left but this Rs.3300 Crores also inclu des some of the new projects which we will be announcing in the coming quarters .
Moderator: Thank you Mr. Ravi may I request you to join the queue for any followup as we have several participants waiting for their turn . The nex t question is from the line o f Nitin Arora from Axis Mutual Fund . Please go ahead.
Nitin Arora : Sir my question was similar to the previous participant . Jajoo Ji the thing is if you can help us quantify the profitability p er tonne of cement because when this thousand is not a represent able number . Is it possible to state that in the cement what was the EBITDA per tonne because it looks like a power has a decent number in this quarter ?
 Subhash Jajoo : Currently we will not be able to share because we were not allowed to share our po wer number separately, but I appreciate your point , maybe from next time onwards we will find a way out to clarify it .
Nitin Arora : Second thing I am sorry for asking you a short -term question the improvement in the fuel cost what you talked about we will see it from the next quarter and I am assuming this number is not correct in terms of cement EBITDA per tonne which you reported in this quarter . Can you help us at least in the direction what the benefit you are looking , is it like Rs.30, Rs.40 per ton or is it like Rs.100, Rs.150 per ton from the fuel cost because I do not have a base number to see the improvement if you can answer that that is my only question ?
Subhash Jajoo : It will be too early to guess that number how much that power cost will be. In terms of calorific value it will come down to around Rs .2.35 fr om the existing Rs.2.50.
Nitin Arora : Got it. T his is helpful . Thank you so much .
Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs . Please go ahead.
Pulkit Patni : Thank you for taking my question. Sir first is in continuation with Nitin's question . Historically we have always seen that we have carried low inventory so changes in fuel price typically has come to us the fastest whether it is on the way up or wa y down , this time around we see that you have built a bigger inventory . Any reason for why this change in strategy ?
Subhash Jajoo : Whenever you are thinking about stocking up a commodity you have to take a view on the future prices . Now looking at the vola tility in coal prices which was say around a year back which was quoting at around $300 now come down to 200, then 175. We thought probably this was a good level and it should not go down below this. But prices kept on coming down further and now currentl y the prices are almost (the last shipment which we bought) at around $115, $120 per tonne . So the way the prices are coming down , we thought that probably it has come down a lot and that is why we have built in higher inventory . But it is a matter of time before that higher cost inventory goes down and again we will see the average rate of fuel coming down to these levels .
Pulkit Patni : Fair point . I completely understand . Second question is for N eeraj. Shree is already one of the most efficient in terms o f the cost structures you spoke about premiumization as one of the ways to take profitability up any other way , any sort of cost angle where you think there is more scope to improve efficiency or improve profitability that you can talk about or our
 focus s hould primarily be on premiumization or brand upgrade whichever way you look at it?
Neeraj Akhoury : As the way I

would s ee as any other company , we will operate on various levers and I am very confident about it that any organization has similar arguments to improve our performance whichever lever you use, be that manufacturing, be that logistics, be that sales or marketing . These are areas where we do believe there is scope of improving our performance. As I said while we have reached very high number of 55% of green power still we are evaluating where else we can up this capacity, green power that will help us reduce our power cost and similarly there are many other areas within manufacturing, within logistics where we find that there is a scope to improve performance and that is what we are working on . So it is not only premiumization , premiumization is just one part of the journey. There are other le vers which we are working simultaneously and I hope given the fact that there are proven opportunities, no low hanging fruits , but proven opportunities . We should see some events happening in the coming quarters.

Pulkit Patni : Sure. Thank you .

Moderator: Thank you. The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers . Please go ahead.

Kamlesh Bagmar : Sir just one on the volume guidance which we are targeting around 36 odd million tonnes it is around utilization of 78 % odd and given the fact that b arring like say 3 million tonnes at Pune we have not commissioned much of the capacity . So our capacities are underutilized and it has been there for the last two odd years . So we do not have that great utilization numbers on the capacity like our peers like UltraTech. The way they are pushing volumes and not at the cost of lower margins they ar e doing phenomenal work, so why we are lagging on that part despite the fact that Shree has been the pioneer in terms of pushing volumes ?

Neeraj Akhoury : I am sure and this is exactly what I was saying that some of the things that Shree has been known for which Shree's reputation was build and one of them was building capacities more than the industry growth . So that is something that Shree has done very well and therefore has been able to multifold improve our capacities in the last several years . Having said that 12 % to 13 % growth of volumes in a year is by no means low , it is a very high number given the fact that industry growth in the same period is around 7% to 8% . So it is not a less ambitious target . It is a very ambitious t arget I would say . But as I said our challenge would not only be to push this volumes by about 13 % but also make sure that we reach our stated objectives of 15 % of our premium products . So it is going to be lot of hard

 work now for us from now till year end to make sure that we ar e able to reach such ambitions .

Kamlesh Bagmar : Secondly like I know you have given the clarification on the part of not telling about the individual numbers or separate numbers for the power business but like at least we can give some trend like how we ha ve performed as compared to with the peers like internally we would be doing analysis on that part because there has been so much of volatility in the power in a quarter we went down to like say 50 Crores EBITDA loss on that and then we moved to 100 Crores profit on that so at least let us say how much we have seen on the actual or the pure EBITDA business in the cement ?

Subhash Jajoo : We appreciate your point and internally we have all the numbers . But then you also please try to understand that power con stitutes , if you look at it from an overall perspective , power constitutes hardly 3% or 4% of our total revenue so it is not that material and that is why our Board decided against sharing power numbers separately. E arlier we used to give power data separa tely but then looking at the overall things and materiality which is hardly 3% to 4%, the Board decided that hence

forth we should discontinue giving power separately and same not to be treated as a segment . So that is why it is not possible to share the n umbers but we really appreciate your concern and maybe we will try from next quarter how to address it. W e will internally discuss and then try to see how we can sort this out .

Moderator: Thank you Mr. Bagmar request you to join the queue for followup. The next question is from the line of Navin Sahadeo from ICICI Securities . Please go ahead.

Navin Sahadeo : Thank you for this. Sir just one question from my side because from as you said in O disha we launched a premium product, also we get from the market fee dback is that in north per se we are looking at launching or recently launched an OPC 53 grade kind of a high strength high quality kind of a product so with focus of on premiumization wherein the product itself is not a push product it is a pull product w hich also has a higher cost to it same time the influencers or the channel partners have to be slightly rewarded more to recommend that product so in general the cost is a little high against that we also have a volume target which is much superior than th e industry . So how does this trade -off works, how do you think this trade -off will be in favor of rising cost and also the volume that we are looking at from a margin perspective ? Thanks .

Neeraj Akhoury : The way I look a t it, the market in India is clearly not one market , we have at least three types of market . One market is what we call in automobile terms a Mercedes S -Class market , we also have a E -class market and a B class market, and we also have something in India which is a very important segment now growing very fast and very big segment which is the B2B business . They are non-trade segment of the business . So for each of these segments we have a specific market size and what our thin king is that Shree should be present i n just not one market segment but multiple market segments so that we can participate in each of these market sizes . So it is not like pushing premium means that you will not be able to achieve overall volume growth because premium products are going to compete in a totally different segment and that segment if I do not se rve somebody else will serve that segment right . So it is not due to the belie f that if you are having a premium segment th en overall volumes will be constrained, in fact to remind you a multi -segmented approach to market will only add to our capacity o f further achieving volume numbers , this is how I see.

Navin Sahadeo : Appreciate Sir. Great.

Moderator: Thank you. The next question is from Shouvik Chakraborty from Dolat Capital . Please go ahead.

Shouvik Chakraborty : Thank you for the opportunity Sir. Sir I just wanted to know can you share th e cement realization for this quarter and also for the year-on-year the last quarter also ?

Subhash Jajoo : Realization for the current quarter is aroun d 4850 it was similar to that in December and in March last year it was around 4743 and for full year the realization will be for the current year it is around 4872 as compared to 4732 last year .

Shouvik Chakraborty : Got it Sir. Thank you that was my question .

Moderator: Thank you. The next question is followup qu estion from the line of Sumangal Nevatia from Kotak Securities . Please go ahead.

Sumangal Nevatia : Sir my questions are answered . Thank you .

Moderator: Thank you. The next question is from Amit Murarka from Axis Capital . Follow up question Please go ahead.

Amit Murarka : Thank you for the opportunity again , so I just wanted to check what is the region wise capacity utilization in Q4 and FY2023?

Subhash Jajoo : The capacity utilization in Q4 was around 78 % as compared to 71 % in Mar ch 2022, it was 72% in the December quarter and for full year last year it was 64

% and for a full year fiscal year 23 it is around 70 % . We are continuously increasing the capacity utilization.

Amit Murarka : I was just checking for like if you could give i t region wise let us say for north , east and South like I think you used to share it earlier .

 Subhash Jajoo : In north we are operating at around 80%, east we are operating at around 82% and south, as the new unit Pune has come up , so the utilization is sl ightly down , at around 65 %.

Amit Murarka : Understood and on the TSR expansion to 15 % target like does it also involve some capex and setting up some units at the plants ?

Neeraj Akhoury : Yes exactly what I said that we are setting up state-of-art facilities in our plant for fee ding AFR which is a major challenge in our industry or how do you feed in . In the calciner or the kiln part which has different moisture levels , different chemistry be it in agricultural AFR or be it in the municipal AFR, be it in the industrial AFR . Right. So that is why we are setting up this feeding system so that we are able to feed to the maximum extent possible in the cement plant . So there will be some capex involved and we started last year itself to create those facilities .

Mod erator: Thank you. Ladies and gentlem en that would be our last question for today. I would now like to hand the conference over to Mr. Navin Sahadeo for closing comments. Thank you and over to you !

Navin Sahadeo : Thank you . On behalf of ICICI Securities I once again thank the management and all the participants on the call . Akhoury Sir if you have any closing comment s please take that and we will conclude the c all. T hank you .

Neeraj Akhoury : Again on behalf of the management of Shree and everybody present t oday in the call we would like to really thank all our investors, all our shareholder groups who have come here today . It is encouraging when you all ask question s, when you ask some deep probing questions, it is frustrating when we are not able to answer any of those questions but we will come back next time more prepared , better prepared . Overall Shree is on the right path , right direction . Our assurance to all of you that the performance Shree is known for will be continued , the team that Shree is known for will continue , the deliverable position Shree is known for will continue. We will reach those targets that we spoke about. T hank you very much everybody for participating today.

Moderator: Thank you. Ladies and gentlemen on behalf of ICICI Securities t hat concludes this conference . Thank you all for joining us. Y ou may now dis connect your lines .

level of accuracy.

Call: Aug 2023

SCL/BWR/SE/20 23-24/
1st August, 2023

National Stock Exchange of India Limited,
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Bandra – Kurla Complex, Bandra (East)
MUMBAI – 400 051

SCRIP CODE: SHREECEM EQ Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
MUMBAI – 400 023

SCRIP CODE 500387

Sub: - Transcript of the Conference call for the unaudited Financial Results for the Quarter ended 30th June , 2023
Dear Sirs,

Pursuant to Regulation 30 read with Part A of Schedule III of SEBI (LODR) Regulations, 2015, the transcript of the Conference Call held on 27
th July, 2023 relating to the Unaudited Standalone and
Consolidated Financial Results of the Company for the quarter ended June 30, 2023 is enclosed .
Kindly take the same on record.
Thanking you,
For SHREE CEMENT LIMITED
(S.S. KHANDELWAL)
COMPANY SECRETARY

“Shree Cement Q1 FY2024 Earnings Conference Call”

July 27, 2023

MANAGEMENT : M R. NEERAJ AKHOURY – MANAGING DIRECTOR ,
SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER ,
SHREE CEMENT LIMITED
MODERATOR : M R. NAVIN SAHADEO – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Shree Cement Q1 FY2024 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Navin Sahadeo from ICICI Securities.
Thank you and over to you, sir.
Navin Sahadeo: Good morning, everyone. On be half of ICICI Securities, I welc ome you all to the Q1 FY2024
Earnings Call of Shree Cement. From the management, we have with us Managing Director –
Mr. Neeraj Akhoury and CFO – Mr. Subhash Jajoo on the call.
Without any further delay, I hand over the call to the Management for their opening comments,
followed by interactive Q&A. Over to you Akhoury ji.
Neeraj Akhoury: Thank you, Navin, and good morning, everyone, and thank you for joining this call. I welcome
all of you to the Earnings Call of Shree Cement for the Quarter Ending June 2023.
To begin with, I think Q1 was a challenging quarter for Shree not for the operational
performance, but for some other reasons. The Income Tax Department conducted a
surveyoperation at few of the Company's location from June 21
st till June 26th. During the survey,
the income tax officials were extremely cordial with all our employees and would also like to
highlight that in this survey no mobile, laptop or computer were seized or scanned. The Company has extended its fullest cooperation to the Income Tax Department and we have supplied all the
information that has been desired by them. We would like to reiterate on this platform that Shree
is a tax compliant Company and has never been charged any penal interest or penalized by the
Income Tax Department since its inception.
The Company has also received a notice from the Ministry of Corporate Affairs ordering
inspection under Section 206(5) of the Companies Act. 2013. We will be complying with the
directions given As the matters are still in enquiry stage, we would not be able to share further
details and my requ est would be to respect th is position of ours today.
We are happy to share that during the last quarter, we successfully commissioned the trial
production of our clinker grinding unit at Purulia, West Bengal in line with the timeline committed by us. With commencement of this unit total cement capacity has reached almost like
50 million tons 49.9 to be precise.
The current macroeconomic environment in the country, combined with government focus is
supporting growth for the cement sector. Accordingly, we are accelerating our growth plan to

ensure that we seize the opportunity to the maximum. The board meeting held yesterday has
approved an additional capacity addition program involvin g total CAPEX of roughly Rs.7000
crores. In this phase, we will be adding about 3.65 million tons of clinker at Pali in Rajasthan
along with cement capacity of about 6 million tons in Pali as well as in Etah, a district of Uttar
Pradesh. In addition to that, we will be adding another 3.65 million tons at Kodla in Karnataka
and cement capacity of 6 million tons in both Kodla and Bangalore. With this we should be very
close to a 68 million tons capacity at an India level. Both th ese plants are extr emely modern and
designed on world class technologies. For exampl e, both will have the Waste Heat Recovery
based power plant attached to them.
Very happy to inform all of you that the Company is also planning to diversify into ready-mix
concrete business and we have already constituted an organizat ion for ready-mix business as
well as plan to set up five unit

s of ready-mix, in this year. Also, would like to inform that the
work at the existing project location is going on very well. The Nawalgarh integrated unit is nearing completion now and we should be able to see its commissioning as per schedule in
quarter 3 of this year. Guntur is also progressing strongly. The commissioning target of Q2 2024-2025 will be complied with. We are very much on track to reach our ambitious goals of taking
our capacity beyond 80 million tons in the coming years and aggressively charting out action plans to implement the same. Many locations are being continuously surveyed.
We are in the process of now finalizing our next phase of growth beyond 68 million tons that
has already been announced. We shared with you, during the last call, that Shree has started a
new journey of remaining the greenest and technology most advanced cement Company. Company is continuously investing in renewables in order to increase the share of green power.
The same increased from 46% last year to about 56% during Q1 2023-2024. I believe this was
not only highest in the industry, but most probably even globally. We would be adding
significant capacity of green power in the next 12 months, which would further increase this percentage. The Company's focus on decarbonization remains solid. We have been able to
reduce our Scope 1 emission to 50 2 kg per of CO_2 per ton of cementitious material representing
reduction of around 4% compared to last year. The Company is also steadily increasing the usage
of alternate fuels with an aim to take our Company at an average of 15% of thermal substitution

levels.
Work is also progressing strongly on the technology side with our CRM app Udaan already undergoing trials. The migration from Oracle to ERP business with SAP HANA is also as per schedule. We are deploying various advanced digital solutions for enhancing our manufacturing, logistics and sales capabilities.
On the operational front, Q1 is again a healthy quarter with sales growing by about 19% from 7.5 million tons to 8.9 million tons. Utilization levels, very happy to share, has also moved close to 80%, now 79% to be precise. Despite robust demand, industry was not able to increase the price realization. The same decreased by 4% on YoY basis. Fuel cost of course is a rainbow. We

had seen about 12% reduction of fuel cost in this quarter compared to last year. The softening of fuel prices coupled with increased volumes and higher use of alternate fuels led to EBITDA increasing by 14% from Rs.819 crores last year to Rs.933 crores in the quarter ending June 2023.
EBITDA per ton is more or less stable is standing at about 1046 per ton as against 1092 last year.
On a sequential basis, sa les were almost plateaued at 8.9 milli on tons in the last quarter against 8.8 million tons in the Quarter 4 of last year. The realizations were down 2% during this period, total EBITDA increased from Rs.892 cores to Rs.9 33 crores due to decline in fuel prices. With the current Petcoke prices at around 1.80 per CV, we expect the downward trend to continue unless some untoward incident happens globally.
Given the overall buoyancy in the economy and government strong focus on infrastructure and housing, cement demand is expected to remain very strong. Higher spending by central government ahead of the general elections in 2024, along with good rainfall leading to healthy price for farm production, is expected to boost cement demand, which we expect to be in double digits for the financial year.
With this I would now open the floor for Q&A. Thank you very much for supporting us in the last quarter.
Moderator: Thank you very much, ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Shyam Sundar Sriram from Franklin Templeton. Please go ahead.
Shyam S Sriram: Hi, good morning. Thanks for taking my q

uestion. Very strong volume performance.
Congratulations on that for the entire team, sir. My first question is on the CAPEX announcement. Even in our annual report, we had spoken about reaching the target 80 million
earlier than FY30 and the latest announcements are on those lines. What has changed in industry or the competitive landscape that we are accelerating our CAPEX plans and therefore do we now
revise our FY30 aspirations upwards, how do we think of that?
Neeraj Akhoury: A large part of acceleration of our CAPEX is due to a very strong cement demand evolution that
we see not only in this year but in the years to come. We see that India has not only started strongly investing in infrastructure but also in housing and also there is resurgence of CAPEX
by different industries and commercial building. So, we are a little more optimistic now on the
demand evolution in the next few years and that is giving us confidence that we should be able to accelerate and pre-pone some of the CAPEX programs that we have announced earlier.
Shyam S Sriram: Understood, sir. So therefore, does that also move up our FY30 aspirations?
Neeraj Akhoury: At this moment, as we have said we will go beyond 80 million tons and as I said, we continue to identify various locations, various places where we should be going. For example, there are

certain markets where, we would be going like Uttar Pradesh. So that's how we see it. Currently
the aspiration will be to reach beyond 80 million tons in due course of time with the more visibility on how the demand has moved. We will of course revise our target but India is a
growing country and cement demand is also growing. So, I think 80 million tons is only the first stop. We will, once we reach there, again review our situation and accordingly plan for growth.
Shyam S Sriram: So, the next phase of growth will be more in the central region, UP in that region and the west as well that we are seeing now from the Gulbarga side, that is how we should think about it, sir?
Neeraj Akhoury: No, we should be looking at west as well, which includes Gujarat market, for example. We
should be also be looking at some of the locations in central zone including Madhya Pradesh. As we said, we are already going to be building a plant in Bangalore. So, Shree will continue to
become a PAN India player with presence across regions and that is how we are charting our plans.
Shyam S Sriram: Sir, just one question on this, our latest announcement, the Pali and Etah are quite far off in that sense from a freight cost perspective. This would be because, Pali would be a Greenfield, I

would presume and the reason for that is because of the deposits available in Pali for further expansion, sir?
Neeraj Akhoury: Yes, absolutely. So, Rajasthan re main country's one of the major centers for limestone. So, for any clinker requirement we will need to look at those space where we have limestone. As we have the limestone in Rajasthan. Etah despite the distance is a very attractive market and sourcing clinker from Pali, it should be able to give a good realization for us.
Shyam S Sriram: Sir, the other point, our utilization levels have been nicely going up over the last few quarters. You have also spoken about it as one of the key strategic priorities for us. If you can share some regional flavor as in which regions, we have gained share, some perspective would greatly help understand the evolution of our business per se.
Neeraj Akhoury: So, the improvement has been seen across India. It would be wrong to say this is region-specific.. Having said, the utilization in east, we are almost nearing to full utilizat ion level now. Right! we moved from 66% last year same quarter to 92% now. In north also we have moved closer to 80% and in south we have moved closer to 68% to70%. So, as you see it is a kind of movement across India. The growth is across I

ndia.
Shyam S Sriram: Wonderful, sir. Thank you for that, sir. Just one housekeeping question. Our purchase of stock in trade has sharply increased sequentially. Did we resort to buying some finished cement to aid the demand, or is there something else? And if you can also help with the cement revenues alone for this quarter, thank you.

Subhash Jajoo: Sriram ji, the purchase stock in trade has increased because one coal shipment, which we have procured has been sold in normal course and that is why you are seeing that figure. The same amount is also included on the revenue side.
Shyam S Sriram: Thank you, sir. And the cement revenues alone for the quarter. Thank you.
Subhash Jajoo: Yes, the, cement revenue, I can give you a ballpark figure. It is 4771 for this quarter as against 4989 for last year.
Shyam S Sriram: Thank you, sir. Thank you very much. Best wishes, Sir. I will call back in the queue.
Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi, thanks for the opportunity. So, my question is on the expansion. So, while you have mentioned the units of 3.65 million tons each, is it like 10,000 TPD or could you Specify how much TPD is that?
Neeraj Akhoury: Yes, it is 10,000 TPD.
Amit Murarka: Okay 365 factor is taken for the 3.65.
Neeraj Akhoury: Yes.
Amit Murarka: Okay and also like, is there any incentive tied to any of these units, any of these four grinding units under clinker unit?
Neeraj Akhoury: So, we are approaching the government. At this moment, we are not able to confirm it, but I am sure once we have an agreement with the governments be in Rajasthan or be in UP or be in other states, we should be able to give the details.
Amit Murarka: And also, I was just wondering in South like? The Guntur expansion which you did like had only 1.5 million tons clinker for 3 million grinding . And here also in this unit you have like 6 million tons grinding for let's sa y 3.5 million in clinker usually sout h what we understand is like a lower blending market like 1.3x to maybe at best 1.4x. So how do you think you will manage this 1.75x blending based on this expansion? Or is there some further clinker, that is supposed to come on this.
Neeraj Akhoury: So, the South plants will get clinker of course from Guntur, but we also have plans to bring clinker from other units and be able to utilize the grinding capacity to the fullest.
Amit Murarka: So, is the understanding that the blending in these plants would be 1.3-1.4x in line with market?
Neeraj Akhoury: Yes, 1.4 looks to be reasonable. Yes, you can make that assumption, yes.

Amit Murarka: Ok and also like any of these units coming in subsidiaries like how the Purulia unit is?
Neeraj Akhoury: I beg your pardon, repeat your question again.
Amit Murarka: Like the Purulia grinding in West Bengal isin th e subsidiary, any of thes e units will also come in subsidiary or are they are all in standalone.
Subhash Jajoo: No, all the units we have just declared are all coming in the main Company except the grinding units that may come up in one of our subsidiaries. Grinding units at Bangalore and Etah that might come up in the subsidiary remaining all clinkerisation units are going to come up in the main Company.
Amit Murarka: Ok and just lastly on RMC, like you are getting into RMC after a long time now, so what is the

strategy here like generally where we have seen Ultratech has been very aggressive in the RMC business. We anyways have established players like ACC, Novoco? So, would you be like fighting with these guys or would be getting more share from the unorganized market? What's the strategy here?

Neeraj Akhoury: I think, it would be more to go into for the high-performance concrete, but also in what we call the mass market concrete. It is not rig

ht for me to say whom I should be fighting with. There is enough market room for everybody to grow in ready-mix market, especially in the urban towns of India. But with the high-performance concrete, of course, there are not many suppliers and therefore the competition is somewh at limited in that segment.

Amit Murarka: Ok understood, sir, I will come back in the queue.

Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: There is a couple of questions, First, on the strategy in the last few months, the strategy had been to raise market share, raise utilization levels, the Company is now adding almost 20 million tons capacity from FY23 to FY25. Given this large capacity increase, would the intent remain the same to increase utilization levels compared to historical levels, even if let's say the demand scenario was not to play out as we have seen in this year, would the Company continue to look at market share gain as a strategy or increase utilization?

Neeraj Akhoury: The market share is a resultant of the capacity shares of various players right and their ability to supply to those places where there is a demand acceleration, that's sort of. So, I think on supply chain and distribution Shree is quite strong. We have those muscles including the long relationships with many of these partners, be it tr ansporters, or be it dealers and distributors. So, what we expect is more of a stable market share strategy but with somewhat increase due to new capacity additions that Shree has announced including Nawalgarh in north or Purulia in east or

Guntur in south. So that's how I see it. It is no t going to disturb the market, but at the same time the capacity share to market share ratio will be maintained.

Satyadeep Jain: Secondly, on the expansion in the regions we are looking at, starting with Bangalore, any thought from Gulbarga? Usually, the national market is maybe Maharashtra, but you are looking going 600 kilometers south to Bangalore. What is the strategy behind looking at some of these markets in Madhya Pradesh? Also, it had historically been a challenge for Shree Cement in Satna. So, what is the strategy now that you talking about in Madhya Pradesh also how do you plan to expand in that particular market?

Neeraj Akhoury: The strategy is based on our set of assumptions of which local market is positioned to grow at what pace. For example, we believe Bangalore as a market is still growing and it will continue to grow very fast in the in the coming years and coming decades. Due to the fact that many investments around Bangalore will be coming in th e coming year, we also look at the historical trends of those markets. What we also see is our competitive advantage in terms of delivered cost and where and what is our position in terms of delivery cost given the specific location wherever such things are found favorable is what we select. As for our growth footprints, so be it Bangalore or be it Gujarat or be it MP tomorr ow. It is all based on a well-structured strategy which takes us closer to the market, closer to the high consumption centers, but also those continuing centers which have reasonable rationale that they will also grow in the long term.

Satyadeep Jain: For Madhya Pradesh there is no asset position Shree has, I believe right now. Would that be through inorganic that you are looking at for Madhya Pradesh?

Neeraj Akhoury: No, not at all. Currently our scope of discussion is mostly around organic growth plans that we have and through our organic growth plan, we believe we can reach this beyond 80 million tons ambition.

Moderator: Thank you. The next question is from the line of Pinakin Parekh from JP Morgan. Please go ahead .

Pinakin Parekh: Thank you very much, Sir. Sir my first question is, can you give us a sense of the CAPEX that was announced? Wh

ere are we in terms of the particular modules, equipment ordering, power plant ordering has already everything been achieved? Or it will be done over the coming months?

Neeraj Akhoury: Just after this call, I will be signing orders for the equipment supply. So, we are well positioned. All the formalities, including ev aluations and engineering has be en done so by tomorrow you should be seeing that we are well on the way to start ordering of the equipment.

Pinakin Parekh: Sir, my second question is so far when the results seen in, we had seen very different volume growth trajectory from different companies. So, regarding Shree's volume growth of 19% seen in this quarter, can you give us some color of the regional volume, was it higher in one particular

region and within that can you also give us a sense of pricing, which markets have seen pricing
corrections in the month of July and the outlook for the same over the coming months?
Neeraj Akhoury: So, as I said in that the first question also, Shree's growth has been more or less consistent across
regions. When I look at north or east or South, we have grown in all these places in double digits,
in higher double digits. North it is closer to 12%-14% growth, whereas in east with our growing
footprints, we have been able to grow a little higher than 25%. South also is closer to 20%, so
overall, 19 percent is equally distributed among the entire India and it is not focused on one specific location.
Pinakin Parekh: Sir, last question from my side, very strong volume growth. The industry demand is very good,
but the pricing has been weak. Now all the large players are bringing on new capacity and
ramping up new capacity and we had one of your peers last week comment, that they lost market share in eastern India and they want to focus on regaining volumes and market share. In this
industry background, how does Shree look at the trade-off between prices and volumes? Would
it feed market share in order to keep pricing or would does it want to gain market share or at
least grow faster than the industry, even if it comes at the cost of pricing.
Neeraj Akhoury: No, I think Shree has so far followed a very rational and logical approach. Pricing and volumes
both need to be balanced very well. It is wrong to say price over volume or volume over price, this is not the strategy. This is not what we are doing. What we are doing indeed is and as I said
in the last call as well, is now really focusing on the special products of our Company. What we
are doing is, is to make sure that Shree's presence is not only in one segment or one price
segment, but also in other price segments and that is something that we are executing strongly.
Our premium products as we said in this 19% growth, our much higher share has also come from premium products. The growth has been quite strong in the premium product segment of Shree.
So that is the strategy that we are following. We fully respect this thought that for the sake of
volumes, we should not sacrifice prices and that is what we will continue to follow.
Pinakin Parekh: Understood thank you very much for this color.
Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hi sir, thanks for the opportunity. Sir my first question is pertaining to how do we look water as
a commodity specifically given the expansion announcement at Pali, what is the source of water
and how do we take a call, say 25-30 years of pl ant life. So that is the first question, sir.
Neeraj Akhoury: We may not be able to give you full details and I am very happy to write to you separately, but
Pali, has a confirmed useful source of water as well and that is what we have been using in our
other units. So, water source but more specific answer to this is something that I would need
some time to give it to you. My green colleagues are

not with me. I am sure they should be able
to respond to this very quickly.

Ritesh Shah: Sure sir. I will circle back on this variable. Si r, second is I missed out on the point on incentives.
I think somebody did ask for the incremental announcements. Do we have incentives from the
state government? Has it already been locked in?
Neeraj Akhoury: No, not as yet, this is what I said that we are under discussion with the different state
governments and very soon we should be able to agree on the incentives if at all they are available in those states.
Ritesh Shah: Sir, third is last book keeping question, would it be possible for you to give the coal mix, coke
and thermal coal for FY2023 and FY2022? I think these disclosures were there in the annual
report before, but now at least we could not locate it.
Subhash Jajoo: Yes, the coal mix for the current quarter is around 81 percent pet coke and balance is alternative
fuel. Whereas last year it was around 60% pet coke, 30% coal and balance alternative fuel.
Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go
ahead.
Rajesh Ravi: Thanks for taking the questions. First question is, when you say the non-cement revenues, it
seems we exclude the incentives and other operating income which we generally club along for
comparison with other cement companies and as I see for last year, FY2023, your merchant
power sales have more than doubled to Rs.800 crore and have grown considerably over the last 2-3 years. So how should we look at this, because in this quarter when you are saying 4771, this
is just the cement revenues, should you not be clubbing the incentives and other operating income and just exclude the power revenues?
Subhash Jajoo: Yes, for looking at the cement revenue, obviously those things have to be excluded but right
now we will not be in a position to give you th e power revenues separate ly. However, more or
less it is uniformly spread across all quarters for last year,
Rajesh Ravi: So last year the power sales number have doubled, so how do we look at it because we generally
want to exclude only the power revenues when we are talking about cement, because others are
part of your ongoing cement business, other operating income, incentives and all, so that is one.
And second, could you talk on in terms of two questions, first is incentives for the current ongoing expansion, Purulia,

Rajasthan and the Andhr a plan, what sort of incentive structures are
there in place for these three plants which are about to get commissioned?
Subhash Jajoo: No, we will not be able to share the incentive structure for the existing plants, which are still not yet being commissioned. But yes, because once the commissioning starts then only, we will be able to share the details, and for the power revenue, it will be difficult for us right now to give it separately, but yes, we are in discussion with our management and as we get a go ahead, we will give further guidance or maybe give you the revenue separately, so that it is better for you to understand the results.

Neeraj Akhoury: We fully understand this question gentleman and we are making somewhat changes in the way we present our figures. So, from next quarter you will see a little better levels of transparency, so that such questions are avoided.
Rajesh Ravi: Great, sir and also, we see that now your Purulia will be in a subsidiary an d even two more grinding units will come up in a subsidiary structure and because they will all be sizable from the Company perspective, should we not talk of consolidated volume numbers to make a more rational analysis Q2 onwards?
Subhash Jajoo: Yes, we appreciate your point and we will defin itely take it into consideration. Till now the consolidated numbers are not that materially diffe rent an

d that is why the focus was only on the standalone. But going forward more and more grinding units comes under the subsidiary. Then we should start talking on the basis of consolidated.
Rajesh Ravi: Okay and sir, you talked about the coal mix. Could you give us the per kilo coal costing in this quarter and how did they fare versus Q4 and what is the status in Q2?
Subhash Jajoo: Yes, in the current quarter, the coal cost per CV cost was around 2.37 as compared to 2.56 in the March quarter and last year it was 2.64. The current cost is around 1.80-1.85. So going forward, we will see the benefit of this lower cost in the coming quarters also.
Rajesh Ravi: So, this is your blended cost. 2.37 which you me ntioned or it is just the thermal coal costing?
Subhash Jajoo: It is the fuel cost only, pet coke cost.
Rajesh Ravi: Okay pet coke which is 80%-81% in this quarter. Okay and sir you are 55%-56% on green power, so just wanted to understand what is the average cost of your green power?
Neeraj Akhoury: Around 45Paisa.
Rajesh Ravi: Okay so all is from WHR?
Subhash Jajoo: It is a mix of WHR, solar as well as wind.
Rajesh Ravi: Okay. No, I just wanted to understand, is it like on the total basis that you are incurring 40-50 paisa type of electricity cost on this?
Subhash Jajoo: On this total of green power, yes.
Rajesh Ravi: Okay great, Sir. Thank you. I will come back in queue.
Moderator: Thank you. The next question is from the line of Jasdeep Singh from Nomura. Please go ahead.

Jasdeep Singh: Sir, I want you to understand that this quarter Shree Cement has reported strong realization growth 3% up sequentially whereas other peers are reporting 4% decline. I wanted to understand whether this is just because you have a better product mix and a higher trade sale or there has something structurally changed with the realization policy and can we expect such strong growth in the year going ahead?
Subhash Jajoo: I think you have joined late because at the beginning of the call only we have clarified that the realizations are down by 4% as compared to last year and 2% as compared to last quarter.
Jasdeep Singh: Okay sir, I might have mistaken and secondly on the capacity, sir. What sort of internal IRR we building for the brownfield Kodla and greenfiel d Pali project and how much WHRs will be in these plants.
Subhash Jajoo: WHR capacities are yet to be worked out, but both the units will be coming up with WHR and but more or less it will be around 40 to 50 megawa tts, something like that.
Neeraj Akhoury: About 45 megawatts combined is what we see on this. On the project financials, we will come back to you. We are not carrying that paper now. Yes, you asked a question on the IRR, right.
Jasdeep Singh: Yes, sir and I will get back to you on offline la ter. And lastly, sir, I wanted to understand Mr. Ashok Bhandari has joined as senior advisor. So , what sort of role will he be playing in the management? Just wanted to get clarity on that, sir.
Neeraj Akhoury: Mr. Bhandari has been a very old associate, a very old colleague in Shree. Why we had bought him is as we now go from a Company with very modern technologies, including SAP HANA, there are topics on which his expertise will be of help, including the topics around CAPEX funding, on topics around developing with our existing CFO and account heads on the accounting norms and principles. So, there are many topics on which we are working together, as I said just now that we will come up with a better format for your presentation from next quarter when we will be able to give you different segments growth analysis from power or from

cement. So, all this is where Mr. Bhandari’s expertise will be important to us and that's why we
have bought him as a senior advisor.
Jasdeep Singh: Thank you, sir. Thank you so much. If I ha ve other questions will join the queue.
Moderator: Tha

nk you. The next question is from the line of Hrishikesh Chandrakant Bhagat from Kotak
AMC. Please go ahead.
Hrishikesh B: Good morning. Thank you for the opportunity. So last few calls, we spoke about the journey on
brand consolidation. So, if you can help us understand where are we on that? And second question is how we think on the movement to trade side, the journey, what kind of investments
do we envisage say probably when I meant investment, did not be CAPEX front but broadly on

probably ANP or to some extent technical staff to a ground staff on that front. How much do we
envisage over the next 2-3 years? Thank you.
Neeraj Akhoury: As I said in my last call as well, Shree’s futu re journey is how to beco me a multi-segment player
in India. This when I say multi-segment it is to ma ke sure that you are able to bring sharper value
proposition products for each requirement and each needs in the markets. That is where I said
about special products and that our focus on special products continues. In fact, last quarter, we
have seen healthy growth of special products in our Company. This is not being done without
any effort. Our strong force of about little more than 500 people have b een put in the field now,
which will be working on how can we help our consumers in construction which we call
technical services. This force going across market s, meeting influencers, meeting end-users, the
consumers and other actors in our markets to make sure that Shr ee equity and prod uct quality is
well recognized and accepted and if there are any room for improvement that is where we also
improve. So, all in all, a lot of efforts are going on to create a stronger brand equity for the Company and for the products. We have engaged with some of the world-renowned groups
including McCann to work on our communication strategy and you should be able to see some campaign getting launched sometimes in the third quarter. We are very clear on the new brands
and new product extensions that we will be launching in the market. So, in all the market front, significant work is being done both for supply chain as well as for improving our brand equity
scores and thank you for your support. You will see that we should be able to become from a
single segment player to a multiple segment player in times to come.
Moderator: Thank you. The next question is from the line of Navin Sahadeo from IC ICI Securities. Please
go ahead.
Navin Sahadeo: Thank you for the opportunity. So, sir, in response to the endeavor, like you know, overall brand,
improving the brand premiumization and in general the brand equity. Are we also looking at
reducing the blending because I believe we also launched OPC 53 grade sometime back in the north market and as you said, if you are focusing more on premium or high strength products, is
there a possibility that the fly ash or the blendi ng ratio will tend to go down here a little bit
because of overall premiumization aspect as such?
Neeraj Akhoury: No, I do not think so. The word I use is not premium. The word we always use is sharper value
proposition or special products, right! And each special product has its own market, has its own
set of consumers and that is what we want to cater. That those products, because of the sharper
value proposition are more expensive is because of the nature of those products. So that's part
number one. Part number 2, will it impact the clinker ratio? I do not think so, because we are also growing and the percentage of lower cementation products including OPC as a percentage
will remain positive, going forward as well. So , at a Company level, it should not adversely
impact our clinker ratio. What it will do is to make some of these products highly specialized,
OPC 53 is an example. Incidentally, we have not yet launched OPC 53. It will be launched in
the coming months. We are still formulating the mix. W

e are still working on how do we create a much better product which meets not only the minimum standards of OPC 53 but goes beyond

it. And that is something that we are working on with our R&D and the quality department. And
that's how I see it. So no, it will not adversely impact our clinker factor. Having said this is the current situation. Please note that the Indian market is expanding rapidly and most of the new
projects are large projects, vast projects and they have a specific requirement of the product type.
So, we will talk about dams or ro ads or bridges or this kind of large construction. They are very
specific requirement of the product characteristics which is what we are trying to meet. And
therefore, as the market evolves in the future, it becomes much more in, in terms of infrastructure and all as a percentage of

total cement demand. Then most likely there will be an impact on the
clinker factor as such.
Navin Sahadeo: Sir, second question was on the specific heat consumption which you report in the annual report
in terms of kcals/kg of clinker. So, I see there is a very steady increasing trend. So, in FY2019,
if we consume let's say 719 kcals/kg. Last latest annual report suggested is going to 751. So, I
believe in general our energy requirement at Clinkerization while conversion ratio of course has been improving. Great on that as in the clinker factor has been going down, but the specific heat
consumption at clinker is rising steadily. Is there any specific reason for it? The deteriorating
quality of limestone or how should one look at it. Thanks.
Subhash Jajoo: We will just check on this. For the current quarter, I do not think it is around 750 for this quarter,
the number is around 740 kcal.
Navin Sahadeo: No, I was talking about only annual basis not quarterly basis, in the annual report FY 2023 it
says 751, whereas in FY2019 annual report it was 719, I am saying it has been increasing
steadily. So, is there any specific reason or it is a general.
Subhash Jajoo: We will just check what was the reasons for this increase and get back to you.
Neeraj Akhoury: One of the very likely causes for such increase is also higher usage of alternate fuels. So currently
we have not come to those levels at which altern ate fuels should show so much impact. But over
the years we have also added new capacities be it in Raipur, be it Kodla and so on. But assuring
all of you there is very high focus on heat consumption and how do we manage it? How do we control it. We had launched a campaign called “We Lead” . “We Lead” one of the specific topics
for us to improve on is the heat consumption. But if there will be a deterioration it is largely
because we will also be simultaneously in creasing the alternate fuel consumption.
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Thanks for the opportunity. Couple of book keeping questions there is this drop in depreciation
during Q1? What was specific reason for this and what is the annual number we are looking at
for depreciation?
Subhash Jajoo: The annual depreciation for this year should be close to 2000 crores. Because of accelerated
depreciation that will follow due to the WDV method, whenever there is a capitalization in the

quarter, the depreciation is higher and then correspondingly for next year onwards, it gradually
reduces and that is why for the depreciation number for this quarter is down. But as and when the new unit comes up during the year like Nawalgarh is going to come up maybe in Q3, then
the depreciation figure will increase. But for full year it should be close to 2000 crores.
Prateek Kumar: And on second question on incentives, your last year incentive number was 120 crores as the
annual report versus 160-170 in previous year and 50

crores remains years prior to that. So, is it
that you book incentive based on receipts. So, is there a general decrease in expectation of annual
incentives now or for some reason we did not receiv e it and we should receive it later that is why
we are not booking?
Subhash Jajoo: Incentive numbers will remain around these levels only Rs.130-140 crores because as we go
ahead then incentive for some of the older plants gets over. But again, because of new commissioning, some of the states have an incentive policy and we get it. But overall, for current
year, we believe the numbers should be around Rs.140 crores.
Prateek Kumar: And for the ongoing set of expansion, we should expect that number to remain in the same for
25-26 also.
Subhash Jajoo: For the next set of incentives, as Neeraj ji has said that we are still in negotiation with the
government. So, what the final incentive will be , it is difficult for us to commit right now.
Prateek Kumar: And the last question on premium segment which moved to like 9% of your trade mix this
quarter. So firstly, what was th e trade mix for the quarter and what is the target for this number
of 9% by end of financial year 2024?
Neeraj Akhoury: So, as we said, we are working to bring it closer to 15%. So far, we have reached somewhere
around 9%. So, we have reached there. Last year, were at about 6%. We have travelled from 6%
to 9% and this will continue in the coming months also. I expect in the coming year, which is
FY 2024-25, we should be somewhere around 15% on the special products.
Subhash Jajoo: And the trade mix is 79% for this quarter.
Moderator: Thank you. Before we take the next question, I would like to remind participants to please limit
your question to one per participant only. You may come back in the question queue if you have
a follow up. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go
ahead.
Rahul Gupta: Thank you. All my questions have been answered. Thank you.
Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please
go ahead.

Devesh Agarwal: Thank you, sir for the opportunity. Just in terms of your capacity addition and expansions, I
wanted to understand in last five years a significant capacity addition happened in the east and you are talking about a very high utilization level as well. While over the next 2-3 years you are
not looking to add anything on the east side. So, what would be our strategy for the east and would that be taking priority over the other region like west and central?
Neeraj Akhoury: So Purulia has just been commi ssioned, as I said, it will take some months or several months
before we are able to fully utilize our Purulia capacity but east is one of the priority markets for
us as you see even in last quarter, our growth in east has been little over 30%. So, this will remain a priority market for us once as I speak, we are also looking at some more size now in east. We
have capacities in Chhatt isgarh, in Orissa, in Jh arkhand in Bihar and in now in Bengal as well.
More or less, we have covered the entire east market, but depending on how Purulia stabilizes,
we are also looking at few more options for east markets.
Devesh Agarwal: And sir, any trends on the July pricing, how the prices have been in different regions?
Neeraj Akhoury: So, prices in cement are always under pressure, so that is how I see it. But we have been able to
implement some price improvements in certain regions in India including North. By month end, we will be able to see how much we are able to successfully pass through the market. This is a
little too early to comment on it, but yes, there will be always be focus on seizing opportunities
wherever there is possible to increase prices.
Moderator: Thank you. We will move on to the next question that is from the line of Shravan Shah from
Dolat Capi

tal. Please go ahead.
Shravan Shah: Thank you. Before the question, just a request, previous participant has also requested in terms
of the consol numbers and which we mentioned that we were referring. Also requesting, if possible, to share at least last couple of quarters, consol volume and maybe couple of years
consol volume to understand this and it will help us to do historical trend. So that was the one
request..
Subhash Jajoo: Shravan you can send us a mail and we will send you the consol volumes.
Shravan Shah: Sure. Thank you very much for that, Sir, the first question is if you can help us in terms of the
overall CAPEX for this year FY 2024&FY-2025 incl uding this Rs.7000 crores that additionally
we need to spend so and how much that will come in the standalone and consol if possible. So that is one and also the break-up of this 6 - 6 million tons grinding, so, will it be a 3 - 3 million
tons across the four locations?
Neeraj Akhoury: Yes, so the intention is to have grinding capacities of 3 million tons in most of our markets. Yes,
as a standard size. Of course, there are some ma rkets where we will be go ing a little bigger in
future and some will go a little smaller, but st andard for us would be around 3 million tons of
new grinding capacities. The second question, I understand is what is the CAPEX plan for 2023-

2024, we should look at 2023-2024, we should look at about to have a cash outflow of about
Rs.3500 crores.
Shravan Shah: And for FY 2025 sir?
Subhash Jajoo: Almost similar amount.
Shravan Shah: Okay same amount that is great. Second, in term s of the previously we mentioned that 36 million
tons kind of a volume we are looking at for 2024, definitely this quarter we have done much
better. So, will this number one can look at 37-38 million tons for this year? So that is one and
some data points on the lead distance for this for blended cement sale for this quarter.
Neeraj Akhoury: So, on the targets. Thank you ve ry much. But we still continue to remain at 36 million tons
target. We are hoping, we should do slightly better, but for our guidance, I would still believe
36 million tons is the right volumes for the year . On lead distance, there has been a reduction
compared last year, though very minor, just about 7-8 kilometers kind of reduction. This is one
topic on which we as a Company has to work a litt le more, both through internal work, but also
by putting up just for example Bangalore unit will of course reduce our lead distance to that extent, because we will be closer to the market, so, we will continue to do that. For the last
quarter, we have gone down precisely by 14 kilometers.
Moderator: Yes, thank you so much that was the last question. I would now like to hand the conference back
to the management for any closing remarks.
Neeraj Akhoury: So, thank you very much everybody. As always, it was a great pleasure to interact with you.
Hopefully, we have been able to answer and give clarity to most of the questions that were asked today. Do not hesitate to contact us in case you need any further clarification. As I said in my
opening remarks and I continue wi th it that we just assured that we as a Company are managed
very professionally and we are following the highest standards of corporate governance. So, we will continue to do that, we will continue to respect the fact that Shree has a long journey ahead

and therefore every step will be taken to improve our image, our reputation and our brand equity and our leadership in cost as we ll as the leadership on sustainability criteria. So, thanks a lot everyone and look forward to see you at the end of the next quarter, bye-bye.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2023

SCL/BWR/SE/20 23-24/
14th November , 2023

National Stock Exchange of India Limited,
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Bandra – Kurla Complex, Bandra (East)
MUMBAI – 400 051
SCRIP CODE: SHREECEM EQ
Debt Segment NCD ISIN: INE070A07061 BSE Ltd.
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
MUMBAI – 400 001
SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub: - Transcript of the Conference call
Dear Sirs,
Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations, 2015, the transcript of the Conference Call held on 8
th November , 2023 relating to
the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September, 2023 is enclosed .
Kindly take the same on record.
Thanking you,
For SHREE CEMENT LIMITED
(S.S. KHANDELWAL)
COMPANY SECRETARY

"Shree Cement Limited
Q2 FY '2 4 Earnings Conference Call"
November 08, 202 3

MANAGEMENT : MR. H M BANGUR – CHAIRMAN – SHREE CEMENT LIMITED
MR. NEERAJ AKHOURY – MANAGING DIRECTOR – SHREE CEMENT LIMITED
MR. ASHOK BHANDARI – SENIOR ADVISOR – SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER – SHREE CEMENT LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to the Shree Cement Q 2 FY '2 4 Earnings Conference Call hosted by ICICI Securities. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference, please signal an operator by
pressing star then zero on your touchtone phone. Please note that this conference is being
recorded.
I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities. Thank you. And
over to you, sir.
Navin Sahadeo: Yes. Thank you, Dorwin. Good afternoon, everyone. On behalf of ICICI Securities, I welcome
you all to the Q2 FY '24 earnings call of Shree Cement. From the management, we have with us
Chairman Shri HM Bangurji; Managing Director Shri Neeraj Akhouryji, Senior Advisor Shri
Ashok Bhandariji; and CFO Shri Subhash Jajooji.
Without any further ado, I hand over the call to Shri HM Bangurji for his opening comments.
Over to you, sir.
H M Bangur Thank you, Navi n. Good afternoon, ladies, and gentlemen. Welcome to our earnings call. I will
be giving a few highlights. They may be sequential in importance or otherwise. And then we are
open for questions. I will leave more time for that.
Half year 2024 registered an increase of 11% in production and 14% in sales over first half of
FY23 . Capacity utilization also stood at 76% against 66% of first half of last year. Net profit
stood at INR 1,072 crores compared to INR 505 crores in HY12023 . All this is due to increase
in selling price, better product mix, a reduction in cost and better operating efficiency. Cement realization - improved from INR
4,771 to INR 4,843 per ton sequentially and INR 4,805 to INR
4,843 per ton on a year -on-year basis, that is respectively 2% and 1% increase.
Share of green power in total power consumption increased to 58% in September 2023 vis -a-vis
51% last year quarter . We are likely to increase it to 62% by June 2024. We expect cement
deman d to remain robust in the coming years on account of rising expenditure on infrastructure
and housing development. Our capacity should increase to 56 million tons by 2024. The
company is on the track to attain a capacity of 80 million tons by March 2028, a chieving a CAGR
of 12% capacity in next 5 years. The company has decided to merge its 2 cement subsidiaries
with itself for better synergies, simplicity, and compliance.
With this, I will now open the floor to question and answer. Thank you.
Moderator: Thank you very much. The first question is from the line of Amit Murarka from Axis Capital.
Please go ahead.
Amit Murarka : I missed the opening comment, but just wanted to check if you could just tell us what was the
cement realization on a Q -o-Q, Y -o-Y bas is?
H M Bangur Yes. Cement realization in this quarter is INR 4,843 per ton , which is 1% better year -on-year
and 2% better quarter -on-quarter.

Amit Murarka : Okay, okay. Sure. And could you also be able to guide us something on EBITDA, like how
much of the EBITDA came from cement?
H M Bangur About INR 1,060 per ton -- INR 1,062 per ton is the exact number, which is coming for the
quarter.
Amit Murarka: Okay. So I believe that would also have some benefit of power sale and all that.
H M Bangur Of course, benefit of power sale, everything is there. But if you mean power EBITDA, that will
be INR 30 crores.
Amit Murarka: Okay, okay. That's included then in this reported EBITDA, right?
H M Bangur It is included.
Amit Murarka: Got it. So it will be great, actually, if you can restart like sharing the power details. It just helps
in better understanding actually of the cement business.
H M Bangur So power turnover in this quarter was INR 343 crores

. And EBITDA will be around INR 30
crores, 8% to 9% of the turnover is EBITDA. Basically, our power unit is based on imported
fuel, 100% imported fuel. And this is coming from Gujarat port, cost of the fuel is higher. So average EBITDA will be only 8%
to 9%. This quarter, it is INR 30 crores
Amit Murarka: Also possible to give H1 number similarly?
H M Bangur For H1 numbers, INR 822 crores is the revenue from power business. So about INR 75 crores,
which is expected to be EBITDA -- I don't have the exact number right now. But it will be around
INR 75 crores in the 2 quarters put together.
Amit Murarka: No that's very helpful. The second question for me is on the capacity addition that you've announced, 3.4
million tons in the Ba loda Bazaar. My understanding is that after that, you'll go
to 21 million tons of cement grinding in East, whereas the clinker is 9.2 million tons . So like
when can we expect the fourth clinker line then to come at Bal oda Bazaar?
H M Bangur Fourth clinker line will take some time. In Eastern India, we have certain capacities which are
underutilized like Odisha plant and th us the capacity mismatch - What it seems is not the real
fact because in East India conversion factor is much higher, more, or less like 1.9 or 2 because

of composite cement also and because of slag cement. So, all put together 10 to 20 or 9.2 to 21
looks unjustified. But because of the E ast and because of the conditions, they are highly justified.
Fourth clinker line will be part of the capacity increase between year 20 27 and 2028.
Amit Murarka: Okay, okay. Understood. And lastly, any guidance on power and fuel cost? What was the rupees kCal in Q3 – in Q2, sorry? And what can we expect in Q3?
H M Bangur This quarter, it was – INR2.05 per kilo calorie, and which is going to be less than INR2 , INR1 .9 is what we are expecting.
Moderator: The next question is from the line of Satyadeep Jain: from Ambit Capital.

Satyadeep Jain: Just one question on the IT survey that happened back in June. Just wanted to see what has happened since then? Any updates, a ny progress on that?
H M Bangur The survey is completed. No more questions have been asked for last 1 month or 2 months. Few questions to the clarifications were needed that we have given. After that, we have also not heard anything about that.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: Sir, my first question is pertaining to water as a commodity. I did ask this question on the last conference call as well. Given Rajasthan has a lot of water stress regions, what is our risk mitigation strategy specifically for the assets that we have in Rajasthan, if one takes a longer - term tenure? That 's the first question.
H M Bangur Right. The first question is regarding the new plant at Nawalgarh which we are starting, we have purchased the obligation of clearing all the municipal waste water of Nawalgarh. So , there we will be water surplus by a huge margin. We have put a unit for this improvement of water quality.
And there will be lot of surplus. Regarding Beawar and Ras, for last five years, we are collecting the rainwater and harvesting it.
We have selected the lowest spot. So rainwater is collected not only from our area but from the far distant area also.. A bout 24 lakh KL of water is collected which will be lasting us for about eight months and then for four months, sometimes the rain comes and we are also continuously reducing water consumption. There is no problem for last ten years.
Ritesh Shah: My second question was how would you reflect on our UAE operations? And I think when we had ventured into UAE, we had indicated that we will look to cater into the western coastline by setting up bulk cement terminals. That was our thought I think a couple of years back. So where do we stand on th

at particular aspect? That is the second question. Thank you.
H M Bangur Regarding Union Cement, we are not at present coming into India in a meaningful way. Handling cost of Indian ports are very high. Roughly INR150 per bag or INR3000 a ton is the handling cost if we bring it to JNPT .
So it doesn't make much business sense as the similar margin can be attained from other sites.
Somehow this is the cost which we are thinking how to reduce it. So though our plan remains the same, handling cost is abnormally high.
Ritesh Shah: Sure, sir. I 'll just squeeze in a last question. Sir, if you look at our annual numbers, there is a significant difference between the cash tax rate and the effective tax rate. So in the annual report, there is a line item which says that items not deductible fo r tax, not liable for tax. And this has always been a pretty significant number from, say, around INR150 crores to INR400 crores on an annual basis. So I just wanted to understand how should we look at the differential between cash tax rate and the effecti ve tax rate? And how should we reconcile say, p ast data?
H M Bangur See, we'll be able to talk about it. It is a highly technical question .

Ashok Bhandari : What you have to appreciate is that the tax rate you are taking the declared tax rate, whereas the tax is calculated on an income derived from the tax statutes. And please appreciate that under IndAS or any other accounting standard we have to provide full tax whatever is applicable to the company. So basically where is the disconnect? The tax which has been provided takes care of tax which is leviable under the tax statutes. Now where is the confusion, sir?
Ritesh Shah: Sir, there are deductibles which the company is enjoying, and we have been enjoying that over a good tenure.
So if I just give you a number from F Y '17 to, say. FY '23, the cash tax rate, which is there on the cash flow statement is around INR2,100 crores. And tax as per P&L is INR2,600 crores. So there is a differential of 5% over here. So over time, this should merge with each other, but there is still a differential which was there. Probably I 'll drop a line to seek clarification over here, but it would be good to have some understanding on this particular aspect.
H M Bangur I will tell you, normally, the company has a policy to pay aggressively the tax or provide

aggressively the tax. And you will see year after year, every year we get some refunds. So i f it is sufficient to put the question – or my understanding is wrong, because the difference will be INR400 crores to INR500 crores. Next year, if the tax is more, it will – from INR500 crores , it will go INR600 crores. 2 years back what was paid is align ed now because of the refund has come and other things. But next 2 to 3 years, till the refunds come, our tax paid will be continuously higher. We are taking a very conservative policy of paying high taxes.

Ritesh Shah: Sure, sir. And just a follow -up. Why is this change in policy? Because historically, we have been smart capital allocators and we have realized the benefits of taxation and fiscal incentives. Is there any change in the thought process?

H M Bangur No change in policy. This, we have been doing for many years and continuously from the beginning that we are really conservative as far as tax is to be paid. And then we fight our cases, we fight our views. Sometimes we win, sometimes we lose. It is for the tax authorities to decide whether our claim s are right or wrong

Moderator: The next question is from the line of Milind S. Raginwar from BOB Capital Markets Limited.

Milind S Raginwar: What would be the contribution of the blended and non-blended mix and also if you can share the trade non -trade mix

H M Bangur Our 75% of the production is blended, 25% is OPC.

Neeraj Akhoury So as the Chairman said, blended cemen

t is 75%, whereas trade sales is currently at about 80%.

Milind S Raginwar: And what would be this in the comparable quarter?

Management: I didn ’t get you, please, comparable with what?

Milind S Raginwar: I mean what would be this number in the last year, and I mean, year -on-year and sequential?

Management: So on trade sales mix, we have been continuing at about 80%. For the last September , we were at 80% . On the blended ratio, again, we are almost there, 76% last year, 75% this year.

Milind S Raginwar: So actually, I was coming to this jump in the receivables that we see from March to September, is peak. Can you just throw some light ther e in the balance sheet?

H M Bangur Yes. March to September, is not comparable. Every year in March, the outstanding dip s as everybody wants to clear their dues We have to compare from March to March or September to September. Otherwise, in March, the outst anding is the minimum, everybody wants to pay and make their books clean.

Milind S Raginwar: Is it safe to assume that this will normalize over the next 6 months?

H M Bangur Yes. Again, depending on the increase in sales volume, only proportionate increase in outstanding will be there. Number of days wise, it is almost same.

Milind S Raginwar: Okay. And what would be explanation for this overall increase in the power and fuel cost on a year-on-year basis – if I calculate it on a per ton basis? Any specific reason that we are seeing this increase for?

H M Bangur Power and fuel costs also increased because you are seeing the blended working, if our percentage of power sale increases, where about 80% will be the fuel cost. So the power – and the fuel cost will b e on a blended basis, increase or decrease depending on the amount of sales of power which we have done. That is one part.

Secondly, it is the fuel cost.

Normally, we are booking fuel about three months to four months in advance. So whenever the prices increase or decrease, our effect will be– three months to four months later, yes.

Milind Raginwar: So I think, sir, even the previous participant also indicated, if we can share this power sale numbers beyond EBITDA and profit number also...

H M Bangur That I will share. About INR34 3 crores is the power sales for this quarter.

Milind Raginwar: I’m saying the n umber of units, sir. So that we know exactly where we are.

H M Bangur Number of units also we will be telling you,. T his quarter. 8,810 lakh kilowatt hours was generated . 4,028 lakh kilowatt hours , that is about 40 crores units we have sold this quarter.

Milind Raginwar: And what will be the external sales of this proportion, sir?

H M Bangur External? This only an exte rnal sale .

Milind Raginwar: This is only for captive process?

H M Bangur . We have generated 88 crores unit, 48 crores for internal consumption, 40 crores for sale,

Milind Raginwar: Okay. And if you can please share the number in September ‘22?

H M Bangur Yes. Mr. Bhandari will be talking.

Ashok Bhandari: Milind, you send me a mail . I'll send you all the details here.

Milind Raginwar: No problem. Okay. Fair enough.
Moderator: Thank you. The next question is from the line of Jashandeep Singh from N omura. Please go ahead.
Jashandeep Singh: My first question regarding power and fuel cost. So in the presentation, the press release you have mentioned that the green power mix has increased from 50% last year to 58%. However, I see this 2% decline in powe r and fuel costs. I just wanted to understand once we reach the 63% green power mix by the end of FY '25, how much cost saving you are building in? Just wanted to understand, in a sense the -- such a drastic increase in green power, power and fuel costs ju st 2%. My first question.
H M Bangur Yes. About INR 5 c

rores per megawatt is the solar power plant cost, which we are adding, and part of it will be coming down, the percentage, because of more efficient motor which we are changing. So the overall power consumption also is expected to be lower per ton. So it is a blend because of the new extra capacity and because of the lower consumption of power, the 58 % will become 63 %.
Jashandeep Singh: And sir, how much savings are you seeing from this, I mean, this increase?
H M Bangur Roughly, the payback period, depending on the grid rate is between six years to eight years. So on an average, seven years is the payback period. 14% return on the capital employed is expected.
Jashandeep Singh: Okay. And sir, my next question is regarding raw material costs. We have seen in the entire industry. The raw material costs have escalated over sharply. However, Shree Cement raw material cost actually decreased sequentially that to by 13%. So what was the reason for that? And what is a sustainable number that we should build in for the coming quarters for raw material?
H M Bangur Raw materials, we will be talking about ourselves, I will not be able to know why others' costs have increased. We are using raw material s gypsum and flyash, - the two principal raw material.
The rest is our own limestone. So gypsum cost has come down in one year from INR90 to INR75. Flyash cost for us have come down from INR200 per ton to INR190 per ton . And how other s’ cost is increasing, I don't know .
Jashandeep Singh: Understood. And if I can squeeze in one last question. I'm sorry, you might have answered. But I just wanted to understand on the -- whether there will be any clinker shortage i n the East post this Chhattisgarh unit of 3.40 million tons comes in?
H M Bangur The question is regarding the grinding unit of East for which we have about 10% extra capacity. 9.2 will require us to have 19 million tons minimum. When we have 21 million tons, depending on the market, sometimes market A, B, C, this 10% or so capacity -- additional capacity gives us the freedom to sell in the highest realization market. So this is a policy which has been purposely kept to increase the flexibility.

Moderator: Thank you. The next question is from the line of Prateek Maheshwari from HSBC Securities. Please go ahead.
Prateek Maheshwari: Sir, I was just looking at your comment on the first half utilization for the company, which is around 70%. The much larger peer is kind of operating itself at a larger capacity at 90% utilization levels for the same period. Just wanted to understand from you what's stopping the utilization levels from improving to see our margin improvement in utilization now, what would be your target? And which are the reasons w here you're probably seeing that utilization is much lower? That is one question.
H M Bangur Yes. Mr. Neeraj?
Neeraj Akhoury: So it is true that utilization this quarter is 71% but do also remember that quarter before that we were report ing around 80%, ye s. So because of the little lower demand last quarter, so it came down a bit. But also we added new capacity in Purulia.
Going forward, we are coming up with new facilities in the next six months both in Rajasthan and in South, so in Guntur. So I think the utilization for one year will deteriorate a bit. And again, we should be able to catch up as we go forward, yes. We should be able to catch up. This is how I would like to respond. Is that okay?
Prateek Maheshwari: Yes. And sir, can you provide us the uti lization regionally also for this quarter or for the first half?
Neeraj Akhoury: Your other question, once more? Sorry, I'm missed out that’s not very clear.
Prateek Maheshwari: I was just checking if you could also provide the utilization levels for this quarter regionally or for the first half period regionally versus what is the...
Neer

aj Akhoury: We are at 71% this quarter. And for the half year, we will be at about 76%.
Prateek Maheshwari: Sir, I was just checking what -- if you could just tell East -- what is the East India -- for the capacity in the East, what would be the utilization level?
H M Bangur in June quarter, our East India utilization level was 92%, which has gone down to 74% in this quarter, mos tly because of two reasons rains are very heavy in some areas. And the second thing is when new capacity is being added, so certainly the capacity utilization will come down. So overall, volumes were not that much lower. Purulia capacity got added, which brought down the utilizatio n immediately. It will take time to ramp -up.
Prateek Maheshwari: Okay, sir. Got it. Sir, just lastly, if you could repeat your comment on the per kCal unit cost that you incurred this quarter, second quarter? And I think you said it is INR1.9 per kCal for the next quarter, right?
H M Bangur Yes. In the previous quarter, it was INR2.34 per K Cal. In September quarter, it is INR2.05 per KCal. And in the last year, it was INR2.80 per K Cal. So compared to that, this year, we are expecting INR1.90 per KCal for co ming six months, not for the whole year. For the coming six months, it is expected to be at INR1.90 per K Cal.

Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Sir, could you share how much incentive has been booked in P&L in Q2 and H1? So full year, you have guided around INR130 crores to INR140 crores?
H M Bangur It is about -- incentive to whom?
Rajesh Ravi: Incentive on the various projects that you received. While I understand y ou book incentives on the receivable on cash basis?
Management: Incentive -- the ready numbers are not there that how much. But it is also an integral part of the realization. It is all merged into realization. We are never focusing on what is incentives and what is not incentives We will just calculate and let you know.
Rajesh Ravi: Sure, sir. And volume for this full year, what sort of volume number you're looking at? And on the cost when you mentioned, your flyash and gypsum costs has come down. Could y ou share how much is the flyash usage? And what is the cost trend, please?
Management: The volume for...
Neeraj Akhoury: So as we said that on cement volume this quarter, we have grown by about 10%, 9.9%. And half year, they've grown by about 14%, yes, for half year.
Rajesh Ravi: For full year, what is the number you're looking at? Any target do you want to share?
Neeraj Akhoury: The next six months, it is difficult to say but looking at our plans and the way we are working, we should be around 12%, yes, for the full year.
Rajesh Ravi: Okay, sir. And on the slag prices, what is the price trend? And what is the usage of -- how much slag cement you are producing, from blended cement?
Neeraj Akhoury: Can you ask the question again, please? You're saying is -- price?
Rajesh Ravi: Yes, sir. Slag price trend, which is the raw material you may be using, and how much of your product is slag -based cement?
H M Bangur Slag-based cement will be around 10%, where we are talking of slag cement as well as composite ceme nt, which is a modern tr end. So about 10% will be the total volume.
Rajesh Ravi: Okay. Out of this 26%, 10% -- the 75% blended cement, 65% would be normal PPC and 10% is slag -based composite?
Neeraj Akhoury: Slag-based composite, yes, right.
Moderator: Thank you. The next question is from the line of Indrajit from CLSA. Please go ahead.
Indrajit: I have two questions, both on Eastern market. If you can give a qualitative indication, how different is profitability in East versus North for you?

H M Bangur Yes. East profitab

ility is quite low compared to North at present, but this keeps changing.
Sometimes, East is better, North is not better. So right now, at this point of time or the last quarter, North was about 40% more than the East.
Indrajit: The recen t price hikes have been more prominent in East. So post that, has that gap reduced meaningfully?
H M Bangur Yes, that is expected to reduce, but we will be talking about it, when we talk in January after October -December results because a lot of things change in between in the commodity market.
Right now, the difference has come down. Your observation is perfectly in order.
Indrajit: Sure. My second question, again, on the East market, given that there's so much capacity that is being added and the

growth h as not really been blockbuster at least in the last two quarters, three
quarters, do you see an oversupply situation in that market, and hence, competitive intensity can be much sharper than what we have seen in the past?
H M Bangur No. East market, becaus e of the low base, all over India, the growth will be such that is what our expectation is, that gradually, the differential will come down. That means that where the per capita income is low, those places, then percentage growth will be better. So I've seen that East needs more capacity and Odisha is doing very well. Unfortunately, the limestone is there only in Chhattisgarh for whole of East, the whole E ast has to be catered from the Chhattisgarh division. Very small limestone is in there in Odisha, and somewhere something in the Northeast. Otherwise, Bihar, Odisha, Bengal, Chhattisgarh, Jharkhand everything has to be served only from one place. So East definitely needs more capacity.
Indrajit: Thanks. Thank you so much, sir. I will join back in queue.
Moderator: Thank you. The next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Kamlesh Jain: Sir, just two questions broadly, like one on the capacity addition timeline . Like when are we expecting or when are we commiss ioning the Rajasthan plant and the Punjab Grinding Unit and lastly, your Andhra plant?
H M Bangur So this year, Andhra plant, Guntur will be completed in quarter 4 of financial '24, something like March or maybe April, May, Guntur will be completed. Nawalg arh also will be completed in quarter 4, '24. It is delayed by about three months. And these are the two units which you are talking about. The Etah Grinding Unit in UP, we are coming up, this will be just started. We have got the permissions now and we ar e starting the work.
Cement grinding unit Baloda Bazar, also the work has started. - It will take about 18 months before it is completed. And we are putting up an integrated unit in our Pali district .. So all these things put together by this year -end, we will be 56 million tons plus.

And by 31 March, 25, again 6 million tons more will come . So by 31st March '25, it will be 62 million tons. So these two are the timelines . And then in next three years, 62 million tons, we want to take it to 80 million tons .
Kamlesh Jain: Okay. Sir, and just on the power side, like if you just take the math, like the 75 paise per unit is the EBITDA which we have made. But even in the worst year, we have not made such a low EBITDA. So like the INR30 crores EBITDA which we hav e, just told on the call, that INR30 crores EBITDA on a sell of around 40 crores units. So it seems to be very low like -- and with the realization of INR8.5 on the revenue side?
H M Bangur Right. This is because the power coal rates have come down very fast. We were stuck with the old coal which we had contracted earlier. The coal rate has come down this year itself from INR2.80 in September '22 to INR2.05 for the quarter.
Coal, which we have to see that pet coke is not allowed in the power. So coal prices are such that the pr

ofitability changes by to this extent.
Kamlesh Jain: Okay. And sir, lastly, like Shree Cement has been the pioneer in the cost side. But the way the, like say, now Adani has acquired wholesale assets, they are also becoming very competitive over the next two years, three years. They would also be having 60%, 65% renewable and rest,
the entire industry is moving very, very fast on the cost side. How do we see Shree Cement? Because over the years, cost has been a big advantage to us, in terms of profitability and every
other aspect, project execution .
So now li ke, say, in order to like -- to have a superiority or to have a far better advantage over the industry, do you think that all those potentials have already been explored? Or is there further potential available for the Shree Cement on the cost side?
Becaus e on the realization side or on the pushing volumes, we have not performed at par with the industry, which has been the case, like say, prior to five years. But in terms of volumes, we are almost at par with the industry. So what are the parameters?
H M Ba ngur Our volumes, where we are doing better, industry growth is not 14% for the first half. It is much less. We are better off in volume. Secondly, the volume gives lower fixed cost though which is a small advantage. Overall, we are saying, we are already 58% renewable power, and it will come to 62% - 63% in the coming six months to eight -month period. So is it not a big cost advantage? Which company ha s given 30% ratio? We are talking of not marginally lower; I'm talking about 50% difference.
So any company, at least I don't know, you people track all the companies much better. So 30% renewable power, and we are 58% renewable power, that is quite a big advantage. That should give us cost leadership.
Secondly, one of your colleagues talked about our r aw material costs which have come down.
So is it not that we are doing something smarter compared to the industry? Not doing that rather

raw material cost has increased that much.

Kamlesh Jain: Great, sir. Thanks a lot and best of luck.
Moderator: Thank y ou. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, first a couple of data points. First is, lead distance for this quarter is how much and fuel mix for this quarter pet coke and AFR?
H M Bangur So this quarter, the lead distance is 472 kilometres .
Shravan Shah: It has increased significantly versus last quarter?
H M Bangur Yes. Last quarter (June'23) , it was 456 kilometres . So 16 kilometres , the distance has increased. So that is one part. Because in Eastern India, as I was explaining, everything comes from Chhattisgarh, whether you want to send it to Odisha, you want to send it to Bengal, anywhere. Now when our Bengal plant has started, it is going to increase our distances as the base mate rial is coming from Chhattisgarh only.
So Chhattisgarh to Bengal means that much extra freight. But that is -- will be in par with others who are selling in Bengal, whether our trade in the various markets have increased, that is not the case. It is a new geographical location, which has increased the distance. You asked about pet coke and fuel mix. Pet coke and coal put together is 90% and alternate fuel including hazardous chemicals which is very low cost, is 10%.
Shravan Shah: Sorry, sir, Pet coke, how much you said, 90%?
H M Bangur Pet coke and coal put together is 90%. And alternate fuel, that is a municipal waste or agro waste, hazardous chemicals which are to be burned out in the kiln only, those put together is 10%.
Shravan Shah: Okay. And TSR for this quarter is how much? Because we were looking at to increase to 15%. So where we have reached and by when we will be reaching a 15% TSR?
H M Bangur TSR, it will be increasing to 15% by the year -end. Little

bit delay is there. But that is the time
we ar e thinking. Suddenly unexpected problems comes when TSR is used. Everywhere TSR is totally different. They are not consistent in nature. So yes, we are having some delays in the TSR.
Moderator: The next question is from the line of Atharva Bhutada from Pur nartha Investment Advisers. Please go ahead.
Atharva Bhutada: Sir, I just wanted to understand, how a power cost per ton is in line with the industry over the last two quarters? Whereas green power has gone up to 58% of the total power being the highest in the industry?
H M Bangur Yes. We will not be talking about the industry, what is their related power cost. But I will be talking about us .
Neeraj Akhoury: So what the question again, the power cost, right?

Atharva Bhutada: Yes, power and fuel cost per ton?
Neeraj Akhoury: So the power cost is -- for last quarter is at INR259 per ton, which is down last year from INR295 per ton. Compared to last quarter, they have slightly gone up from INR248 per ton.
H M Bangur So half year, it will be around INR250.
Atharva Bhutada: Okay. So why is it so much like green energy thing has been going off and our power fuel haven't been coming down so significantly per ton?
H M Bangur The volume effect of the production also will come. But basically, if we see the per ton power cost, that will be INR253 is the per ton power cost for cement. Last year, for the same period, it was INR295, it is INR253. So INR40, the power cost has come down.
Atharva Bhutada: Okay, sir. Thank you.
Moderator: Thank you. The next question is fr om the line of Abhishek Verma from Fidelity International. Please go ahead.
Abhishek Verma: Yes. I just wanted to understand power cost, sort of unable to make sense of this number of around INR250. I think the power and fuel cost per ton is around INR1,700 and it has not declined on a Y -o-Y basis? Unable to reconcile the numbers.
H M Bangur Power cost has come down to this extent, but fuel cost is totally bought out item. So fuel cost of INR1,500 is in line because it's 700-kilocalorie used per ton of clinker, INR2 per kilocalorie i s the charge, so INR1,400 is there , Rest, INR200 or INR300 will be consumed for the power generation for sale , INR340 crores is the power sales. For that power sale, this will be around INR290 crores - INR280 crores of fuel will be used.
Abhishek Verma: No but there has to be a sequential -- sorry, a Y -o-Y decline because for all your peers, there is

a meaningful decline in the power and fuel cost per ton. And whereas for you, I cannot see -- in
fact, t here's a lot of an increase here.
Ashok Bhandari : The number which you are talking about is the composite power and fuel. Mr. Bangur is trying
to explain you that the coal use for power generation is also included here. If you exclude that,
then you you'll find the savings. Otherwise, what I'll suggest is, you send a mail to Mr. Jajoo or
me, and we'll explain you in detail, how it has worked out, right?
H M Bangur I will give you my numbers. Last year, in quarter, power sale was INR46 crores . And this year,
it is INR343 crores. So INR300 crores increase in power sales means around INR250 crores
increase in the coal at power and fuel costs. This is the reason when we are talking of the totality.
Moderator: Thank you. The next question is from the line of Raghav Maheshwari from Asian Market
Securities. Please go ahead.
Raghav Maheshwari: Sir, my question is firstly from the Southern market expansion plan. Our current Southern market
clinker capacity is at 2.4 million tons, where we are expanding in the Kodla is approximately
3.32 million tons clinker as well as 1.5 in the Guntur. But if I see same time as a cement

expansion plan, it will be somewhere around 9 -milli

on -ton expansion plan as well as the 6 -
million -ton existing cement capacity, including the Pune. It will give the CC somewhere around
2.06, where the rest of the industry for South is the below 1.4, below 1.3, how it will work for
the CC of the 2.06 particularly in the South?
H M Bangur South -- there will be some difference in timing. But we will be also putting more lines in Kodla.
Some grinding unit may come a little early, but that has to be followed by us, where our 80-
million -ton plan is there, one unit in Kodla will be there. One unit in Raipur will be there. And
we are so sure about it because th e land and everything is there. So when we put the
clinkerization next, we don't have to put the grinding unit. Grinding unit, we are putting a little
bit in advance.
Raghav Maheshwari: So is it my understanding correct; we are ahead sometimes for the cement side. And clinker, we
will be followed by them?
H M Bangur Yes. Sometimes, we are ahead in the clinker, sometimes in the cement. But overall, in a next
two-year period, it will all be evened out. Your understanding is correct.
Raghav Maheshwari: And sir, one thing. What is the clinker production number for this quarter as well as the
sequentially Q1? Or this, can you provide that number?
Neeraj Akhoury: So we did about 59.61 lakh tons of clinker, 5.9 6 million tons. This is versus 46.16 lakh tons last
quarter -- last year same quarter, which is roughly about 30% increase.
Raghav Maheshwari: Sequentially, Q1 numbers?
Neeraj Akhoury: Sequentially, we are 11% high. W e were at 53.7 1 last quarter. As compared to 5 3.71 we have
gone up to 59.61 .
Raghav Maheshwari: Sir, if my understanding is correct on last quarter, our CC is somewhere around 1.60 where now
it's what number you are telling, it is 1.6. Where you told before your blended cement ratio is at
75%. And what is the reason to drop in the major C C and it's not reflecting in the material cost
sides. Can you just throw some light on that part?
Neeraj Akhoury: So we have given you our blended cement ratio, remember? What is happening is that some part
of the products now is CC, where the conversions are better versus only PP C.
Raghav Maheshwari: But sir, the clinker production number you are sharing, regularly showing, that you had reduced the
clinker spectrum for 1.6 to 1.46?
Neeraj Akhoury: Yes.
Raghav Maheshwari: Then, sir, what is the reason -- if your blended is at the same level, then what is the reason to
drop in the CC is not reflecting in any cost side?
H M Bangur It is reflected in cost side as per ton , our raw material cost has come down. It may be because of
volume. Sometimes the production number and the consumption numbers are not same. Part of
it maybe in the stock. We don't have the clinker stock numbers readily available. Secondly, area

to area, this is all composite area, where we see the East. For the other areas, the difference is
very high because if the East consumption is low, where the conversion factor is high.
In this quarter, if East percentage have come down, overall conversion factor will be changing to lower size because in North
sales blended cement, the percentage that we see in blended segment in North is 1.6 times -- 1.7 times , in East it is more
than 2 times . So if we are replacing
by 2 times to 1.7 times , average will come down. So those are all details that we have to discuss

point by point. Overall, it cannot be discus sed.
Moderator: Thank you. The next question is from the line of Cheragh Sidhwa from Emkay Global.
Cheragh Sidhwa: All my questions have been answered.
Moderator: We have the next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Sir, just one question. A couple of quarters. I mean in the previous conference call, the management has focused or highlighted the importance on premiumizat

ion, so to say. Now it's clearly heartening to see that our capacity expansion announced so far i s amongst the highest in the industry at 13%, 14% CAGR. And there is more to come, as you said, 80 million tons being the target. So in this backdrop of significant capacity addition, how should one look at volume versus value? That's my only question. Tha nk you.
H M Bangur Regarding premiumization, our focus is on the right pricing. The volumes will come later. But if the prices are diluted to get the volume much faster, then you wi n the sprint race but you lose the marathon race. So our volumes will grow very gradually, but our prices in premiumization is at the level at which we wanted. EBITDA is better. Premiumization for the sake of premiumization by investing more, giving a higher cost material with lower realization, lower EBITDA is not the idea. So w e are focusing on the right pricing, which is there. And right now, it is around 9.5% to 10%. And in the six months' time, it should be around 12%. This is all what we are expecting now.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
H M Bangur Thank you, everybody, for getting the better understanding. This quarter, the results were good. And next quarter, we expect this to be still better because of the expected improvement in prices and drop in cost . You all ask about the prices, past and more distant past, but compared to July, September quarter, October realization is higher by INR200 and the fuel cost is lower. Rest is all calculation. That's my closing remark. Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

SCL/BWR/SE/20 23-24/
6th February , 202 4

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra – Kurla Complex, Bandra (East)
MUMBAI – 400 051
SCRIP CODE: SHREECEM EQ
Debt Segment NCD ISIN: INE070A07061 BSE Ltd.
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
MUMBAI – 400 001
SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub: - Transcript of the Conference call
Dear Sirs,
Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations, 2015, the transcript of the Conference Call held on 31
st January, 2024 relating to the
Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and Nine Months ended 31st December, 2023 is enclosed .
Kindly take the same on record.
Thanking you,
For SHREE CEMENT LIMITED
(S.S. KHANDELWAL)
COMPANY SECRETARY

Encl: As above

"Shree Cement Limited
Q3 FY '2 4 Earnings Conference Call"
January 31, 202 4

MANAGEMENT : MR. NEERAJ AKHOURY – MANAGING DIRECTOR – SHREE CEMENT LIMITED
MR. ASHOK BHANDARI - SENIOR ADVISOR - SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER – SHREE CEMENT LIMITED
MR. SHYAM SUNDER KHANDELWAL – COMPANY SECRETARY – SHREE CEMENT LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to Shree Cement Q3 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please

note that this conference is being recorded.
I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities. Thank you, and over to you, sir.

Navin Sahadeo: Thank you, Yousuf. On behalf of ICICI Securities, I welcome you all to the Q3 FY '24 Earnings Call of Shree Cement Limited. From the management, we have with us M.D., Mr. Neera j Akhoury; Senior Advisor , Mr. Ashok Bhandari and CFO, Mr. Subhash Jajoo. So without any further ado, I hand over the call to Mr. Akhoury for his opening comments. Over to you, sir.

Neeraj Akhoury : Thank you, Navin. Good afternoon or good evening, ladies a nd gentlemen. Welcome you all to the earnings call of Shree Cement for the quarter ending December 2023. This quarter has been quite exciting for us on many things. We've just started a new plant in Rajasthan, Nawalgarh, which is one of the largest plants in the country and most probably even in the world. C ombined with that, we would also like to inform you that Shree Cement has been able to roll out what we call our revamped brand strategy to develop and become a more preferred brand for the markets.

And I would like in the very beginning to take you through what have we done with our new brand strategy and how we believe it will help us to further strengthen our market position. From last 1 year, we have been researching and we have been asking a lot of questions in the market, doing formal and informal research. And we found that there are areas where we need to redefine our business objectives. One of the business objective s was, and as we have said in the past calls as well was to enhance our consumer pull in the market as well as grow our premium product business.

While doing so, we were very convinced that as a brand, we need to become stronger in the IHB business by offering them a superior, innovative and a differentiated product, and that was one of the objective s that we took. All of this required us to review our brand architecture. And based on that, we have revamped our brand strategy with a master brand approach. We have launched in the month of January the master brand for all product categor ies of Shree, which will be under the master brand of Bangur, this will be across the markets.

There has been a lot of investments to create a new visual identity, to modernize the brand with a new logo as well as with what we do believe is one of the mos t modern packing designs. In addition, we have now streamlined our premium offering with one

premium in the market across the country. We call it Bangur Magna, which is a product with very superior formulation and also a very unique packing design.

What w e are doing today is heavy multimedia ad campaign, showcasing the new brand , Bangur Master brand. And very happy to say that our brand ambassador for the first phase is Sunny Deol. And with him, we have been able to bring some clutter -breaking advertisemen t campaign in the market.

The first leve l response, though it's too early, has been encouraging. We have exposed our ad campaign to about 50% of the target group within the first week itself and received very positive feedback through our follow -up resear ch in terms of the creative quality as well as in terms of interest of the consumers in our brand. In addition, we are doing a lot of parallel activities. We have connected to over 1.5 lakh contractors within

3 weeks and received encouraging report from th em in terms of our product and packing quality.

And very happy to say that as we are moving , Magna ’s share in our total sales which is also going up sharply. And we believe that we will be able to meet our objectives in the coming months. Going back to , I will be very happy to take more questions on our brand when we start the Q&A.

Going in the results, the broad features of the financial results, both Y -o-Y and Q -o-Q basis. This is how we would like to summarize this. So December '23 was one of the bette r quarters, if not the best quarters in last 2, 3 years. This was a quarter where we fired all cylinders, volumes was up, realization was up and cost was down. Sales have increased from about 8 million ton s in December '22 to about 8.9 million ton s in Dece mber '23, achieving a growth rate of roughly about 11%.

But more importantly, our utilization rates are now increasing from 72% last year to 77% this December. Also, the sales realization was up by about 3% from INR 4,854 to roughly about INR 5,006 per ton . Very encouraging to see that the average fuel cost is reduced by about 28% from about INR 2.46 per CV last year to about INR 1.78 per CV in the last quarter.

This contributed to increasing the total EBITDA from INR 708 crores in December '22, to INR 1,234 crores, growth of roughly about 74%, while EBITDA per ton was recorded at INR 1,387 per ton against INR 881 in the last year same quarter. Even on a sequential basis, we see improvement. Volumes were up by about 9% from 8.2 million tons to about 8.9 million tons in December '23.

Realizations improved from INR 4,843 per ton to again INR 5,006 per ton , up by 3%.

And fuel prices continued their downward trend and were at INR 1.78 per CV compared to INR 2.05 in the September '23 quarter. Total EBITDA increased from

INR 870 crores to INR 1,234 crores, registering a growth of roughly about 42% on a sequential basis. EBITDA per ton also increased from INR 1,062 per ton to what I said, INR 1,387 per ton.

Very happy to say we've already commissioned our 3.5 million ton s Nawalgarh plant. Another plant of 3 million ton s at Guntur is likely to be commissioned by this quarter end. We have ordered one more cement mill of 3 million ton s at our Pali, Rajasthan plant. Accordingly, we are on a target to achieve a capacity of about 75 million ton s by March '27, a further step to reach over 80 million tons cement capacity by March 2028.

On energy front, our capacity stands at 977 megawatt very close to 1 gigawatt now, and green power capacity of 73 megawatts has been commissioned in January '24, and another 133- megawatt is likely to be commissioned in the phases over '24, '25. This shall tak e our total power capacity to 1110- megawatt giving us a power sufficiency of about 65% from the current levels of 61%. It is another step towards a sustainable business model.

I have Mr. Ashok Bhandari and Mr. Subhash Jajoo with me, along with Mr. Khandelwal, our Company Secretary, and I would request them to take you through our fina ncial performance.

Ashok Bhandari : Good afternoon, everyone. I suggest that if you have any questions on the brand strategy or brand thought process, you may please go ahead and ask any question directly to MD. Otherwise, if you may want to go into the financial nitty -gritty, we can start it now itself.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Mr. Navin Sahadeo from ICICI Securities.

Navin Sahadeo : Congratulations on a great set of numbers. On the branding part of it, revamping this entire brand exercises have been done, I had two questions. One is, do we have milestone or target to reduce the price gap of Shree or now, of course, Bangur versus a benchmark, let's say, any particu

lar benchmark large company or an average, do we have a target in mind to narrow the price gap?

And over what period of time you're looking at? That's my first question. And second is, apart from this brand revamp, are we also looking to touch upon some of the other technical aspects such as, let's say, setting strength of the product or even the blain e kind of things? Are we looking to do some changes with that as well?

Neeraj Akhoury: Navin, as we said, this is the first phase of the exercise in which the objective is to improve our brand awareness. This is technically what we call the top -of-mind

awareness, or TOM, where we have a very definite range that we should go above 50 in the top -of-mind awareness of our brands in the market. Price is a subsequent topic.

We believe as we have now established very firm standards on quality of our product. Combined this with marketing, we should be able to improve our price position.

Having said that, our first target is to make sure that our premium product, Magna, sells at a better price in the market, in line with the quality which we are offering , in line with the differentiation that we are offering, in lines of initial strength or be it final strength that we are offering in the market. So that is the first lev el goal, Navin.

And I'm sure brand development is a long- term topic in fact . Many brands have invested over the years and to create the kind of position that they today command internationally as well as in India. We will also continue to invest in our bra nds with the objective that our brand should get a position in the market, which is in line with the quality that we offer and in line with the products and differentiation that we are offering.

Moderator: The next question is from the line of Parth Bhavsa r from Investec.

Parth Bhavsar : Congratulations on the good set of numbers Sir, I have 2 questions. One is on power and fuel, which has improved significantly quarter -on-quarter basis. And you also
mentioned that your consumption cost has declined to INR 1.78 per kCal. So wanted
to know like if there's any further room of improvement and if this number would sustain going ahead in coming quarters?
Neeraj Akhoury: I'm requesting my colleague Mr. Bhandari to answer your question.
Ashok Bhandari : Look, you h ave to appreciate two things. Number one is that the consumption is based
on weighted average cost of inventory we carry. The decline from INR 2.05 to INR
1.78 quarter -on-quarter is because the weighted average inventory carry cost has come
down. Though the pet coke prices yesterday showed a declining trend from $120 to
$110, yet as per our contract s and in pipeline, the fuel cost for this quarter on a
weighted average basis, based on the inventory and pipeline inventory, would remain
almost the same at abo ut INR 1.78 per kCal. Am I clear to you?
Parth Bhavsar : Okay, okay. So it wouldn't go down further at least in Q4, it is...
Ashok Bhandari : That is what I wanted to caution you. If the pet coke prices have come down, our procurement prices in future will also come down. However, as I explained, the
consumption is based on weighted average cost of inventory. So my inventory in last quarter was at about INR 1.78. And based on the inventory which we have and the
pipeline we have, it rem ains the same for this quarter.

Next quarter, it will come down, but that will move in tandem with how the
international prices of coal and pet coke changes. Another very interesting
development is that the South Africans because of the Red Sea turmoil are not being
able to ship it to Europe. So like Russia, they have started offering South African coal at a discount to international price to Indian consumers. So that may also play out, but this will all be next quarter. For this

quarter, you please take our fuel cost at about INR
1.78 per kilo calorie.
Parth Bhavsar : So the reason I asked this is, I just wanted to know if we won't again see like 1,650 burden of power and fuel cost and I understand the inventory thing and will come down...
Ashok Bhandari : Yes. That's what I'm saying. There are 2, 3 levers in that. Please understand that increase in capacity utilization from 72% to 77% has its whole cascading benefits and operating efficiencies, right? So saying that it will go to 1,650 or 1,540 or 1,450, I can't say that. I can say the general trend of a declining fuel cost because of increasing
operating efficiency, which is linked to capacity utilization. And as MD was
suggesting, we are just confident that 77% should go up only. It cannot come down.
So w hat kind of efficiency benefit we get by uptick in capacity utilization is very
difficult to determine as of now. I can only assure you that 2 things will help in Q4:
One is the fuel cost, but the consumption may decline because of increasing operating
efficiency. And the power cost will go down because the 73 megawatts of green power
commissioning in January will start giving us benefit in next 2 months.
So I must have better operating efficiency, better capacity utilization and lower fuel and power costs. Now how it will play out, what will be the plant load factors of the
renewables, it's very difficult to ascertain. But I'm fairly confident that at least this quarter performance should not deteriorate. It may only improve.
Parth Bhavsar : Okay. Perfect. Got it, sir. And just wanted to know the capex guidance for '25 and '26.
Ashok Bhandari : Listen. Let us put it like this, post Guntur commissioning, I'm not considering Guntur in this plan, we should be having a capex about INR 12,500 crores up to '27. And I
have INR 6,000 crores cash in my hand. So I will be needing about INR 6,000 crores
to INR 6,500 crores, which should come from internal accruals only.
Moderator: Next question is from the line of Shravan Shah from Dolat Capit al.
Shravan Shah: Congratulations on a great set of numbers. Sir, is it possible this way we have shared the power revenue and EBITDA for the last quarter, can you share for this quarter?
Ashok Bhandari : Yes, the revenue is at about INR 350 crores, and the EBITDA is about 10%. This is
power only.

Shravan Shah: Okay. And for 9 months?
Ashok Bhandari : I need to take it out. I have it. Just give me a second. The power revenue is INR 1,173
crores. And the EBITDA will be in the range of 9% to 10%. Last quarter, it was about
9%, but some benefit has come up because of lower fuel costs. So it should be at about
10%. You can take 10% as a benchmark.

Shravan Shah: Okay. Got it. And sir, cement realization, you mentioned 3% up for Q2. So it should
be INR 4,988 for this quarter, cement realization.
Ashok Bhandari : My dear friend, what is happening is because you did not have the power revenue numbers you must have used the consolidated revenue divided by cement only. You
knock off 350 from there and then see the numb ers are INR 5,006.
Shravan Shah: Okay. Okay. Got it. And if you can help us in terms of the time line for all the ongoing
expansion. So Guntur, will it be starting this March - April?
Ashok Bhandari : Yes, this March itself, not April. I'll take you broadly through the numbers. We should be 56 million ton s by March '24; 62 million by March '25; 65 million by September
'25; and March '27, it should be 75 million.
Shravan Shah: Okay. Okay. Got it. So in terms of – - the latest 3MTPA Ras expansion, sir, what woul d
be the capex for that?
Ashok Bhandari : The capex for 3 million ton s Ras will be about INR 600 crores because it's a
brownfield.
Shravan Shah: Got it. Got it. So 9 months, how much capex we have done in...
Moderator: Sir, may we please request you to rejoin in the

queue as there are several participants
waiting for their turn.
Ashok Bhandari : Hello.
Shravan Shah: Yes sir.
Ashok Bhandari : Yes. It is INR 2,600 crores.
Moderator: Next question is from the line of Prateek Kumar from Jefferies.
Prateek Kuma r: Sir, congratulations for great set of results.
Ashok Bhandari : I'm happy you liked it.
Prateek Kumar: Yes. So on volume growth, we have like clearly outperformed the industry growth in this quarter at 11%.

Ashok Bhandari : One second, my dear friend, if you have a doubt on that number, please ask so or we
are the best.
Prateek Kumar: Yes, so you are the best. So how do we look at -- like next year is expected to be
relatively dull year for the volume growth because of 1 or 2 quarters of impact of
demand because of elections. How do we look at demand growth for next year?
Ashok Bhandari : Let me put it like this. March '24, we should be certainly 35 million -plus. March '25,
we expect to touch the magic number of 40 million ton s. The industry should grow
betw een 8% to 10%. So if I'm 35.2 or something, I may be hardly 1% higher than the
industry average growth rate.
Prateek Kumar: Okay. 8% to 10% for this year, you...
Ashok Bhandari : No, 8% to 10% next year. This year is gone, whatever. You want the number of t his
year, I can give you, add 9 million to the number we have already published and you
will understand what the growth is, it will be 35 plus. So we will be at about 11% to 12%.
Prateek Kumar: Okay. And next year, 40 million tons, okay. So we'll be growin g at higher than the
industry, if industry growth are 8% to 10%.
Neeraj Akhoury: We are in line with the industry. In fact, we should be about 12% this year yes. Hopefully.
Prateek Kumar: And just on profitability. So we understand there is some price rollback in the current quarter of Q4. So...
Ashok Bhandari : Prateek, let us understand like this. After all, it's a cyclical business, and it is completely
dependent on the demand and supply in the market. And you might not have interacted
with me earlier . We have never given any price guidance because price is not in t he
control of any manufacturer.
We have always given cost guidance, I have already stated that my cost should tend to
be lower because of the rational explained on fuel and other things. Now it is your call
completely as an equity analyst or a cement industry analyst to take a call on where the
prices will go. We have never given any EBITDA guidance.
We have never given any price guidance because EBITDA is a result of price minus
cost. We'll give you cost guidance and we'll give you the general trend of cost. So
please excuse me, I will not be in a position to give you a top line or a bottom line
number. I can tell you how my cost should be.

Prateek Kumar: Certainly. And just on -- while this question was discussed slightly earlier, on your
premium product mix, how is that expected to flow into your EBITDA per ton ...

Ashok Bhandari : Let us understand. The incremental revenue reflected in this quarter is because of a
better product mix, lower lo gistic costs and higher capacity utilization. The same
factors should play out because whatever game we have learned in the last 6 to 9 months should only get improved, isn't it?
Lea rning is a long learning curve.
So it should improve. And we feel that on the cost front, there is no reason for us to believe that we will let you guys down. On the revenue, let the market take a call.
Moderator: The next question is from the line of Jashandeep Singh Chadha from Nomura.
Ashok Bhandari : Mr. Chadha, get well soon . You can get the conference call transcript.
Jashandeep Chadha : Congratulations on a great set of numbers, sir. Sir, you have explained the power and fuel cost. I just wanted to understand the log

istics cost, I think a couple of quarters back, a lot of initiatives were told to us that will be taking to reduce the logistical costs, one being putting up railway siding at various plants. So how is the progress on that if
we can get an update...
Ashok Bhandari : First, a ll of you have to appreciate that when there is a churn in the organization, it
takes its own time to settle down and become stable. On logistics front, what has really
happened is that because of induction of professional managers, we have been able to
cut on lead distance, and we have been ab le to optimize the cost also to some extent.
As far as railway siding is concerned, we are progressing on it. I'm on record with you
that by March '27, we should be 80% to 90% dependent on our own railway siding.
We are working on it. The progress is going on.
Railway siding, the biggest hassle is acquiring that particular parcel of land, which
becomes pricey because people know that you need that land so we are working on it. Purulia we should be able to, which is in East India. We should be able to compl ete it
before September this year. And balance, I'll keep you updated. This is a quarter -on-
quarter progress kind of a number. You can't pin me down, please. March '27 is the target.
Jashandeep Chadha : Right. And sir, one clarification I want. So by FY' 26, 75 million ton capacity, you
should have around 20 million to 20.5 million ton s in East. And on back of that, you
have around...
Ashok Bhandari : Ok 21 million tons.

Jashandeep Chadha : Right, sir. And on back of that, the backing up clinker is around 9.2 million to 9.5
million tons. So will we have a situatio n of clinker shortage given 1.8 Clinker fa ctor.
Ashok Bhandari : You have to understand. Is world is going to end? Right. So 80 mill ion is my target.
Jashandeep Chadha : And is there any preferred pecking order on that or you are still there on...
Ashok Bhandari : Pecking order is clear. Kodla is number one. And second is, of course, Ras, my north
plant. For a nother grinding unit, we will reassess the position . The grinding unit
addition in the East is happening between '25 and '26. So, we have time for that. That
is a brownfield. There is no shortage of limestone. A kiln can be set up in 18 months,
what is the problem my friend?
Moderator: Next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Ashok Bhandari : Rajesh, how did you like the numbers?
Rajesh Kumar Ravi : Fantastic numbers, sir. That is what I was trying to start with, is a great set of numbers.
Congra tulations to the team. And sir, could you share what was the trade mix and
blended cement production in this quarter?
Ashok Bhandari : It was about 76: 24, if I remember correctly.
Rajesh Kumar Ravi : Trade mix, okay. And blended?
Ashok Bhandari : Blended cement.
Rajesh Kumar Ravi : Yes, blended cement share?
Ashok Bhandari : One second.
Rajesh Kumar Ravi : And also fuel mix?
Ashok Bhandari : See, the thing is that I have the fuel mix paper. Yes, I'll ask Mr. Jajoo to reply.
Subhash Jajoo : Yes. So blending rati o was around 72%. And our fuel mix for this quarter is 73% pet
coke; coal 15%; and alternative fuel around 12%.
Rajesh Kumar Ravi : Sir, this year, 9 months of total capex you mentioned?
Ashok Bhandari : I said INR 2,600 crores.
Rajesh Kumar Ravi : And full year, how much will we spend, sir, this year?
Ashok Bhandari : I didn't understand, say it again .

Rajesh Kumar Ravi : The remaining 3 months, how much capex we are charging and this INR 12,500 crores, which will be subsequent for next 2, 3 years, how will th at...
Ashok Bhandari : In this quarter, we expect about INR 600 crores to INR 700 crores of capex .
Rajesh Kumar Ravi : Okay. And this INR 12,500 crores for next 3 years?
Ashok Bhandari :

You understand. I am adding 6 million next year. We do simple math.
Rajesh Kumar Ravi: Okay.
Ashok Bhandari: Total 56 by March’24 and 75 by March’27, So roughly 18 million tonne capacity addition will be there .
Rajesh Kumar Ravi: Right.
Ashok Bhandari: In 18 Million , Greenfield is only one . Let it be, we don't get into th e Greenfield - Brownfield issue. Simply divide 12,500 by 18.
Rajesh Kumar Ravi: Okay.
Ashok Bhandari: Multiply 6 million ton next year.
Rajesh Kumar Ravi: Okay.
Ashok Bhandari: 6 million tonne in 25-26 and 6 million tonne in 26-27. So, take one third for each year . It will come to around INR 4,500 crores .
Rajesh Kumar Ravi : INR 4,500 crores . Okay. And sir, this logistics cost, which you mentioned, you already addressed that this is now because of your various initiatives. And this number should remain steady?
Ashok Bhandari : For this quarter, yes, I'm telling you that this number should remain steady. It's not improving.
Rajesh Kumar Ravi : Incrementally, it can only go down. Is that understanding right?
Ashok Bhandari : Look at it. What are the elements in my cost, brother? The most important element is fuel, power and logistics. Fuel, now we are seeing a declining trend. In power , green energy or renewable energy share is increasing , logistic we are working on, and railway siding expected shortly at Purulia plant . So it should be declining.
Rajesh Kumar Ravi : Great, sir. And lastly, could you share what has been the demand trend in these East market and North markets during the quarter, your assessment of demand, in dustry demand?

Ashok Bhandari : Mr. Jajoo will address this.
Subhash Jajoo : The demand trend in the last quarter , it was best in the North India. East was a bit weak. So our sales grew by around more than 10% in North. And in East, it was around 2% to 3%. South, the growth was around 10%.
Ashok Bhandari : South including West.
Subhash Jajoo : South and West is combined.
Rajesh Kumar Ravi : Okay. South and west together, okay.
Subhash Jajoo : Yes. So this is on a sequential basis. And if you consider on a year -on-year basis also, North was the best -performing market with around 12% to 13% growth, similar about South. And East was a bit down at around 7% to 8%. Overall, the growth was around 11%.
Rajesh Kumar Ravi : Great. Great. So East also you witness 7% to 8% gr owth?
Subhash Jajoo : Yes.
Rajesh Kumar Ravi : Okay. And industry, what would have been the numbers are broadly? Is there any understanding on the industry for East?
Subhash Jajoo : I don't have the individual region- wise number, but I think the overall, the growth is around 8% or so.
Moderator: Next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain : A couple of questions. One on just I'm not sure if I missed it, but any comments on the income tax demand that we saw the notification. Can you provide any comments on your side?
Ashok Bhandari : Mr. Jain, you will appreciate that we are covered under LODR. Any development on that part legally requires me to send a disclosure within 24 hours to stock exchanges. If we have not sent a disclosure, then obviously, we don't know and no development has taken place to the best of our knowledge.
Satyadeep Jain : Okay. Secondly, on the cash position, can you give us...
Ashok Bhandari : INR 6,000 crores as on 31s t December.
Moderator: Next question is from the line of Ran gan V ., an individual investor.
Ashok Bhandari : Yes, please.

Rangan V. : Hello, Rangan here.
Ashok Bhandari: Please tell , Mr. Ranjan
Rangan V.: A very good set of numbers, sir. I'm a very long -term investor about 33 years in your company. I appreciate the company because due to capacity increase, the sales should grow not due to the pri

ce increase. And I find the depreciation was about 1,104 Cr in the 9M FY23 , and it has decreased for the 9 months FY 24 from 1,104 Cr to 986 Cr what is the reason?
Like what is the cost per unit of the cement produced, started reducing like that and what will be the current year, current next quarter also will be much better than the present on that is what I believe. And I appreciate the dividend aspect of it. A company like ours it should be difficult when I ask for the split something like that.
See, okay. On the dividend front, you have given a good dividend. I appreciate that. I wish you all the best, sir. I don't have any questions. Cash conversion cycle also how many number of days can you tell me that?
Ashok Bhandari : Just give me. Let me address one question at a time. As far as depreciation is concerned, p lease note that Nawalgarh 's commercial production started on 22 January.
No depreciation has been reflected in the 9 -month period. I n this quarter, you will have a much lumpier depreciation number because of Nawalgarh and commissioning of Guntur.
Okay. This is one part of the story. The second one was -- can you please repeat your questions because I tend to forget what all you had asked.
Rangan V.: Per tonn of cement, how much electricity units are consumed.
Ashok Bhandari : Units ,you mean to say power u nits?
Rangan V.: Yes. Power units.
Ashok Bhandari : About 68.
Rangan V.: About?
Ashok Bhandari : 68.
Rangan V.: 68, very good, very good. Fantastic. No doubt. And what about the cash conversion cycle? I mean, how many number of days?
Ashok Bhandari : We should be at about 72.

Rangan V.: That is the industry standard or...
Ashok Bhandari: Well, we have not compared. And we'll get back to you, Mr. Gagandeep if you can send a mail to the CFO of the company.
Rangan V.: I'm not Gagandeep, I am Rangan from shar eholders. I'm not Gagandeep, okay.
Ashok Bhandari : I'm sorry, Mr. Rangan because we had introduced somebody as Gagandeep. Never mind...
Rangan V.: Yes, look, I'm Rangan R -A-N-G-A-N. Okay, I'm a shareholder.
Ashok Bhandari : yes, Mr. Rangan. Because I was al so wondering, Gagandeep is a North Indian name and your accent was South Indian. So I was kind of confused but I can -- Mr. Rangan, the cash conversion, please send a mail to CFO. And we'll see that it gets replied tomorrow because you want me the industry norms also, which I don't have ready.
Moderator: Next question is from the line of Devesh Agarwal from IIFL Securities.
Devesh Agarwal : Sir, a couple of questions. First on the branding. If you could share, are we kind of holding some of our brands into t his new brand strategy that we have of Bangur and Bangur Magna. So some of our premium brand, are we holding into that?
Ashok Bhandari : First of all, please be clear. MD sir has explained that earlier our brands were Jangrodhak, Rockstrong, and Bangur , something like this. Now, from class I mean, all the sub products are the same but instead of the name Shree, we are using Bangur as the generic name and then we are classifying all these products. Magna is a new introduction. Magna is only for premium quality cement.
Devesh Agarwal : So Roofon will continue, sir?
Neeraj Akhoury: No. At the moment, we have 3 variants at one price point, which is Jungrodhak, Powermax and Rockstrong. We have the premium as Magna.
Devesh Agarwal : Understood. And sir, second qu estion, if you could share the geo mix in the quarter, that will be helpful.
Ashok Bhandari : Yes, Mr. Jajoo will give it to you.
Subhash Jajoo : Yes. The geo mix for the current quarter is roughly 60% is from North, around 28% to

29% is from East and roughl y 12% is from South.
Devesh Agarwal : Okay, sir. And lastly, sir, we see this stock in purchase of INR 50-odd crores in the quarter. So in the past, you had told us that there are

some coal shipments that we have
sold, which gets reflected in this line item. So what was this in this quarter?

Subhash Jajoo : Yes. For last quarter, it was pertaining to some coal sales. But this time, the INR 52 crores, yes, it is for some clinker purchase.
Moderator: Next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka : So on the cost per se, there is obviously a big decline in freight. You mentioned that it is because of the distance. What was the lead distance in the quarter? And what would have been in previous quarter or last year?
Ashok Bhandar i: Look, I think previous quarter was about 472. And this quarter, it has come to about 448.
Amit Murarka : Okay. And is there any expectation of it to come down further?
Ashok Bhandari : Obviously, everybody is working on that my friend. And the biggest advantage will be when we commission our grinding units in diverse geographic locations. G rinding units are wheel and folk only. So the number of folks you increase your lead distances go down.
Amit Murarka : Right. Got it. And also on this power as well as th e coal trading that has happened. So on coal, like we believe it was a one- off, right, so going ahead...
Ashok Bhandari : We belong to the philosophy that money doesn't make anybody's pocket. We got an opportunity, we did it. If we get another opportunity, we'll try to do it. But that is not the focus area.
Amit Murarka : Okay, sure. And power, what was the sale in this quarter number of units?
Ashok Bhandari : I don't know about the number of units. It's 350 crores. I'll send you the data.
Amit Murarka : Okay. Okay. And lastly, South, the plants that are coming up Dachepalli and all. So like what will be the target market? Why I ask that is generally like those markets in Andhra and all have been earning lower margin per se, what would be the pricing of brandin g strategy when you go into those markets?
Ashok Bhandari : Amit, you have to understand two things. One is Guntur. So draw a circle of 450- 500 kilometer on all sides of Guntur. With a dia of 500 km. That is the natural market. My lead distance is 448, on a verage it will be 450, it won't make much difference. But the idea is that when you try to assess the market of any cement plant, then 450 to 500 is the maximum lead distance you can transport economically. Am I clear to you?
Amit Murarka : Yes, I get it. Y es.25
Ashok Bhandari : So, according to that, that market is defined. Now if you want specific details state wise then I will ask the marketing people and tell you. We know that there can't be a

lead distance of more than 500, because then cost economics deteriorate. So the plant is there to make money, what to do .
Amit Murarka : Sure. And just last question so that you are close to reaching 80 million ton s now. So based on your current limestone reserves and all, like what is the further scope for brownfield left now like in all these...
Ashok Bhandari : Have you visited Ras, Amit?
Amit Murarka : No.
Ashok Bhandari : So if you come and see, assume that we don't work without 50 years reserve of limestone. 50 years is the minimum benchmark to set up a plant . Because you make much more money by multiplying at the same site. That becomes a brownfield expansion. So, if I have a reserve of 50 years then I have to work accordingly . Like in Guntur, we have put up 1.5 million clinker unit and 3 million is cement. So, depending on the limestone reserve, we can expand by 1 million or 2 million . I haven't calculated it specifically. So generally ,we don't work without a 50- year reserve.
Moderator: Next question is from the line of Rashi Chopra from Citi Group.
Rashi Chopra : Most of my questions are answered. Just on the green power, what was the percentage in this quarter?

Ashok Bhandari : We are at about 58%.

Rashi Chopra : 58%. And the 73 megawatts that you added is, how is...
Ashok Bhandari : This is in January only, Raashi.
Rashi Chopra : So this is waste heat or...
Ashok Bhandari : No, no. These are renewables -- sorry, Nawalgarh is there. So Nawalgarh waste heat is there, which is 33 -- no, 33- megawatt is the solar. Okay 33 megawatt, sorry. I stand corrected. 33 -megaw att of waste heat recovery in Nawalgarh and 40 is solar.
Rashi Chopra : 40 is solar. And then I missed this in the beginning, how much more is getting added over the course of next year?
Ashok Bhandari : Well, we are going to add about 133 megawatts of addit ional capacity, out of which whatever is tied up with the kiln, they would be there. And I can give you the exact numbers, one sec. In 24 -25, 52 megawatts of solar.Nothing in wind. And 33 megawatts of a waste heat. This is it. A nd please remember the 73 is not the end for this financial year. We are expecting to co mission a 6 -megawatt wind power at Maharashtra. So this

year, total addition on green energy, sustainable energy, whatever you want to call, will be about 80- megawatt and 133 next year.
Rashi Chopra : Sorry, the 133 next year, just have a breakup of 52 as solar and 33 WHRB
Ashok Bhandari : It is 94 MW Solar, 33 MW WHR and 6 MW Wind.
Rashi Chopra : Total, okay. Understood. Got it. And just one more question. What was your premium product percentage this quarter?
Ashok Bhandari : It was north of 9%, I think.
Rashi Chopra : Okay. And FY '25, the target is 15%?
Ashok Bhandari : Yes, please?
Rashi Chopra : FY'25 is 15%, the target?
Ashok Bhandari : If 15 happens, who is going to disagree?
Neeraj Akhoury: One would hope and one would try, but we can't give you a numbers at this moment.
Moderator: Next question is from the line of Prateek Maheshwari from HSBC Securities.
Prateek Maheshwari : Congratulations on a very good set of results. Sir, I had a question on the premium brands and the branding that has happened recently. So one of the comments earlier made was that there is -- first of all, there is a brand recall that is increasing.

The other thing is also the quality that has improved. So on the quality asp ect, I just wanted to ask like what has changed and like if that would also result in an increase in cost, making the financial or something like that. And that is one aspect. Also, when I say the brand Magna versus your base brands, the price difference i s closer to INR 55 to INR 60 per bag.

And when I compared it with the other players, may have a premium brand over at INR 30, INR 35 per bag high. So about double digit gap difference. So is that sustainable? How are you guys looking at it, sir? That was m y first question.
Neeraj Akhoury: The premium price gap with your base product across geographies is based on what kind of a market pull you are able to create. We are today anchoring it at a certain level you have seen that about INR 55 higher and we are s eeing some, I would say, encouraging results.

And this is a journey. It's a journey as the brand equity develops, we would also be investing in what more we can do on the product quality, what we can do on the

services, what we can do on other facts. And as we develop then over a period of time, this price will stabilize. So we are -- what we are seeing today is the first level anchoring of that price in the various market. But this question would be better answered in about 1 year time of where it is sett ling, where is it that we are able to create a better value of both volumes and price.
Prateek Maheshwari : Yes sir. On the same -- to ask on the quality question, sir, does the quality improvement also driving...
Neeraj Akhoury: Quality is a continuous journey. It's a journey which,

as we said in the conference call last time also, what we have done is to create a very strong set of proper function of R&D at our head office. The purpose is to initiate those actions by which we are able to improve quality while not increasing the cost , increasing the cost and improving the quality is very easy one.

But our challenge is that we are addressing through our R&D of how do you increase

quality going beyond what has been done for many other years without increasing the
cost of the product.
Prateek Maheshwari : Okay. Sir, the other question that I wanted to ask was on your capacity footprint, which will kind of increase from around 50 million to 75 million ton s. You rightly said that
increase brand unit footprint will drive down the lead distance. As of the moment, sir,
you know what the footprint is and how those footprint is changing. So any targeted
reductions in lead distance from the current 450 levels that you guys already mapped?
Ashok Bhandari : Look my friend, w e have already reduced it by about 25 kilometers. Major reduction
will come on commissioning of our various grinding units. However, we have got a
highly professional logistics team now who are continuously trying to improve on the lead distances. It is al so dependent on what is the trade -off or delta in profitability
between premium cement and our standard quality cement.
If I -- the name of the game is make money. It is from lead distances and other things
are explanation to cost. If by sending to a high er distance we are making more money
because the realization is better, we are not averse to that. Neither you should be because the bottom line ultimately matters.
So, all these finer details as the business model of premium cement itself is evolving, you will have to keep on checking with us on these parameters quarter -on-quarter. And
we will be happy to report, they will get reflected in our bottom line
If you are asking how it will go, it is difficult to say. India is one, but each region has
its own dynamic, own market, all kind of premium and non -premium cement. Now, if
I tell you, you'll be surprised, the highest percentage of premium cement being sold in

India is in a state called Bihar , of all manufacturers. They sell highest premium cement
in Bihar. This is surprising.
Prateek Maheshwari : Okay, sir. Another just on the AFR targets, I think you had the interim target of 15%.
Just where are we on AFR usage as of now?
Ashok Bhandari : Look, alternative fuel o r TSR, whatever you want to call it, is completely dependent
on the cost economics. By doing TSR, whether we say we don't save or what kind of
risk are associated with handling those AFRs, it depends on period to period.
Yes, we are committed towards a bet ter or a more sustainable operation
environmentally, but we were nothing 5 years in my previous innings with the
company. We did not even think of alternative fuel and all these things. As the model
developed, we also started getting accustomed to all this , and we have started working
on it. Now let us see.
Prateek Maheshwari : As the fuel has fallen to 1.8 or something, is it kind of not making much lesser sense
now because a lot of other players have...
Ashok Bhandari : No, no, we understand. You got us onl y this much that we have enough commercial
prudence to do the AFR only if it is commercially viable.
Moderator: Ladies and gentlemen, due to time constraint, we will take this as the last question for the day. I now hand the conference over to the manageme nt for the closing comments.
Ashok Bhandari : Thank you very much, my dear friends. It was a pleasure interacting with you after a long time. Let us do it more often. And thank you indeed for your good words. Thanks.
Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference.
Thank you all for joini

ng us, and you may now disconnect your lines.

Call: May 2024

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21st May , 202 4

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Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
MUMBAI – 400 001
SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub: - Transcript of the Conference call

Dear Sirs,

Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations, 2015, the transcript of the Conference Call held on 15th May , 2024 relating to the audited Standalone and Consolidated Financial Results of the Company for the Q uarter and Year ended 31st March , 2024 is enclosed .
Kindly take the same on record.
Thanking you,
For SHREE CEMENT LIMITED
(S.S. KHANDELWAL)
COMPANY SECRETARY
Encl: As above

"Shree Cement Limited
Q4 FY '2 4 Earnings Conference Call"
May 15, 202 4

MANAGEMENT : MR. NEERAJ AKHOURY – MANAGING DIRECTOR – SHREE CEMENT LIMITED
MR. ASHOK BHANDARI – SENIOR ADVISOR – SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER – SHREE CEMENT LIMITED
MR. K.K. JAIN- HEAD OF FINANCE - SHREE CEMENT LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to Shree Cement Q4 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded . I now hand the conference over to Mr. Navi n from ICICI Securities. Thank you, and over to you, sir.

Navin Sahadeo: Thank you, Steve. Good morning, everyone. On behalf of ICICI Securities, I welcome you all to the Q4 FY '24 earnings call of Shree Cement Limited. From the management, we have with us MD, M r. Neeraj Akhoury; Senior Advisor, Mr. Ashok Bhandari; and CFO, Mr. Subhash Jajoo. So without any further ado, I hand over the call to the management for their opening comments. Over to you, Akhoury ji.

Neeraj Akhoury : Thank you, Navin. Good morning, ladies and gentlemen. I hope my voice is loud and clear. Most welcome to the earnings call of Shree Cement Limited, also now known as Bangur in the market for the quarter and year ending March '24. During our last call, we informed you that we have taken a major exercise to simplify our brand structure with Bangur as master brand and also launched a new premium brand called Magna.

I'm happy to see the enthusiastic support and response that we received for our master brand Bangur for the last quarter. This rebranding as I explained last year is combined with our accelerated channel expansion programs, but also very sharply focused on creating a sustainable differentiation amongst the consumers.

The broad features of the financial results both on year -on-year and quarter -on-quarter basis can be summarized as follows. So very happy to say that Shree Cement recorded its best -ever volume and profitability in the year 23 - 24. Due to buoyancy in the demand, the total sales were up by about 12% from 31.8 million tons to 35.5 million tons , thereby increasing capacity utilization from 70% in 2022 -23 to 77% in 23-24. Of course, realization remained flat at INR 4,833 against around INR4,872 per ton last year.

Operational EBITDA increased by 48% from INR 2,942 crores to INR 4,364 crores on the back of rising volumes, lower fuel cost, operating efficiencies and leverage and, of course, our very major thrust on the digital initiatives. Both this quarter as well as annual EBITDA are the highest ever achieved by the company durin g any quarter or year. Also, the net profit for the year, I believe, is highest ever achieved by the company.

In the March '24 quarter, our total sales were up by 8% at 9.5 million tons against at about 8.8 million tons registered in the March '23 quarter. Capacity utilization was also at about 79% versus 78% in the last March quarter. Our realization were, however, down by about 3% from INR4,847 to INR 4,721 per ton. Fuel cost witnessed a significant downward trajectory from INR2.53 per CV to INR 1.82 per CV in the last quarter, majorly contributing in the EBITDA

increase from INR 892 crores to INR 1,327 crores. EBITDA per ton also stood at a healthy INR1,392 per ton, up by about 38% versus last year at INR 1,011 per ton.

On the capex front, apart from operationalizing integrated units at Nawalgarh in Jan '24 this year, we commissioned our 3 million- ton Guntur plant in Andhra Pradesh on April 2nd of this year. Work is also progressing well on the other 80 million tons capacity expansion projects, which we have already announced last time as well. We believe that we should be completing out of this, about 9.4 million to 10 million tons capacity in FY '25 itself.

Rest assured, everyone that we'll continue to pro

gress wit h all our attention on the expansion projects in the coming years as well. The company is very happy to say the company's green power generation capacity, which now stands at 480-megawatt as on 31st March 2024. This is versus 386 megawatts in the last Mar ch quarter. The company is in the process of adding another 188-megawatt of green power capacity at various locations.

During Q4 '24, Shree also became part of the prestigious RE100 initiative where we have committed to using 100% of energy through renewable sources by 2050. Our existing green power consumption is roughly about 56% of our total power consumption, which will further increase to over 60% with this new renewable power plants coming in.

We have increased usage of alternate fuels as well, like agro waste, stubble, hazardous waste to reduce Greenhouse emissions. We are working aggressively on setting up advanced technology shredders and associated equipments to increase usage of municipal solid waste which will increase our TSR level significantl y.

Our water harvesting and conservation initiatives have helped us. And now we are very -very proud to state, we are about 7x water positive. This is up from 6x last year. And these are the areas where we would like to work more in the coming years. Again, very proud to say that our new vertical ready -mix concrete business, which we announced last time, we have signed a deal to purchase 5 ready -mix plants in Mumbai at a consideration of about INR 33.5 crores.

Additionally, we have also commissioned 1 more pl ant in Hyderabad with a facility of 90 cubic meters per hour capacity.

The company has mega plans to scale up this business very fast. And soon, you will see us as an important player in the

ready -mix business as well. This is from my side. Now I hand over to
my colleagues, Mr. Ashok Bhandari who is a Senior Advisor; Mr. Subhash Jajoo, our CFO; and
Mr. K.K. Jain, our Head of Finance, to take this conversation further. Thank you, everybody.
Thanks a lot.
Ashok Bhandari : Good morning, everybody. Before we sta rt going into the results, let me share my experience of various NDRs I have held in last 1 year. The common questions, which have been asked to me why the growth is slow, what is happening to the convergence of EBITDA margin, why are you not doing inorganic, why are you not being more aggressive in the market? Now to address all this once for all, I thought this is the right time to tell you what the ethos had been of Shree Cement and what is the cultural background and how we have progressed.

If you look at CRISIL data of per capita cement consumption CAGR, from 2001 till date or 2023, if you may correct me the CAGR is 7%. You will be surprised to note that during this period, the capacity of Shree Cement grew by 17%. So the challenge, which is being faced to us that why are you slow in expansion is probably misplaced. If we are growing more than 2.5x the market .
Secondly, why are you so conservative? Why don't you look at inorganic? Why don't you look at other opportunities? Yes, point taken. B ut let me share with you another data point. Since 1985 till 2024 March, the internal rate of return generated by Shree Cement for its shareholders is north of 24%, we are exactly at 24.40 %. Now this has been possible because of a very astute capital alloc ation strategy and also our penchant to protect the sanctity of equity.
Please understand, once we go into the inorganic section, we may jeopardize the liability side of the balance sheet, which is the main value driver for equity shares. Asset side doesn' t drive the value of equity my dear friend, it is the net enterprise value, net of debt, which is the equity value determinant. And that is why we prefer to grow organically because when you grow organically, when you don't borrow and when you don't dilute , then you are using one fungib

le asset like cash and investments into fixed assets for better productivity.
Having said all this, let me give you another very interesting point. We have INR3.6 crores equity shares outstanding, and we are sitting at a capacity of 56 million tons, which should go to 62 plus million tons within this financial year. Ipso facto , this means that for every share we have created 15 tons of capacity. And by 2028, every share will lead to 20 tons of capacity. I challenge all and sundry to show me a single company, which has created this kind of equity value. And on top of that, more than INR5,000 crores cash in the bank. I assure you that going to 80 million tons, we neither need equity nor we need debt. We have sufficient internal generations and cash balance to meet the entire capex requirement.
Now I open the floor to questioning. I wanted to address all these points so that everybody is in sync with the ethos and culture. Shree has never been an aggressive expander, it has never wanted to become number one cement player in India. It has always aspired to remain the most profitable cement plant in India, and that is what we have achieved. And between the two years of lull in capacity creation, we were not sitting idle, as Mr. Akhour y pointed out, our renewables have gone to 480 megawatts.
We are still actively working with 1 88 megawatts of additional capacity to be created. This takes the renewable share in the overall energy consumption from 56% correctly to 62% -63%. Please appreciate that the arbitrage between a weighted average mix cost of energy and purchased energy is about INR3, and you need about 66 units of power per ton of cement.
Also, as Mr. Akhoury pointed out, the fuel cost has come to INR1. 82 NAR or per kilocalorie as received. We don't see at the moment any uptick in this. We have sufficient pipeline to maintain at least INR1 .82 per kilocalorie cost. So there is no threat from the fuel side. The cost side should improve. Capacity utilization has been the focus. We intend to reach the capacity utilization of 80%.

We would have reached it last quarter, but for the fact that for 2 days, the new launch of brand event and the migration from old Oracle system to SAP has taken away about 3 to 4 days of dispatches. If you add 4 lakh tons of additional dispatch, our capacity utilization as on March 31 would have reached 80%. That is the aim we intend to achieve in '24-25.
And hopefully, the prices should support us. I don't take a call on prices. So I don't take a call on EBITDA. But I have always taken a call on cost, and I can assure you that looking at current fuel price trend, looking at overall logistic pricing and the work we are doing on logistics front

should keep all these costs in check. Balance are very nominal costs, th ey don't make the cement business very sensitive.
I would also like to share one point, which is very important. By 2028, we intend to have rail connectivity at all our sites. Detailed statements are available. And I suggest and I strongly suggest that I h ave been privileged to be the part of Shree Cement journey for the last 40 years. Probably I understand this company good enough. All of you, all in sundry are invited my doors are open, come and understand first.
You see risk is inversely proportional to knowledge. Increase your knowledge on us, then assess risk and take your decisions. You all are in telligent enough, you all analys e and understand the business enough. But maybe you don't know the ethos and culture of this company fully. So I invite each o ne of you to come and personally meet me just to understand how the company was managed for 40 years.
I suggest all your financial questions be directed to Subhash Jajoo. He is there, and I would like to clarify on all points if I have to at all intervene, I will do. And if you have a question directly for me, pl

ease feel free to say so. Thank you. I'm giving it to Jajoo.
Subhash Jajoo : Navin, we can start with the Q&A session.
Moderator: Thank you very much sir. We will now begin the question-and -answer se ssion. The first question is from the line of Amit Murarka from Axis Capital.
Ashok Bhandari: Sir, Ashok Bhandari here.
Amit Murarka : Yes, Bhandariji.
Ashok Bhandari: Sir, it was such a long meeting. I explained the whole philosophy to you. Where did the confusion remain?
Amit Murarka : We will connect again on that one.
Ashok Bhandari: All right, okay, fine. Thanks. Now you can go ahead and join with Jaj oo. Jaj oo, please.
Amit Murarka : Yes. So on the Q4 like couple of things I wanted to clarify. First thing was what was the power revenue booked in Q4? And also, if you could just help understand the EBITDA that came from the Power segment?

Subhash Jajoo : Power revenue during the March was around INR440 crores and roughly 10% is the EBITDA, which we get out of this.
Amit Murarka : Okay. To understand the fuel sourcing that you do for power. So the coal prices generally have corrected to, I think, INR1.75, INR1.8, given the imported coalers broadly. So is the EBITDA margin still at 10% with the lower fuel cost that you are seeing now?
Ashok Bhandari : Amit, I had explained to you we have very old power plants. Our thermal efficiency of the new power plants are very low. We are 1,200 kilometers land lo cked . Please understand that my repair and maintenance incidents and though the fuel cost has come down and other auxiliary plus the efficiency of the plant. The 300 megawatt IPP was set up in 2010 or so . We have fully recovered the capital cost of the plant. Now we are running it because it makes money. If it doesn't make money, we will stop it. If it makes 10%, then so be it . You are right that the coal cost has come down and your EBITDA margin should increase. The coal cost has come down, that is true. But this year the market was like this. The plant was running mor e, so does there was more maintenance. The thermal efficiency of the plant has also come down. So what can we do? The fact remains EBITDA is at 10%
Amit Murarka : Sure, sure. Okay. And also other expenses seem to be a bit lower in Q4. So could you help understand like marketing spends are lower. What was the reason for that?
Ashok Bhandari: The reason is simple. There were three things. One was that the celebrity expenses incurred for the brand building were less . I will explain why less expenses were in curred . Celebrities have three components of payment in their contracts. Component number one is filming, which is the largest component. Component two is regular payment. And component three is our own ad expenses. Now this time if Sunny Deol gets only one shooting time, it will cost us only onc e. He has to make three films with us. We have launched a new film. We were not sure of the acceptance in the market ? We were cautious with our spends in the paper ad. We planned to increase it slowly. And the third thing is the regular expense. So this is not a big deal. It will be regularized.
The major point is lower spares cost. Please understand that the four -day dispatch was already lost because of the two events I explained. So now the routine repair and maint enance has been deferred a bit so that the plant runs and we achieve the capacity utilisation . The goods were being sold. And this is not a one -off adjustment , this will play out well when we reach 80% capacity utilization because per ton spare consumption goes down then. So this is a real saving which we have attained. We have not attained any saving. We have deferred the advertising expenses only. But still, the world should be fine at 80%. What else do you want to say?
Amit Murarka : No, that's helpful. A nd also lastly, on the volume growth,

like generally 8% to us, it's not bad,
but we saw companies like doing double digits this time. So is it a conscious that branding strategy related...

Ashok Bhandari: You forgot , add 4 lakh tons to our dispatch because of those special events of Oracle to SAP and Brand Launch a dd 4 lakh tons and tell us where we lag behind .

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Yes, Good Morning Sir, Thank You for the opportunity. Congratulations on the sector -leading performance and Bhandari ji thanks for the reassuring of the commentary. First question on this railway connectivity at all side by FY '28. Is it possible to quantify what sort of freight cost savings can w e expect over the next 2, 3 years from these initiatives? M aybe this is the first one, then I'll go ahead with the second one later.

Subhash Jajoo: Yes. The current differential between rail and road, rail is around INR 2.60 per ton per km , whereas road co st is around INR 3 per ton per km . And currently, our dispatch like in last quarter, 88% was through road and 12% through rail. So as by 2028, we should be able to make move much more material through rail. And accordingly, these cost economics will play. The differential is around 10% to 12% between rail and road on a per ton per kilometer basis.

Sumangal Nevatia: Okay. So I mean, something like 75: 25, gradually is what we are moving at?

Subhash Jajoo: Yes. We should definitely be able to move at least 25% through rail in next 3 to 4 years.

Sumangal Nevatia: So next I wanted to understand a bit more on the RMC foray. I know it's a very small capex. But overall, what are we spending over the next few years? And what sort of return are we expecting on this invested capital?

Neeraj Akhoury : So typically, at the current level, the plan is to go for about INR 100 crores per year for next 2 years. We are focusing on those cities where typically, the ready -mix market size is big. But we are also looking at some of the Tier 2 cities where RMC profitability is higher. Altogether, we would be targeting at about 5% to 7% of margins on a pure play basis of ready mix. And typically about 100 plants by end of the mid-term ambition of 4 to 5 years.

Sumangal Nevatia: Underst ood. Got it. And just one last bookkeeping question. This depreciation quarterly has been quite volatile. This quarter, it was almost 2x the previous quarter. So what sort of run rate should we expect in future quarters and maybe full year also, if you cou ld explain?

Subhash Jajoo: The depreciation was higher for this quarter because in the month of January, we commissioned our Nawalgarh unit a nd that is the reason for the higher depreciation for the quarter. Going forward, I think you should take around IN R1,500 crores to INR 1,600 crores of depreciation for the full year because a few more units will be commissioned in the current year. Guntur has already been commissioned in April. So it should be around these levels only for full year.

Sumangal Nevatia: Okay. But that is similar to FY '24, ideally it should have increased, right?

Subhash Jajoo: So. Yes, it is similar...

Ashok Bhandari: This is Bhandari here. Listen, my friend. I had been telling all and sundry that when you look at Shree Cement balance sh eet, there is no point looking at PAT number. You please look at cash profit number. Depreciation is specifically designed for us because that is the best way of converting your non-fungible fixed asset to cash asset in a faster manner.

You would like to a dd more fungible assets than non-fungible asset. If you want more fungible assets, then I need to necessarily depreciate my plant and machinery faster so that cash retention in the system is more, which helps us in setting up our own capacity from internal accruals itself.

So there is no point you can say , how will it be the same? We have set up 3 million tons of capacity this year. We are going to have 9 million tons of capacities this year. And that is why we are happy. But because they are rear -ended, we are saying that the depreciation level will be almost same. Got the point?

Moderator: Next question is from the line of I ndrajit Agarwal from CLSA.

Indrajit Agarwal : I have 2 questions. First, any color on how the regional demand has been in your key markets in fourth quarter?

Subhash Jajoo: –As far as the current quarter is concerned, the demand growth was mainly in the Eas tern market, where we grew by almost 20% quarter on quarter , followed by North, where the growth was around 5%. In South, there was a slight decline of around 9% to 10%. So overall, the growth was around 7%.

Indrajit Agarwal : Sure. That's helpful, sir. And Thank you Mr. Jajoo for initially highlighting the cash flow and capacity expansion philosophy of the company. But if you look at the balance sheet, you have about INR5,000 crores to INR 6,000 crores of cash that is sitting an d your organic capex would more than be sufficient from your current cash flows, you'll throw up much more cash flows than what you need. So what is the thought process in the use of cash in the next 3 years?

Ashok Bhandari: What do we do about the limestone auctions , which are frequent, we give them up or we borrow for them ? You have to appreciate my friend. We are not in borrowing mode. We are not in equity raising mode. We would prefer to remain cash long to remain limestone long. Capex, yes, you're right. I have INR5,000 crores of cash, I'll be needing that for this year's capex, but the cash generated during this year will be retained for limestone auctions.

This is what, Indrajit, I wanted really you guys to understand. Come to me and understand how we see this business. It is not possible , it is not a spreadsheet game, a 40 -year culture has gone into it. We have reaped the benefits. I've given you a 24.5% IRR. I'm giving you 2.5x CAGR in capacity creation. I have given you a net cash balance sheet. How this has all happened? This has all happened because of the philosophy, because of ethos which we follow. You come, y ou have asked for time somewhere, I think, next week or something, you are most welcome come and sit with me. I'll explain you how we have grown? Why we have grown? And why we pursue this strategy?

Moderator: The next question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar: Congrats for great results and great EBITDA per ton. I have a couple of questions. Firstly, on capex. So in the press release, we have talked about going to 66 million tons capacity, probably means like 12 million ton addition. You talked about 10 million ton in the opening remarks. So what is not included there and which all capacity we are looking to com mission this year?

Ashok Bhandari : Prateek, please understand. We promise you 62 million ton by March. We can extend to 65 depending on how our grinding units start shaping up. So it is very difficult to pin-pointedly give you a 6 million, 9 million, 12 million. Then we proclaim. Then it does not happen. Then we explain. That is not our work. What we will deliver, we have told you. What is our possibility, we have told you. And if it is better say thank you. If it is worse than that, at least we will not be defensive by proclaiming. We'll deliver and then explain instead of proclaiming and then explaining.

Prateek Kumar: So the Etah grinding unit is probably, which is we are looking at maybe 1Q '26. So that is the only difference, right?

Ashok Bhandari : Etah promised March '25. It has too much of logistical advantage, we can't afford to delay that project.

Neeraj Akhoury : As we said, all these projects are goin

g at full speed. Yes, most of them are to be commissioned in the last quarter of this year. There co uld be potentially some delays , unanticipated and uncertain delays. And therefore, we have been cautious . At the current speed, we expect that 9 million tons should be commissioned in this year itself , 9 million to 10 million tons , and rest in the coming y ear. Does that make sense?

Prateek Kumar: Yes. That makes sense, sir. Secondly, there have been the press release around amalgamation of Shree Cement East Private Limited and North. I mean, so what is the strategy there? Why are we not amalgamating them in stand -alone operations and amalgamating separately?

Ashok Bhandari : You have to understand that both these companies are under new regime of tax enjoying a tax rate of 15%. Amalgamating them in Shree Cement will have a tax dis-arbitrage. And we want to have an entity of 15% tax bracket so that whatever expansions we can do logically in those companies would keep on getting tax ed at 15% only. If we amalgamate them in S hree Cement, the tax rate will go up and the tax arbitrage will go down.

Prateek Kumar: Right. And last question on RMC revenue expectation. I mean, we talked about INR100 crores capex numbers, but any revenue expectations we have for like first three years outflow or something or maybe first year?

Neeraj Akhoury : The RMC takes a while to stab ilize. I mean, typically, it's a cycle time of six to eight months before you were able to operate it at a certain capacity. The five plants that we have acquired in Mumbai, they already have a customer base, so that could stabilize a little quicker. But the greenfield plants take some time to stabilize. In my experience and opinion typically six to eight months before it starts becoming EBITDA positive.

And that's the way it will be in this. Give us this year. This year will be a crucial year because we are embarking on a new journey. And maybe by early next year, we will start projecting, we will be more accurate in terms of RMC. In any case, the proportion will be -- if I may use the

word, not insignificant, but very small compared to the whole cement business that we are doing. We should not have much of a material impact on our results.
Prateek Kumar: Sorry, if I can ask one more question on the premium segment. So we had a brand makeover like earlier last quarter. So what is the expectation on price im provement for our product -wise
vis-a-vis like some of the other companies and proportion of our premium cement on overall
sales in next one to two years?
Neeraj Akhoury : Bangur is established in the month of January. It is still stabilizing in the market as a new brand.
It takes a while to it. What I expect that Bangur Magna, Magna being our premium product for
now as one band premium product strategy. We should hopefully aspire to reaching somewhere
around 12% to 15% of our total sales. That journey continues. A lot of initiatives are being taken
on how to improve Magna consumer pool, you have seen us more active on the mass media like
television and social media. We expect the pool to be creative. Magna is also one of the products
with some of industry best standards on quality. So we expect that Magna pull should further
enhance in the coming quarters, and it should reach about 12% to 15% of total sales.
Moderator: The ne xt question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni : So my first question is on pricing. I mean because you spoke about the mix, it looks like despite
having an adverse mix, your realization decline was actually lower than most of your
competition. But my question is more broadly on this 5% to 6% Q -o-Q decline in pricing. Now
Mr. Bhandari, you spoke about 40 years of experience in this industry. Can you think of a time
period where between two quarters, prices declined 6%?
And how do y

ou read this into how the pricing environment is evolving? Is it different than what
it has been? Is it larger players being more competitive? So if you could just talk about how
you're thinking about this pricing dynamic from a medium -term perspective? That would be
helpful.
Ashok Bhandari : Reinventing the wheel. The price is completely dependent on demand-supply situation. So in
demand and supply, supply side we are quite confident that it will not go berserk , demand side
depends on macro -economic s, today majorly government project . This is also to remind you that
over the last 40 years I have never taken a call on cement price, but it is impos sible for anybody
in the world to take a call on any commodity price.
If there is no point, we are just maint aining the stand that we are the most cost -efficient players
and if it rains everybody gets wet. If prices come down, yes, we will also get wet. Our operating
efficiency is directly proportional to our capacity utilization.
We expect the capacit y utilization of 80% this year which should effectively result into a
production of about 39 million to 40 million tons. At 80% capacity utilization having everything

constant costs coming down we e xpect EBITDA margins to improve, but then it all dependent
on how the top line moves and it is beyond anybody's control in the world to define the top line
of any commodity business. And that is why I cannot define the EBITDA. I can tell you that we
will remain the most cost-efficient player in the industry. That’s it.
Pulkit Patni : Sir I fully appreciate that, b ut I'm sure there would be a reason internally to think about why
these prices are w here they are? I'm just trying to u nderstand what is your opinion if that is the
case?
Ashok Bhandari : No, just let me hold you there. No even if we try to do anything can we affect it? No, we can't.
It's a completely market -based phenomena. I told you the laws of economics are supreme,
demand supply is what determines the prices. Today, the demand is lull beca use of election or
whatever reason , summer, laborers going for harvesting to their villages and voting as well.
If the demand picks up the prices also pickup. There are no dynamics please you are
unnecessarily looking at industry dynamics, internal dynami cs. There is nothing like that. The
demand is down, that is why the price is down. Let demand supply correct , prices will
automatically see an upti ck.
You must be thinking what is happening, how it is happening. I am telling you from the 40 years
experien ce that t he macro principle of demand and supply defines the prices . You all think that
understanding is there, it is not there, it is broken, he ran away, he fought it. You think that way
there is nothing as such. Demand supply re igns supreme.
Pulkit Patn i: Sir, second question, what is the kind of coal inventory we have right now?
Ashok Bhandari : This I don't know, I'll have to look at and come back to you. What is it?
Subhash Jajoo : Current inventory as on 31st March is around 14 lakh tons and the average fuel cost is same like
1.8.
Ashok Bhandari: What is the pipeline , does it include the pipelines here. It includes the pipeline ? 14 lakh tons is
equivalent to how many months of consumption?
Subhash Jajoo : At least 4 months of inventory we are alre ady having at this rate.

Pulkit Patni: Very helpful sir. Thank you.
Moderator: Thank you. T he next question i s from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Just on the cost side your realizations on a sequential basis have declined 6% and you've got a flat EBITDA per ton. So the correction in the cost, is that largely attributed to the marketing and the stores and spares that you mentioned or is there anything more than this sequentially?

Ashok Bhandari : There are two, three things Rashi. One is, of course, stores and spares does not have any meaning. T he biggest beneficiary of my cost reduction is coal. The coal cost has come down by INR0.70 over the year, IN R2.53 to INR 1.82.
Rashi Chopra : Sir, sequentially, I am asking.
Ashok Bhandari : It is INR1 .78.
Raashi Chopra : Coal cost has actually gone up, I think, sequentially, little bit...
Ashok Bhandari : You are right, INR1 .78 to INR1 .82. Please understand this, I have you told you every time that operating efficiency is directly proportional to capacity utilization. 79% capacity utilization , which would have been 80 plus if that 3– 4 day dispatch wouldn't have been a problem.
Raashi Chopra : Sir, I think, what I am trying to ask is, you were saying that you reduce some of the expenses on the brand building, etc. So how do we look...
Ashok Bhandari : Expenses got deferred.
Raashi Chopra : Deferred, correct.
Ashok Bhandari : If the idol, means the brand idol, doesn't have time to shoot, then he won't get the money for the shooting . He will do it sometime this year, he will get it then. So it just got deferred. Paper advertisement and publicity, we went low because we wanted to see how the market reacts to our new brand strategy. It will also get recouped. S tores and spares, is yes, one time correction, small correction, and should last because of higher capacity utilization. The per ton spare cost comes down.
Raashi Chopra : Got it. And sir, what was the -- I know the overall year, green power was 56%. For this quarter, what was the proportion?
Subhash Jajoo : Around 54%.
Ashok Bhandari : How come you said 56% last year ?
Subhash Jajoo : Overall.
Ashok Bhandari : Okay, alright. You are talking of quarter?
Raashi Chopra : Quarter sir. 54%. This 188-megawatt that you're adding, this is likely to come through in the course of this year or next couple of years, like what are the time lines?
Ashok Bhandari : Up to March '26. Major part is March '25. I thi nk about 100 megawatts is March '25.
Subhash Jajoo : 148-megawatt is by March '25 and balance 40 -megawatt is by March '26. T his is a breakup for 188 megawatts.

Raashi Chopra : And if you don't mind, possible to break up the 188 between like WHR and wind, sol ar?
Subhash Jajoo : Yes, sure. It's 34 -megawatt is WHR and 114 megawatts is solar.
Raashi Chopra : 34 is WHR ?
Subhash Jajoo : Yes, 34 WHR, 114 megawatts is solar, and the next year, 40-megawatt is also solar. Hope that's clear.
Raashi Chopra : That's clear. An d just lead distance in this quarter?
Subhash Jajoo : 435 kilometers.
Raashi Chopra : 435. So this has come down from 448 in 3Q.
Subhash Jajoo : No, in 3Q, it was 457.
Raashi Chopra : So it's come down by nearly 20 kilometers.
Subhash Jajoo : Yes.
Mod erator : Thank you. The next question is from the line of Jashandeep Singh from Nomura. Please go ahead.
Jashandeep Singh: Congratulations on a great set of numbers. I just wanted to understand, since our power and fuel cost will most likely remain stable. And Shre e Cement is the lowest cost producer right now. So what is the cost driver from where Shree Cement can see savings in future
Ashok Bhandari : We are adding 148 megawatt green powe r capacity and utilization is expected to go to 80%? 148 megawatt green power will be added, green energy share in total energy consumption will go from 56% to 62% . I have a power consumption of 66 units per ton. How much is 62% of 66 units ? In that, the cost of INR 3 is directly visible in the arbitrage.
Jashandeep Singh: Right sir, understood. And sir, one more thing on the volume and demand scenario. If I

remember correctly, last quarter, you have given a target of around 40 million tons for FY '26.
So given we have already been...
Ashok Bhandari : FY '25.
Jashandeep Singh: FY '25 , sorry FY '25 and w

e have already seen 1.5 months of demand scenario. Does that
guidance still hold? And how is the demand in each of the regions you have seen in the 1.5
months?
Ashok Bhandari : There is no point throwing the towel so early in the year. Yes, the 1.5 months has been slow, but
we expect H2 to be much faster because by that time, the government will be operational in full swing. All orders will be there and good demand should come. So at the moment, I'm guiding
40. If you want to be c onservative, take 39 to 40.

Jashandeep Singh: Understood. And just one more clarification. I think that Mr. Neeraj Akhoury and you also
mentioned that most of the capacity expansion will come in the fourth quarter or the last leg of
the FY '25, is that correct?
Ashok Bhandari : Correct.
Mod erator : Thank you. The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Please go ahead.
Rajesh Kumar Ravi : Thanks for detailed presentation in terms of numbers. Sir, my first question pertains to, could
you split out what would be the capex expenditure in FY '25, '26? And how much incentives
was booked in Q4 and full year FY '24?
Ashok Bhandari : Look, what you have to understand is that to complete 6 million tons of capacity we will be
needing a bout INR6000 crores.
Rajesh Kumar Ravi : Okay.
Ashok Bhandari : Out of that, you will see INR1,500 crores crores in the CWIP. So there is a capex of INR4000
crores -INR4,500 crores for 6 million tons . As Mr. Akh oury said, if it is 9 million, it will increase
a little. So there is no issue in that. If we are doing a capex of INR12,000 crores by 2027 , to
make life easier, you take INR 4,000 crores per year. And if you look at my cash flow, it is above
INR4,000 crores.
Rajesh Kumar Ravi : Correct. There is no question mark in that.
Ashok Bhandari : There is no question mark, so you can take the capex like that. What was your second question?
Rajesh Kumar Ravi : Incentives booked in Q4 and FY'24.
Ashok Bhandari : Look, listen to me. Booked in Q4, FY'24, if you take the balance sheet and look at the operating
income, you will get the subsidy number. It is not in front of me. It is not in front of me at the
moment. But that is a disclosed number. What can I say about that? If you want the balance
sheet, I will tell Jajoo.
Moderator: Sorry to interrupt, sir. I would request Mr. Ravi to please follow up in the question queue for
further questions. Thank you. The next question is from the line of Rahul Gupta from Morgan
Stanley. Please go ahead.
Rahul Gupta: Hi. Thank you for taking my question. I have a couple of questions. Sorry if I missed earlier.
Can you help me with the realization number for the quarter?
Ashok Bhandari: Realization number means cement realization, power realization. What do you want, my friend?
Rahul Gupta: Cement realization, sir.

Subhash Jajoo: Yes. The cement realization for March is INR 4721 per ton . And for last year, it was INR 4848
per ton.
Rahul Gupta: Thank you. My second question is, I know demand has been relatively weak in the first 1.5
months of this quarter. Can you help me understand how prices have behaved across your home
geography? That will give us clarity in terms of how demand has been across markets. Thank
you so much.
Ashok Bhandari: They are stable to we ak. The pricing is stable to weak.
Rahul Gupta: Thank you, sir. This is versus March exit prices or versus the quarterly averages?
Ashok Bhandari: March exit prices.
Rahul Gupta: And we have been seeing stable to weak across markets, right?
Ashok Bhandari: Well, you see, there are various markets where there are still pockets of lucrative pricing power. So it will be very difficult. We will have to go into an analysis. As far as the company is
concerned, we look at the average gross real

ization. So average gross realization is lower than
exit March ‘24.
Moderator: Thank you. The next question is from the line of Parth Bhavsar from Investec. Please go ahead.
Parth Bhavsar : Hi, sir. Thank you for the opportunity and congratulations on the good set of numbers. I just have one question. I just wanted revenue contribution from power segment last year. Q 4 FY ‘23.
Ashok Bhandari: INR440 crores .
Parth Bhavsar : This was this year, right? 440. I wanted last year's number.
Subhash Jajoo: Q4. Last y ear it was INR 343 crores . March ‘23 quarter.
Parth Bhavsar : March ‘23 quarter. One can assume same 10 %. Same 10 % EBITDA margin, right? Okay, sir. That was my question. Thank you so much.
Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Yes. Thank you for the opportunity. Just one question. This was more of a book -keeping in the sense the difference between the consolidated and standalone where I'm seeing the difference on revenue front is a very stable INR330- INR320 crores in the past 2 quarters. Or even on a year -on-year basis, the revenue difference is about INR 300 crores . But EBITDA for the quarter difference is a good INR 95 crores versus INR30-odd crores maybe in the previ ous quarter. It used to be really marginal, like, you know, low or marginal number in the past? It could just help us understand.
Ashok Bhandari: We have been fortunate in our Ras Al -Khaimah operation - UAE operations.

Navin Sahadeo: Is there any one -off or how should one ?
Ashok Bhandari: I feel it is one -off, but let time tell.
Navin Sahadeo: Sure. I just wanted to clarify on this because the previous participant had asked about - one of the previous participants about consol numbers. So does this consoli dated number has any volumes or benefits of any domestic expansions as such?
Ashok Bhandari: Come back again , what do y ou want? The domestic expansion was only in Na walgarh .
Navin Sahadeo: So, Na walgarh is not in the consol, right? It is not a separate sub sidiary. It is in the stand -alone number captured.
Ashok Bhandari: In the consol, all the numbers will be there, friend.
Navin Sahadeo: Agreed. I was only saying, I will just rephrase. Just want a clarification is Naw algarh is captured in Stand -alone . That is all the clarification.
Ashok Bhandari: Ras Al Khaimah was not captured in the standalone. It was captured in the consol numbers.
Navin Sahadeo: That is all I wanted to clarify. That is it.
Subhash Jajoo : They're in Shree Cement itself. So obviously, it is there in the stand -alone. Anything which is there in our subsidiary, East, like the Purulia unit, that will not come in the stand-alone and come in the consol. But anything which is there in Shree Cement will definitely be there in the stand -alone numbers.
Navin Sahadeo: That was only clarification. Thank you.
Ashok Bhandari: I just have one closing remark to make. Once you guys come and meet us or you have more meetings with us, you will understand that we have the uncanny habit of pulling rabbits out of the hat. So don't think that we have disclosed everything what we wanted to say or what we are planning. Look for further surprises. Thank you.
Moderator: Thank you, sir. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Sir, just one question. Just railway lines, what is the progress? I wanted to understand.
Ashok Bhandari: I will do one thing. I will send you a chart. I will send you exactly a chart as to which units are there and which railway line i s already there and what are the expectations of the railway line.
That chart I will mail you tomorrow. I am in Delhi today. I will mail that chart to you. Or I will take a WhatsApp and send it to you.
Moderator: Thank you. Th

ank you. Ladies and gentlemen, that was the last question for today's conference call. I would like to hand the conference over to the management for closing comments.

Neeraj Akhoury : Thank you all our shareholders and everybody in this conference call. We are delighted to see that the numbers were pretty large. I think about 250 people attend ed our call. Thanks a lot. As it has been said, we will be progressing very strongly on all the topics that you all have raised.
What we have committed is what we have committed and we will deliver that. But clearly the effort will be to exceed your expectations as well. With that we will bring this call to an end.

Again, thanks a lot and see you next quarter.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

SCL/SE/2024-25/
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SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub:- Transcript of the Conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, the transcript of the Conference Call held on 7th August, 2024 relating to the Financial Results of the Company for Quarter ended on 30th June, 2024 is attached.

Kindly take the same on record.

Thanking you,

For SHREE CEMENT LIMITED

(S.S. KHANDELWAL)
COMPANY SECRETARY

"Shree Cement Limited
Q1 FY '25 Earnings Conference Call"
August 07, 2024

MANAGEMENT : MR. NEERAJ AKHOURY – MANAGING DIRECTOR – SHREE CEMENT LIMITED
MR. ASHOK BHANDARI – SENIOR ADVISOR – SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER – SHREE CEMENT LIMITED
MR. K.K. JAIN – HEAD OF FINANCE – SHREE CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL -- PHILLIPCAPITAL INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Shree Cement Limited Conference Call for Quarter Ended 30th June 2024 hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited. Thank you and over to you, Mr. Agarwal.
Vaibhav Agarwal: Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q1 FY '25 call of Shree Cement Limited. On the call, we have with us; Mr. Neeraj Akhoury, Managing Director; and Mr. Ashok Bhandari, Senior Advisor; and Mr. Subhash Jajoo, Chief Finance Officer at Shree Cement.
I would like to mention on behalf of Shree Cement Limited and its management that certain statements that may be made or discussed on this conference call may be forward-looking statements related to future developments and these statements are based on current management expectations. These statements are subject to a number of risks, uncertainties and other important factors, which may cause actual developments and results to differ materially from the statements made.
Shree Cement Limited and the management of the company assumes no obligation to publicly alter or update these forward-looking statements, whether as a result of new information or future events or otherwise.
I will now hand over the floor to the management of Shree Cement Limited for the opening remarks, which will follow by interactive Q&A. Thank you, and our we hand it over to you, Neeraj sir.
Neeraj Akhoury: Good afternoon ladies and gentlemen, I welcome you to the earnings call of Shree Cement for Q1 FY 2025. Just to set the agenda, June '24 quarter was certainly tough for us, but also for the industry. Despite the challenging market conditions, typically characterized by sluggish demand due to a combined impact of elections as well as extreme weather conditions, despite all this, we continue to optimize our production processes in the last quarter.
We did enhance our cost efficiencies, and our focus on the branding initiatives, but also go-to-market initiatives continues. These efforts have enabled us to navigate the difficult market conditions and historically, with these steps, we have been able to deliver consistent value to our stakeholders.
While the challenge remains, we are very confident that Shree's strategy is very well positioned to seize the future opportunities. Our focus will continue to be on driving growth, expanding our market presence, engage in innovations to meet the evolving needs of our customers while keeping a very sharp, a razor-sharp focus on our cost optimization initiatives.

The broad features of the financial results, both on a Y-o-Y basis and a Q-o-Q basis can be summarized as follows: despite weak demand, we were able to increase our total volume from 8.92 million tons in Q1 of 2024 to about 9.64 million tons in the current quarter, vesting a growth of approximately 8%.
The utilization for the quarter stood at about 76%. Pleased to remind everybody that Shree has commissioned new capacities in this calendar year. Realisation of course, was down by about 6% from INR4,771 to INR4,469, largely because of moderate demand condition, but also because of change in our geographical mix. The good part was the average fuel cost, which reduced from INR2.34 CV last year to INR1.76 CV in this quarter.
Total EBITDA marginally decreased from 2% from INR933 crores to INR916

crores, and
EBITDA per ton stood at about INR950 against INR1,046 last year. Sequentially, total volumes were up about 1% from 9.53 million tons to 9.64 million tons . Realization dropped again about 5% from INR4,721 per ton to INR4,469 per tonne.
Fuel prices were more or less stable. However, other expenses increased due to increased stabilization expenses following commissioning of the two new plants, as I said, in the last few months, but also advertisement expenses also increased due to the launch of the new brand identity, along with Bangur MAGNA, our premium brand. Total EBITDA accordingly went down from INR1,327 crores to INR916 crores. EBITDA per ton also fell down from INR1,392 to INR950 per tonne.
During the quarter, the company commissioned its integrated cement unit in Guntur district of

Andhra Pradesh with a production capacity of 3 million tons per annum. Besides this, company's ongoing expansion projects in Jaitaran in Rajasthan of 6 million tons, Kodla in Karnataka by about 3 million tons, Baloda Bazar of Chhattisgarh at about 3.4 million tons, and Etah in Uttar Pradesh by 3 million tons, totalling about 15 million tons, progressing satisfactory, and on all these projects are as per schedule. The company is working on further expanding the capacities in different geographies to reach its target ahead of schedule.

The company achieved a significant milestone, a very big record-breaking milestone of 1 gigawatt of installed power capacity with commissioning of 19.5 megawatts solar power plant at its manufacturing unit in Andhra Pradesh in June '24, taking a total power capacity to 1,003 megawatt.

The company's 1 gigawatt capacity includes a mix of solar, wind, thermal and waste heat recovery power plants with high priority of renewable energy to meet the electricity demand for cement production. We are further increasing our solar power capacity by 135 megawatts as our manufacturing locations in Rajasthan, Panipat, Jharkhand, Uttarakhand and Uttar Pradesh.

With the launch of another greenfield ready-mix concrete plant in Hyderabad in Q1 '25, the company's RMC business, which has been set up recently, now has about 7 plants with total capacity of 624 cubic meters per hour. Bangur concrete units are fully equipped to manufacture all types of special concretes, offering advanced testing facilities, best technical manpower and

digitized solutions. The company plans to set up almost 100 Bangur concrete plants over the next 3 to 5 years, operating in over 50 cities.

The company is focused on de-carbonization, and renewable energy continues. The company's share of green power in total electricity consumption, as I have said in the last call also, is one of the highest in the world, if not the highest in the world, and it stands at about 54% in Q1 '25, which is very high -- which is one of the highest in cement industry. With investment lined up to expand our energy generation capacity, the proportion is set to further increase as we commission the new plants.

The company is also steadily making investments for increasing its usage of alternate fuels. Notably, the company used about 0.27 lakh tons of agro waste in the quarter, thereby conserving fossil fuel equivalent to producing about 80 billion kCal and save about 0.32 lakh tons of CO2. As part of this agro waste consumption, the company procured 7,837 tons of stubble during the quarter within the NCR region. The company also consumed 0.78 lakh tons of hazardous waste during Q1 '25 replacing the fossil fuel-based heat by 26.3 billion kCal. All the company's manufacturing locations are 0-liquid discharge. Treating, cycling and reusing 100% of wastewater generated from our operations.

In Q1 '25, the company achieved water positivity levels of more than 6x. With good progress on monsoon for the year as a whole, it aims to improve its water positivity level to m

ore than 7x
for the whole year. Bangur Cement further strengthened its brand presence with a comprehensive marketing plan across TV, print media, digital platforms and on-ground activations, building on the success of the “Solid Ghar Sirf Bangur” campaign, the brand agency adapted its key messages for the national elections with the Vote “Solid, Desh Solid” campaign.

This initiative encourage citizens to pledge for a stronger nation through responsible voting. This media and social campaigns engaged over 100 million people and encouraged 1.8 million citizens to pledge their commitment to vote.

The INR11 lakh crores capital expenditure announced in the Indian budget '24 signifies the government's commitment to modernize India's infrastructure through various projects and allocations. This, together with 3 crores additional houses in PM Awas Yojana, and launch of Phase 4 of PM Gramin Sadak Yojana will undoubtedly drive demand for cement and other building materials.

I have with me Mr. Ashok Bhandari, Senior Advisor; Mr. Subhash Jajoo, CFO; Mr. K.K. Jain, our Head of Finance to take you through the Q&A session. Thank you.

Moderator: The first question is from the line of Aman Agarwal from Equirus Securities.

Aman Agarwal: Sir, firstly, I wanted to again understand on the realization part. You did mention about change in geographic mix in your opening remarks. If you can just elaborate on the same? And if you can provide us with the regional volume mix for this 1Q?

Ashok Bhandari: Mr. Agarwal, please appreciate that if you are growing at a greater pace than your peer group volume-wise, it will have some appertinent cost with it. Now the cost estimation for taking additional volume was at level x based on the price prevailing in April and as the price and demand scenario both deteriorated, though we could get the additional volume, we could not get remunerative or better pricing. That is point number one. Point number two is, there has been a marginal shift from North to East.

Now unfortunately, East, it was the lowest realization region. And so it pulled down the weighted average realization, having a consequential effect on EBITDA. This also resulted in a very marginal increase in the lead distance. The lead distance quarter-on-quarter increased by about 21 kilometres, which had its consequential effect on logistic costs. Thirdly, as Neeraj pointed out to you guys, the stabilization -- the consumption of major stores and spares for stabilizing both Nawalgarh and Guntur had also increased beyond our estimates. This has also pulled down the EBITDA.

Aman Agarwal: Understood, sir. Sir, secondly, on the region-specific volume growth and utilization, if you can provide the numbers, that would be really helpful.

Ashok Bhandari: Volume growth region-wise?

Aman Agarwal: Yes, sir.

Ashok Bhandari: We will give you. I'm asking Mr. Subhash Jajoo to share this with you.

Subhash Jajoo: Yes. As compared to last year, the total growth was 8%. And region-wise, it is 7% in North, 15% in East, and around minus 5% in South. And on a quarter-on-quarter basis, the growth is 1%, where it is minus 3% in North, 11% in East and minus 4% South.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta: Two things I wanted to understand. One is you said that due to a change in geography, you have to bear the cost. So just wanted to understand while the realization on an overall basis declined for all the companies across the board, what was the contribution of realization coming from that aspect? And the one wherein since you were moving -- shifting your product, started selling more in East, so what is the contribution of the cost relating to it?

Ashok Bhandari: Jyoti, you have to understand.

Jyoti Gupta: Yes, sir.

Ashok Bhandari: Basically, we have expanded capacity to 56.4 million tons now. We have to create

a market to absorb this 20% additional capacity. North had some constraints because I had 2 very powerful competitors sitting there, which is UltraTech and Ambuja. It was difficult to really have a better advantage vis-a-vis them in North, so our North volume declined.

However, the overall volume increased, the sales did not get transferred from North to East, but the additional quantity got sold in East which changed the regional mix. Now East being a lower

realization market, with falling demand and faster falling prices, the weighted average realization declined. It is not by design that we have moved.

Jyoti Gupta: I agree, sir. I understand that, sir, I completely agree to that also and I totally understand the realization across had reduced. I'm not questioning the strategic part or anything. Just wanted to know that what was the realization you would have anticipated in the North? And what you actually got in the East? That is one of the reasons which is...

Ashok Bhandari: So you need a realization per ton region-wise, Am I correct?

Jyoti Gupta: Correct, sir. And also the impact -- since that volume did not get sold, which got sold in North, obviously, that brought down your realization on a weighted average basis. So just to understand that.

Ashok Bhandari: The average realization in North stood at INR4,641. The average realization in East stood at INR4,154, and the average realization in South also stood at INR4,620. Weighted average of this based on the percentages which Mr. Jajoo has given. If you want me to repeat it, I'll do that. Our sales percentage was 55% in North, 35% in East and 10% in South. So you can do a matrix on your spreadsheet, on which region resulted into what increase or decrease in the weighted average realization of the company.

Jyoti Gupta: I got it, sir. Sir, one -- can I ask 1 more question?

Ashok Bhandari: Please go ahead.

Jyoti Gupta: I wanted to understand upon the turmoil in Bangladesh, I think somewhere we understand that volumes from Northeast are actually sold in Bangladesh. Now I think that is somewhere going to be impacted, if I'm correct? Please correct me if I'm wrong. Do you think that is...

Ashok Bhandari: One second. We don't sell...

Neeraj Akhoury: Not at all, Jyoti. Not at all. Bangladesh market is, as it is a surplus market. Some amount of Bangladesh quantity does come to parts of Northeast, but few districts of Northeast, not even full state. So, Bangladesh turmoil, and therefore, the economic consequences in cement will have to our estimates, no impact on India.

Jyoti Gupta: Okay. And sir, I had anticipated as Bangur cement really -- the brand has actually picked up to your expectation?
Ashok Bhandari: Otherwise, I would have grown volumes. This is infructuous, isn't it? If I say that I have gained volumes, then the brand acceptance is automatically established, isn't it?
Jyoti Gupta: Yes, maybe. I mean...
Ashok Bhandari: How maybe? Let us be very clear, how maybe. If I have sold under the new brand more than last quarter, then the brand has been accepted, isn't it? If there is question mark on the acceptance of the brand, then I would not sell more volumes. Am I correct?

Jyoti Gupta: Yes, sir.
Moderator: The next question is from the line of Jashandeep Singh Chadha from Nomura.
Ashok Bhandari: Yes, Mr Chadha.
Jashandeep Chadha: Just 2 questions. Firstly, this time, as you mentioned in your opening remarks, the fixed cost as well as freight cost were high because of Guntur and because of change in region mix. So how much of this cost can we expect to revert back in the next couple of quarters because Guntur will stabilize it?
Ashok Bhandari: Let us take it on the other way. Ideally speaking, I would not like to spend a single penny more, but that is not -- life is not ideal. As on date, about INR52 crores

in this quarter represents additional stores and spares consumed in Guntur and Nawalgarh. Now hopefully there should not be any further expenditure. But if it is required to incur, it will be incurred.
I cannot just say how the equipment will behave. One has got commissioned in January; one has got commissioned in April. So each plant has a stabilization period. In that stabilization period, both minor and major spares can be consumed. And we are hoping for the best.
Jashandeep Chadha: Understood, sir. If I can just ask this in another way, how much time do you think it will take more to stabilize the unit?
Ashok Bhandari: Look, let us understand, my experience says that the general normalization time is between 3 to 6 months. However, sometimes or some plants may take as much as 12 months also. So hopefully, everything is fine. But if something unforeseen happens, it happens, what to do. They are not the recurring kind you know, they are the stabilization cost only.
Ideally, if I would not have commercially commissioned the plant, they would have gone as a capital expenditure. But we have commercially initiated the production. They are in commercial production, so they have to take revenue hit only.
Jashandeep Chadha: Understood, sir. My second question is on pricing. So far, the July exit prices, how much the price drop? Or what's the price trend that you have noticed in your core markets?
Ashok Bhandari: Jashandeep, let us understand this very clearly. Pricing is a function of demand. If the demand does not revive, the pricing power will not be there with the industry. The demand in Q1 was very weak, you see the peer group, roughly Ramco lost 21% in quantity, 16% was lost by Dalmia, UltraTech lost 9%. We gained 1%. Okay.
Now if you add such a wide range of demand fall, it will have its consequential effect on pricing, which could get reflected again in EBITDA. Nothing has revived the demand in July that everybody knows. August till date, we are weak. Now you have to understand why this is happening.
The central budget has still not been passed. It is still being debated. Once it gets passed, it goes to President of India for her assent. Once she gives the assent, then the ministry allocates the resources. Once the resources are allocated to respective ministries, then officers start working

on it, call for tenders for all the projects, including those 3 crores housing and 25,000 village -- rural village highway connectivity. Looking at current status of affairs, I don't think the presidential assent will come before third week of August or something.
That means by September, the resources will be allocated. Then somewhere in mid-September or end-September, you have the tenders from the government. So demand in this quarter is going to remain weak. If demand is going to remain weak, price will be weakening also. Please appreciate that I have never in my 40-year career in this industry, ever given any guidance on price.
And consequentially, I don't give any guidance on EBITDA. I always give guidance on my cost. My cost this quarter is inflated because of higher logistic costs and higher unforeseen stores and spares expenses. They will all get normalized, but as EBITDA is price minus cost, even though

I can establish my cost at a reasonable level without any one-off, these critical stores and spares, I cannot give you an EBITDA guidance because I don't know what the selling price will be. So Q2, for sure, is not going to be good for the industry. And I will take an insurance on Q3 also because in Q3, you lose about 10 days of working because Diwali and Chhath Puja and all other festivities. So Q3 will be about 80 days instead of 90 days of working. Q2, the writing is on the wall.
Even if all the tenders get floated by end-September or early October, I don't think major changes will happen in demand scenario in Q3 as wel

l. So I have no qualms in saying that Q2 and Q3 may not be very good. Q2, for sure; Q3, we can wait and watch.
Jashandeep Chadha: Understood, sir. Just 1 last question if I could squeeze in. So Shree Cement has performed better than its peer in the industry on volume front in the first quarter. So your volume -- whether the 40 million tons for FY '25, it still stands? I mean, is there any change from the management?
Ashok Bhandari: No, no. If I have lost, I have gained some share in Q1. But Q2, I'm growing almost in tandem with the market. And Q3 also, the same should happen. So I'm toning down my guidance by making an omnibus statement that we will grow in tandem with the market. If I can do it better, I will be the first one to beat that up.
Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities.
Ashok Bhandari: Please say Mr. Nevatia.
Sumangal Nevatia: Sir, I'll start with some bookkeeping questions. I mean, our depreciation rate has increased significantly. Should we assume that 600...
Ashok Bhandari: It has been capitalised. It has not increased my dear friend. If you look at my total gross block, it has increased, isn't it? So depreciation is a function of my increase in capital assets.
Sumangal Nevatia: So this is a normal level to kind of expect, right?
Ashok Bhandari: Correct, correct. With this capacity, which is in vogue today, I will guide you a depreciation of about INR2,600 crores. However, Mr. Nevatia, since I've never interacted with you earlier. I

have always maintained that don't please judge Shree Cement on net profit numbers. Look at the cash profit numbers, and I'm happy to state that in spite of all the turmoil we have faced, our cash EPS has not fallen much. The cash profit for Shree in June '23 stood at INR898 crores, and it is at INR957 crores this year. If you look at cash EPS, then the cash EPS in June '23 was INR248 and it has reached to INR259. These numbers are there in my results. You can look at them.
Sumangal Nevatia: Yes, that's great. Sir, how should we...
Ashok Bhandari: No point -- just hear me out one minute. We are basically a cash-focused organization. We are not net profit-focused organization. We run the company on the principle that cash is real, rest all is myth. So please be very careful while making any analysis based on net profit numbers.
Sumangal Nevatia: That's clear. Sir, Sir, what should we -- I mean, what is the guidance for the tax -- cash tax rate for the year?
Ashok Bhandari: We are running at INR16,000 crores capex expenditure here. And I'm on record saying, we will neither dilute nor borrow. We are keeping on increasing dividend. Last year, we paid INR100. This year, we have paid INR105. So there will be an increasing dividend trend. Rest all will go into capex.
Sumangal Nevatia: Sir, I'm asking about the tax rate, cash tax rate, what should we kind of expect? Last year, I think it was around 18%, 19%...
Ashok Bhandari: It is apparent in result. Cash tax rate is apparent in my result.
Sumangal Nevatia: We should expect this to continue? I mean, this low rate for this year, at least?
Ashok Bhandari: One Minute, this is calculation of profit before tax. If I'm not being able to give you an EBITDA guidance, how can I say that this will remain same. PBT is after EBITDA, my dear friend. I'm saying my depreciation will remain almost the same. Finance Cost is my not my concern. If EBITDA moves, then tax rate will also move, or tax quantum will also move. This is a little bit of an infructuous question, Nevatiaji.
Sumangal Nevatia: Sir, just if you can give some colour how is the quarter started, July where the volume has been very weak for the industry, with a decline –
Ashok Bhandari: August till date I have no improvement.
Sumangal Nevatia: So, is it a decline as far as volumes are concerned for the industry?
Ashok Bhandari: For sure.
S

umangal Nevatia: Sorry?
Ashok Bhandari: Yes, for sure.
Sumangal Nevatia: Okay, okay. On a year-on-year basis, got it. And sir, are prices down from last quarter's average?

Moderator: Mr. Nevatia for follow-up questions, I would request you to kindly rejoin the queue, sir. The next question is from the line of Rishabh from Goldman Sachs.
Pulkit Patni: This is Pulkit from Goldman. Sir, my question is on the Nawalgarh plant. I remember when we had spoken last time, you mentioned the advantage of this plant is that it is very close to the cream market of Delhi NCR, and we can get there really quickly with the decent realizations as well. Now have you just made the statement that one of the reasons why you couldn't do much in volumes in North despite -- yes, sir.
Ashok Bhandari: One second. Be very careful. Somewhere there has been a miscommunication. We are entitled to certain industrial subsidy on our Nawalgarh plant. Now the subsidies are state-related, right? Each state has its own policy for the plants getting commissioned in that state. And the subsidy is restricted to the amount of GST collected within the state of Rajasthan because Nawalgarh is in Rajasthan. But if I sell quantity from here to NCR or Delhi, I lose on the subsidy in the state of Rajasthan, okay? Point number one.
Point number two, Nawalgarh's logistic advantages will kick in only when we commission our Etah grinding unit in UP, which is likely to be in the fourth quarter of this year. When the logistics compensates the subsidy, which is receivable from the state of Rajasthan, then I can jolly well and more profitably by using Etah grinding unit sell there. So, at the moment, Nawalgarh is majorly catering to Rajasthan.
See, when the pricing is down, then maximizing the subsidy is one of the ways. The subsidy should be maximized only when I increase the sale in that state. The counter to that is that my logistic cost should be reduced and the subsidy I am earning, more than that is my logistic cost savings, then I will sell cross-border.
Understood? So, I don't know, it could be my mistake, or it could be your mistake, that I said that I will give Delhi and NCR from Nawalgarh. I will give Delhi, NCR, Western UP from Nawalgarh only when my Etah grinding unit is commissioned.
Pulkit Patni: Okay, sir. my understanding may have been different. But the point I was trying to make is that you got Nawalgarh and then there is going to be another 6 million tons in Rajasthan, which is pretty substantial. You just said, there are two behemoths in that particular region which are continuing to supply. So I'm just trying to understand in terms of your expansion...
Ashok Bhandari: In my interaction with Goldman Sachs of over 25 years, have I ever shown you fear psychosis of competition.
Pulkit Patni: No sir.
Ashok Bhandari: What are you asking? Try to understand, 39 years back, I was 0.6 million tons. I was nobody in the industry. Today, I am number three player, all-India. The one who got scared died.
Remember this.
Pulkit Patni: Okay, sir. So volume growth from this plant will be mostly focused on Rajasthan based on what you just said, and that's how we should think about it?

Ashok Bhandari: Till I commission Etah. I will have to stay in Rajasthan for 4-6 months because of the subsidy. But if I get more money from NCR and EBITDA, than what I am gaining on subsidy, I can do cross- cross border sale. Everything is dependent on how much money you make per ton inclusive of subsidy or not including the subsidy. Overall profitability has to increase.
Moderator: The next question is from the line of Prateek Kumar from Jefferies.
Ashok Bhandari: Yes, Prateek.
Prateek Kumar: Yes. I have like just a couple of bookkeeping questions. On capex, we continue to expect INR4,000 crores kind of capex annually for like ne

xt year?
Ashok Bhandari: Yes, yes.
Prateek Kumar: Also, this INR1.76 on fuel cost, kCal base. So is this further savings expected on this number going forward? Or this is...
Ashok Bhandari: Please understand, that in the last con-call or maybe somewhere either individually or collectively, I have maintained that my order book or coal pipeline, is at this level, INR1.76 -- it was INR1.72 I think. Going forward, as the price is decreasing, this cost should come down.
Average fuel cost, let me put it, again, net of alternative fuel at the moment is INR1.74 per kCal.
Prateek Kumar: So INR1.74 or maybe INR1.72 is something which we are looking at going for later part of the year, and...
Ashok Bhandari: It is based on my committed orders to various suppliers. This is not an assumptive number. This

is an actual number. It may go down because the pet coke prices are going down. Typically we maintain 3 to 4 months of pipeline for coal. So, for 3 to 4 months, the price is INR1.74. New orders, if they are released at a lower rate, the average fuel price may come down.
Prateek Kumar: And what about power cost -- power mix, which is like 52% as RE green power currently. We are looking at somewhat about to...
Ashok Bhandari: What you want there?
Prateek Kumar: The RE power mix can go from 54% number to what number like going forward?
Ashok Bhandari: Today it is 54%. By June '25, this would go to 62%.
Prateek Kumar: Right. Okay. And my last question on your annual incentives based on like several new plants which are commissioning, our annual incentives have, I think, come down to INR150 crores range -- INR125 crores to INR150 crores range in the past 2 years versus INR250 crores, which you used to have earlier...
Ashok Bhandari: I could not understand your question.
Prateek Kumar: So the annual incentive or subsidies, which we used to have...

Ashok Bhandari: No, wait a minute. You are saying that the run rate of subsidy will go down as the time passes. You get additional subsidy on Nawalgarh also. But please understand, I do not recognize any subsidy in my books of accounts unless realized in cash. Because if I take that credit, I have to pay unnecessary taxes, which is a cash cost. I have always maintained that I do my books on cash basis. I do not carry -- I do not recognize any subsidy which I have not realized in the year.
Prateek Kumar: So, what is the annual run rate of cash incentives which you are like sort of looking at from like FY '25, '26?
Ashok Bhandari: All state governments are tight in financial positions, and I cannot predict when they will release what. As soon as it is released, you will find it in my other operating income number. I would not like to hazard a guess on that.
Prateek Kumar: Okay. And last question on power business. Can you give like the power EBITDA number for the quarter?
Ashok Bhandari: We have taken a decision that you guys keep on asking UltraTech and they don't give their breakdown of EBITDA into grey, white, RMC and others. We are also going to give you only blended EBITDA. We're not going to do any disclosure on power quantity or power EBITDA. My total composite EBITDA for the company will be reported quarter-on-quarter. And I will refrain from answering what is power and what is non-power.
Prateek Kumar: Okay. Would you be giving out power revenues or that's also you will not be giving?
Ashok Bhandari: I will not be. In any case, our revenue stream doesn't come to the shareholders. You get benefited out of the EBITDA only. So giving you a split of revenue, how does it matter. I have given you my quarterly average revenue of cement business. So, I think the revenue stream can give you whatever it can.
Moderator: We'll take the next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Sir, two questions. One is observation, and correct me if I'm wrong. In the quart

erly breakup of
sales quarter-on-quarter, of course, Shree has done a commendable job of volumes rise 1% where most of the players are down in the range of 10% or more, and we have shown a growth. But my observation here was that -- and then the breakup you've given, my observation was that we saw an expansion in Nawalgarh and also in South, Guntur. But our quarter-on-quarter volume growth has actually gone -- increased 11%, as you said, in the East region. So, I mean...
Ashok Bhandari: Why did the rate of growth decrease in the north region, because competitive pressures from powerful players was there, okay? So, if we sell there and get less realization, then there is no use. East, we have grown in East because it was possible for us to sell more. Please understand that in Guntur we expanded. South is doing very bad. South realizations are very bad. It will come up for sure.
INR15,000 crores of Amravati if he has given and INR26,000 crores he has given to Bihar, then these two regions should do better, relatively. Andhra demand should pick up, Guntur will get more viably utilized because of this 15,000 crores large expenditure and Bihar INR26,000 crores

and the bridges etcetera, which have been given separately, they are all cement intensive capacities. If in one quarter the plants which we put with a 50 year vision have not shown the desired result, it's alright. How does it matter. The problem is that I keep on fighting on a quarter-to-quarter basis, whereas our decisions for setting up plants are on a 50-years vision. In some

quarters you may go up, you may go down.
Navin Sahadeo: Sure, sir. No worries. No worries on that. Sir, second question was, did we also then saw some shift more towards non-trade for the quarter, which would have had some impact and hence, element that once, let's say, demand normalizes, that shift could also reverse and give that tailwind?
Ashok Bhandari: Your observation is correct. I don't have the numbers readily available with me. Jajoo will share with you, but yes, the non-trade component has gone up. Now, how much is gone I don't remember but, Jajoo will share with you.
Navin Sahadeo: Sure. And just 1 more question, if I may slip in quickly. Railway siding was the next, I think, efficiency capex that we were pursuing. Of course, we're doing -- we're far ahead...
Ashok Bhandari: It's on schedule. It's on schedule.
Navin Sahadeo: Yes. So sorry, if I could just request you, by which quarter, from when can we see start seeing some benefits of that?
Ashok Bhandari: What I suggest is that paper is just not in front of me at the moment. We will send you a mail of each railway connectivity and each plant by which date. I will send you that.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: So just on volumes, like while your volume growth has been above industry, is it also possible to split it between cement and clinker?
Ashok Bhandari: Clinker is nothing. What are we talking. Clinker is hardly anything. In a 9.6 million-ton volume -- sorry, 96,40,000 volume, clinker maybe hardly 200000. Clinker volumes are there. It's quite low. Don't worry. I'll give you the number, one second. So out of 96 lakh ton, hardly 4 lakh ton is clinker.
Amit Murarka: Okay. Understood. So like in Dachepalli, where you have just commissioned the unit, I believe it's a 1.5-million-ton clinker and 3 million in grinding. So what's the idea in that excess grinding like? Is there a next clinker line which will be coming up that will balance out the excess grinding there? Or will the clinker come from some other source?
Ashok Bhandari: No, no, wait a minute. Transporting clinker is not a cheap exercise. It's a trade off. we have to look at overall logistic cost optimization. It is not that, why did you sell clinker more there? Why did you put more grinding here? In the total

equation there is a concept of naked cement realization. That is money coming to my pocket, rest is all reimbursements. Freight is a reimbursement, GST is a reimbursement, packing cost is a reimbursement. So whatever is

invested it is invested after doing an economic workout and I will keep on praying for it that, yes, we get another chance of setting up a clinker line because of vibrancy in demand.
Amit Murarka: Sure. No, but like generally that market is like OPC market, so in that sense...
Ashok Bhandari: No, wait a minute, wait a minute. Now you are trying to question our business wisdom. It is correct or not?
Amit Murarka: Not at all. I'm just trying to understand how the balance will come?
Ashok Bhandari: One second. I've explained you that we have -- we also do our calculations. We also know what is required. So I've said that as per our calculation, we are fine. You are welcome to believe or not believe it. But please don't question our 40-year-old wisdom.
Amit Murarka: Sure, sure. Definitely not. Also, on RMC, like what are the targets for...
Ashok Bhandari: Let me put it in a different manner. RMC is the future is correct. RMC has its own business learning curve is also correct. We have just started introducing. It is peanuts compared to our overall operations. Let us operate these 5, 6 plants, see what kind of profitability is there, learn the nuances of the business, and then we will expand. Yes, we will go into Bangur concrete. But the time -- we'll come back with exact profitability and capacity numbers, but give us some breathing time. We have just started it.
Moderator: We'll take the next question from the line of Parth Bhavsar from Investec.
Parth Bhavsar: Sir, all my questions have been answered.
Ashok Bhandari: Let me conclude by saying that Q2 is going to be bad because there is no demand. And Q3, because of festivities and other reasons, I am not very hopeful. All vibrancy should get reflected in Q4, because in Q4, the government departments are also under pressure to exhaust their budgets. So Q4 should be better. Let us see how things pan out.
Moderator: Sir, we'll move on to the next question, which is from the line of Rajesh Kumar Ravi from HDFC Securities.
Rajesh Kumar Ravi: Rajesh Ravi here from HDFC. Sir, just a few housekeeping questions, which -- what was the blended cement and trade mix in this quarter? Lead distance, you already mentioned as partially gone up. And yes, so first these two numbers. And I just wanted to understand this is the volume split and NCR trend which you have shared for Q1. Sequentially, it works out to be that in all the three markets, realizations are down by around 5% to 6%. Is that understanding correct?

Ashok Bhandari: Mr. Ravi, I had told you that I do not in front of me have the trade and non-trade number at the moment. The most of housekeeping questions are related to product mix and quantitative details,
I suggest please drop a mail to Mr. Jajoo and he will reply you ASAP. I do not have those
numbers because I thought that quantities are...
Rajesh Kumar Ravi: Sir, I'll take that. Let me come to the most important question, sir. You see the current dynamic,
the M&As which are happening in the industry. Prices are going through in terms of the payback

period, depending upon the asset class. So what is your understanding on the consolidation and
the subsequent impact on market dynamics, how do you look at the pricing, near term, obviously,
demand is weak? However, we don't see...
Ashok Bhandari: Great question. Let me explain you slightly differently. Yes, there are targets for acquisition.
Yes, further consolidation will happen. But the guys who are the contender for such
consolidation would like to keep the prices of cement depressed to have a better value. This is
one of the major factors why t

he prices are not being increased. Yes, consolidation will happen.
Yes, in short term, there may be pain, but consolidation always pay in longer.
Moderator: Ladies and gentlemen, due to time constraint, we'll take one last question from Ronald Siyoni
from Sharekhan Limited.
Ronald Siyoni: Yes. Sir, I just wanted to understand on the 2 to 3-year perspective, like as industry, we are
expecting at least 30 million to 40 million tons of capacity additions per annum over next 2
years, at least. So as you said, that demand may revive during Q4. So what we are portraying a
picture like supply would be far exceeding the demand over the next 2 years. So is the reading
correct or whether...
Ashok Bhandari: Let me correct you, sir. Give me two minutes. We are at about 450 million tons as of 31st March
2024.
Ronald Siyoni: Yes, sir?
Ashok Bhandari: Now if we take an 8% demand rise or a demand equivalent to the GDP growth rate, which Navin
had always been advocating to me. Then you are looking at a 7.5% to 8% demand escalation,
7.5% GDP, you agree. So 7.5% of 45 million is how much, my friend -- roughly 30 million tons.
And all 30 million tons do not come on 31st March or 1st April. They are spread over a period.
So the effective capacity will be far less than the number you are talking about. So I do not find
any demand distortion because of capacity creation.
Moderator: As that was the last question for today, I would now like to hand the conference over to Mr.
Vaibhav Agarwal for closing comments. Over to you, sir.
Vaibhav Agarwal: Yes. Thank you. On behalf of PhillipCapital India Private Limited, we'd like to thank the
management of Shree Cement for their time on the call, and many thanks for participants for
joining the call. Thank you very much, sir. Michelle, you may now conclude the call.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of PhillipCapital
India Private Limited, that concludes this conference. We thank you for joining us, and you may
now disconnect your lines. Thank you.

Call: Nov 2024

SCL/SE/2024-25/
18th November, 2024

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra – Kurla Complex, Bandra (East)
MUMBAI – 400 051

SCRIP CODE: SHREECEM EQ
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Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub:- Transcript of the Conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, the transcript of the Conference Call held on 11th November, 2024 relating to the Financial Results of the Company for Quarter and Half Year ended on 30th September, 2024 is attached.

Kindly take the same on record.

Thanking you,

For SHREE CEMENT LIMITED

(S.S. KHANDELWAL)
COMPANY SECRETARY

"Shree Cement Limited Q2 FY25 Earnings Conference Call"

November 11, 2024

MANAGEMENT : MR. NEERAJ AKHOURY – MANAGING DIRECTOR, SHREE CEMENT LIMITED
MR. ASHOK BHANDARI – SENIOR ADVISOR, SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER, SHREE CEMENT LIMITED
MODERATORS : MR. VAIBHAV AGARWAL – PHILLIPCAPITAL (INDIA) PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call for the Quarter and Half Year ended 30th September 2024 of Shree Cement Limited hosted by PhillipCapital (India) Private Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you.
Vaibhav Agarwal: Thank you. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q2 and H1 FY25 Call of Shree Cement Limited.
On the call, we have with us Mr. Neeraj Akhoury - Managing Director; Mr. Ashok Bhandari - Senior Advisor and Mr. Subhash Jajoo - Chief Finance Officer at Shree Cement.
I would like to mention on behalf of Shree Cement Limited and its Management that certain statement that we made or discussed on this conference call may be forward-looking statements related to future developments and these statements are based on current management expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made.
Shree Cement Limited and the management of the Company assumes no obligation to publicly alter or update these forward-looking statements, whether as a result of new information or future events or otherwise.
I will now hand over the floor to the Management of Shree Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you, Neeraj sir.
Neeraj Akhoury: Thank you. Thank you, Vaibhav, and good afternoon, ladies and gentlemen, and thank you for joining Shree Cement's Earning Call for Quarter 2 of FY25.
While we are one of the late companies announcing results, let me summarize our view on the economic performance in terms of both - the cement industry and the Company performance as well.
So, in terms of the overall country economic outlook, as you all know, the union budget for FY25, was passed sometimes in August 24 post the Lok Sabha elections. This led to a bit of a slower rollout of the government expenditure on capital infrastructure projects. Also, the country witnessed for this year a very prolonged and intense monsoon, however, quite well for the agricultural sector, I am sure, it had a calming impact on the cement industry. Consequently,

there was some softening in the manufacturing momentum as well. Reports suggest that the manufacturing PMI hit a 8 month low in September and the core sector output shrank by almost about 1.8% in August. These conditions created a weaker demand scenario across sectors, including building materials and cement, housing sales, and new launches fell during Q2.
Overall, urban demand moderated due to the softening of the consumer sentiments; however, the good news is that the RBI survey indicates improved business expectation for the upcoming quarter. Rural demand is improving as reflected in increasing FMCG volume sales and a rise in the three-wheeler and tractor sales. This has been supported by above normal monsoon, boosting Rabi sowing and an increase in minimum support prices as well and the government initiatives like increased allocation to MNREGA scheme. Overall, the outlook for the economy continues to be positive, -, underpinned by a stable external sector, positive agricultural outlook, expected improvements in demand supported by the festive season and the likelihood of an increase of government spending

.
For us at Shree, it was a very challenging demand environment. We adopted very deliberately a strategy of value over volume with higher focus on the high EBITDA high value products. While all industry level cement prices declined on sequential basis, we were able to contain it with our disciplined pricing and focus on premium product strategy. Our revenue per ton dropped to just about 0.4% outperforming the industry average. Premium products were central to our strategy and with the share in that trade segment reaching the last quarter to about 15%.
In line with the industry wide phenomenon, our volumes declined by 7% year-on-year in the last quarter. We, however, kept sharp focus on efficiency in our operations, which helped us achieve about 8% reduction in the total cost excluding depreciation and interest from 4,503 per ton to 4,122 per ton on a year-on-year basis. Supported by durable international fuel prices, our average CV fuel cost reduced from 2.05 to 1.71 on a year-to-year basis. This operational focus positions

us well to capture future demand and the price recovery. Going forward, we are very confident that government led infrastructure projects will continue to play a key role in demand growth.
With good monsoon, higher demand is expected on the back of good Kharif crop and improved farm prices. However, sustained price improvement depends also on the steady demand recovery across segments. We believe that despite the current pressure, we are navigating these conditions by shoring our brand, focusing on key optimization and continuing operational excellence.
Very happy to report that on sustainability, we have made strong progress with green power comprising about 54.8% of our total power use, which is highest in the cement industry. Work on adding 90 megawatts of green power capacity is going on which we expect to complete - by March 25. All our facilities remain zero liquid discharge. We achieved over 7 times water positivity last year. With plenty of rains this year, we aim to improve this further. Our commitment to sustainability is reflected in our improved score of 73 on the Dow Jones Sustainability Index, which is the highest in the construction material sector in India and a significant increase from last year's score of 62.

Our ongoing expansion projects in Jaitaran, in Kodla, in Baloda Bazaar, in Etah are running on track and we expect all of them to be completed between April to June next year. We remain committed to reaching our goal of over 80 million tons capacity by FY 28 and are actively identifying growth opportunities to meet the target.
Thank you very much for giving me a patient hearing and now we can go to the question and answer as well.
Moderator: Thank you very much. We will now begin the question and answer session. We will take a question from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.
Jyoti Gupta: Well, the numbers are quiet satisfying, but I just wanted to know, have we lost market share by any chance because there is a sharp decline of almost 7% in the East market or anywhere or has been some change in the strategy in terms of volume sales?
Neeraj Akhoury: So, as I said that we were quite aware that in Q2, the demand for cement was very subdued, if not negative, and hence we were very clear that we should try to retain and give more importance to price over volumes. And this is why you saw that while we have lost on the volume, but we were able to deliver relatively better result in terms of price. I do not have the market share figures, so I will not really quote there. I will not go in that direction, but what we are aware that by all the reported figures that even the country demand has been negative in the last quarter.
Jyoti Gupta: Sir, my next question is how do you perceive the Company with second-half for your Company and what would be your guidance in t

erms of volumes? And is there any increase in prices which you have seen in your key markets and do you see substantial improvement in EBITDA per ton or are we going to be in the same range in the third and the fourth quarter as well?
Neeraj Akhoury: So, ma'am, as we are speaking now, just about Diwali and Chhath festivals are over. On the macro side, we believe there is every reason for demand to be better in the next 6 months versus the last 6 months, largely because most of the budgetary allocations will now get converted into purchase orders across states. That is the hope and optimism with which we are working. So, demand growth should be positive in the next 2-3 months and 6 months. If that were to happen, then as you know in cement, our industry demand growth has a close linkage, with- the price -.
If this were to happen, then we believe if demand is good, then we should see a better pricing environment. How much of that will translate into actual price is difficult topic, but my sense is that if demand goes up and improves the way it should improve now, then we should be facing a better price environment.
Moderator: Thank you. We will take the next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: So, my first question is like what was the cement realization in the quarter?
Neeraj Akhoury: Cement realization was Rs. 4,447 per ton.

Amit Murarka: Sir, this is better on Q-o-Q basis, because what I have is Rs. 4,469 for Q1, or was it flattish on Q-o-Q basis? Rs. 4,469 was the number in Q1, right?
Neeraj Akhoury: Q1 figure was Rs. 4,464.
Amit Murarka: So, in that sense, the cement realization actually was flattish for you on a Q-o-Q basis?
Neeraj Akhoury: That is what I was saying, that our focus has been to maintain the realization knowing fully well that in Q2 demand was subdued. The larger focus was how do you manage your realization.
Amit Murarka: And also in terms of the clinker sales, like what would have been, how much was the clinker sales in the second quarter?

Neeraj Akhoury: Clinker sales were also as about 3.63 lakh tons. This is also low compared to 5.26 in Quarter 1.
Amit Murarka: And lastly, on the capacity expansion, so what I understood you said that all the units will get commissioned in April to June next year. So, till March then, there is no commissioning that is planned, is it?
Neeraj Akhoury: So, our estimate as we speak in November is that the commissioning should be happening in April to June. Of course, as management, we will try if we can prepone few things, but I am reasonably sure that commissioning should happen between April to June next year.
Amit Murarka: And this is both for clinker and cement units, right?
Neeraj Akhoury: Absolutely.
Moderator: Thank you. Next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Sir, may I know what is the regional sales mix for this quarter and the realization region wise?
Neeraj Akhoury: I can give you a regional sales mix. We have done about 58% in the North, about 31% in East and 11% in South. Remember that our North constitutes both Gujarat as well as parts of UP. So, 58-31-11. I don't have the realization breakup, so I will not be able to give you figures. I am asking my CFO, Mr. Subhash Jajoo if we can share those numbers with you later.
Keshav Lahoti: And can you give an idea about how has been the growth region wise in this quarter, year-on-year, volume growth?
Neeraj Akhoury: So, North growth has been about negative, you are talking about Shree, right, not the industry?
Keshav Lahoti: Yes, Shree, not the industry?
Neeraj Akhoury: It is -6% for North, -8% for East and about -10% for South.

Keshav Lahoti: It is good to see, heartening to see 15% premium sales made. So, how will this number shape up in upcoming quarters?
Neeraj Akhoury: So, as we speak now, we will like to stabilize it going forward also at around the same numbers. Once we stabilize, then we will take the next jump to a higher level.
Keshav Lahoti: And what was the lead distance for this quarter?
Neeraj Akhoury: 433, again, it is down from 475 kilometer last year. Current, this year is 433.
Keshav Lahoti: So, the Company possibly sold less in far off markets?
Neeraj Akhoury: Absolutely, because that is why lead distance has come down.
Keshav Lahoti: So, ideally, this lead distance will stay over here or possibly in upcoming quarter as the prices will pick up, this lead distance might increase?
Neeraj Akhoury: Too early to say, our intent would be to manage the lead distance around the same numbers, but in case, there are some markets where we find that attractiveness of prices is high, we might try to go back to those markets.
Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: My question is on credit days, it has increased for first half as well as last couple of years. How should one read into this?
Neeraj Akhoury: Your question is about credit days increasing, right?
Ritesh Shah: Yes, sir. So, March ‘21, it was 20 days. If you look at March ‘24 and even for the quarter ended, it is like 36 days. So, the number has increased continuously. So, is there some change in strategy? How should we understand that?
Neeraj Akhoury: We will get back to you on this, yes, our numbers are little different than what you were putting. But having said that, there is no change in strategy in terms of market approach. We still operate on the same terms which we operated in the last few years and it could be possible that last quarter the demand being low, the outstanding has gone up slightly otherwise, but there is no change of strategy.
Ritesh Shah: And sir, my second question, if I look at last 2 years or say last 5 years, the discounts that we offer on a per ton basis, it has increased significantly. So, if I look at the CAGR of last 2 years, the number is nearly Rs. 600 per ton, which in FY19 used to be Rs. 330 per ton. Again, is this a conscious measure to increase the discounts as we widen the spread or as we try to push more volumes, how should we understand this variable?

Ashok Bhandari : Please understand that if we are saying that our rebate and discount are better than how our EBITDA is increasing, there is some disconnect in the understanding itself. You will appreciate that this quarter amongst the peer group, we have the highest EBITDA per ton. We have a realization which has a minimal drop. We have taken a large volume drop, but that doesn't mean that we have to do a rebate and discount increase also. And if that would have been there, then our EBITDA would not have been Rs. 780 a ton. It is highest in the industry. Will you

acknowledge that?
Ritesh Shah: Yes, sir. But sir, my question was from FY19 to FY24, if?
Ashok Bhandari : My friend, please appreciate that 19-21 is not comparable at all because of COVID years. 21-24, if I have an increasing EBITDA trend, then irrespective of rebate and discount, my NCR is keeping on increasing or my cost is going down at a much higher pace than the NCR, you appreciate that? So, we will do the analysis as you have pointed out, we must know, but then how is it possible that I am having an increasing EBITDA with an increasing rebate and discount, it can't be? If the market dynamics have changed, or if my market geographies have changed, then the discount might have got adjusted, but then ultimately my - profitability is increasing.
Ritesh Shah: Sir, I will agree to what you say at the credit days been steady, but the credit days have also increased besides the discounts?
Neeraj Akhoury : As I said, one of the topics that

we covered is that last quarter has been a difficult demand month before outstanding may have gone up. I do not have the last 5 years figure, but last 3 years, if I look at it that figure I have that we are operating in a discount of roughly about the same range of 600-650 and that has not really changed. So, I don't have the 5 years figures, so I am not giving you that, but last 3 years I am not finding any change.
Ashok Bhandari : What I suggest is that you exactly word your query and send it to either Mr. Subhash Jajoo or me and we will give you exact calculation. There may be some different ways of calculating things.
Moderator: Thank you. We will take our next question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Sir, I just want to understand one thing, this quarter you prioritized premium products versus volume. If I remember right, in the first quarter, you shifted some volumes from North to East where prices are relatively low, right? And you gained market shares on volume. So, just trying to understand what is your strategy on volumes going forward? Can you just help us guide how you will fare versus the industry over the next couple of years?
Neeraj Akhoury : What we have done, if I compare the last 2 quarters, it is true that last to last quarter, Quarter 1 of this year, we had taken certain strategy. For now, what we have done, let us say in North that we have considerably reduced our non-trade sales. So, our trade sale as an example in the North has gone up to plus 65% odd which was up from 59% in Quarter 1 and in non-trade, we were at

41% in Quarter 1, we have come down to a level of 35%. So, that is the kind of approach that we had taken, which I told you in the very beginning, that price was more important for us than volume in the last quarter and the number of actions were taken of the right geography, right segment, right product to make sure that we are able to deliver a better result on the realizations.
Rahul Gupta: So, just one follow up, given that you have reached your initial target of 15% premium product, and you would want to normalize this going forward, how should we look at volumes over the next couple of years?
Neeraj Akhoury : Volumes performance, I am convinced, we should be in line with the industry demand growth. Sometimes little higher, sometimes a little lower, but we should be broadly in line with the industry demand growth.
Moderator: Thank you. Next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: I wanted to follow up first on the question asked by previous participant. Just want to understand the strategy a little better and then I will ask a follow up question. There was a strategy of taking market share, improving utilization and improving pricing. And quarterly, we are not able to figure out what exactly is the strategy because it seems like the goal posts are changing every quarter, if I am not mistaken, just to understand when you say market, you expect volumes to grow in line with the industry, you have dropped the utilization, market share, guidance and focusing on maybe improving pricing and how do you plan to improve pricing from here on? And then I will ask the follow up question. That is the first question?
Ashok Bhandari : Please understand that there is a classic disconnect between increasing volume and increasing pricing. If you want to increase volume, you have to give up some pricing because everybody else will drop the prices to chase the same value. That is one part of the thing. Number two, as Mr. Akhoury pointed out, we were seized of the fact if you will recall my concall of June '24, I had said two quarters, I find the industry to be in a difficult phase. We were seized of the fact that the volumes will be lower, A, because of delayed union budget, B, because of monsoo

n
season. Both got aggravated. The budget ultimately got presidential assent on 16th of August. So, we were anticipating practically no demand from the Government who is the major buyer for infra. If you think that 60% is housing, 30% is infra and 10% is industry and if we have

operated at about 60%, then we have catered to the housing, but 30% demand was just not there. This is all a dynamic situation, my friend. Tomorrow, if the government demand comes up, if the pricing moves in a different manner, we will not be hesitating in increasing our non-trade share. It was well thought out, well understood that there will be very low infra demand and that is why this strategy was adopted. You have to be dynamic enough in the business to make more and more money, whichever sale mix really gives you the best result, you will move to that. So, what is the strategy? The strategy is to maximize profits, come what so may.

Satyadeep Jain: Mr. Bhandari, are you saying the industry volume growth was -7% for the entire industry in this quarter Y-o-Y?

Ashok Bhandari : My dear friend, one second, you are forgetting a major data point. Q1, the entire industry was negative and we were 1% plus. And we had at that time thought that the demand should be robust enough and when we realized the delay due to the elections and the monsoon, we had changed the strategy. We are lowest in growth in volume terms, but then our EBITDA has become highest. Please understand that we are running a business. You try to maximize profit. Back to Mr. Akhoury.

Neeraj Akhoury : You have said very well. That is what we are doing about strategies, more of a tactical decision depending on what kind of macro environment we are facing and therefore what is the right thing to do.

Satyadeep Jain: Second question, just wanted to ask on a follow up to that, the volume guidance of growing in line with the industry for the next 2 years, just want to understand why the urgency to add so much capacity if you want to grow in line with the industry -The rational for adding capacity, if you are going to grow in line with the industry?

Neeraj Akhoury : No, by next 6 months, we are talking about projects that are already in the pipeline under construction. In fact, now in the last part of the construction, which will be now commissioned in next 5-6 months, 7 months. What we are saying if the demand were to grow at the CAGR what we have observed in the past, it makes sense for us in order to conserve and maintain our market share to go up to 80 million tons by 2028 is what the guidance we have given to all of you.

Moderator: Thank you. Next question is from the line of Rashi Chopra from Citigroup. Please go ahead.

Rashi Chopra: Just on the premium product, you mentioned that you wanted to stabilize at these levels. Are we talking about like a 15% for a stable level for premium product?

Neeraj Akhoury : For next few quarters, 15% is what I have said, yes.

Rashi Chopra: And the last quarter was about 8%, right 1Q?

Neeraj Akhoury : 9%.

Rashi Chopra: And what was the overall trade sale proportion when mentioned for the North, but just your overall trade sale?

Neeraj Akhoury : We are at about 74% plus, ma'am, totally 74% at all India level.

Rashi Chopra: Then, just moving to the cost side, you mentioned that the second quarter costs are about 4122. So, that is essentially the total cost dividing by your cement volume, right? That is not just cement cost?

Neeraj Akhoury : Total cost.

Rashi Chopra: So, the decline that we see in the EBITDA on a sequential basis, despite having a flattish realization is attributed to both costs as well as some other income going down, correct? Power or other miscellaneous income?

Ashok Bhandari : Let us not put it like that, Rashi. Yes, the realization has dropped, the power is we don't give any separate figures, so we are talking of blended EBITDA and obviously if there is a dilution in margin it is because of a relatively lower reduction in cost. Other income is more or less the same. Other operating income has also slightly gone down, so revenue from operations have deflated more because of other operating income. My other income is which is treasury income is about Rs. 130-Rs. 135 crores. And cost, though we have some declining trend, if you want I can exactly quote you the numbers. Quarter-on-quarter, the capacity utilization went down to 56%, so obviously the recovery of fixed cost has gone lower. Our total sale (including clinker sale) is 76 lac ton versus 96 Q-on-Q. so you can understand that all these reductions have led to lower recovery of fixed costs and lower contribution. Am I clear to you Rashi?

Rashi Chopra: Yes, sir, clear and on the fuel pricing 1.71 that is the consumption cost, where are we at now?

Ashok Bhandari : This quarter, we will be at about 1.65-1.64 because of the pipeline inventory which we are carrying, but today we are purchasing 1.51. So, the effect will come only in Q4 FY25 or maybe

partly in Q1 FY26.
Rashi Chopra: Again, on the green energy you indicated you are adding 90 megawatts by March 25 and beyond that, what is the plan beyond of March 26?
Ashok Bhandari : See let me make it clear to you. We have seen and we feel that 60% of the total energy max can be attained from green energy sources. We are trying to optimize this by having a combined hybrid kind of thing where wind and solar can also be done at the same site to have better PLF, but then these are all in working. We will get back to you. We are at 54.8. We will certainly reach 60 by June 25 or something.
Rashi Chopra: Sir, one last question on the capacity expansion. Everything is in 1Q FY26, the 3 million ton Bangalore expansion, when is that coming?
Neeraj Akhoury : We are still working on it. We are trying to getting some of the clearances done. Once that is done, then we will be able to be more accurate about when will the Bangalore facility come.
Moderator: Thank you. We will take our next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: My first question is on this other operating income or like the numbers you mentioned, so does your reported realization of like 44 and 47, does it improve the impact of subsidies and has subsidies number changed on quarter-to-quarter basis?

Ashok Bhandari : Prateek, what I suggest is that Jajoo has these details. Let him answer you. So, we don't want to unnecessarily take say Rs. 130 crores of subsidy recognized by Ambuja as one off. Let Mr. Jajoo give you exactly the number of other operating income and subsidy included therein.
Subhash Jajoo: Prateek, first of all, the realization number that we have given of 4,447 does not include the other operating income. And you want the number of other operating income?
Prateek Kumar: Yes, if you can get that will be great.
Subhash Jajoo: It is roughly Rs. 66 crores as against Rs. 45 crores last quarter.
Prateek Kumar: The other question is we got from channel feedback like versus January, we had a big event in January regarding consolidation of brands into one brand and then focusing on premium brand etc., that was a big event and push there. And then there was some, in 2Q, particularly feedbacks, there was some discontinuation of certain premium products, but you mentioned that premium mix has actually gone significantly higher. So, just wanted to cross check, there was no change versus what was launched in earlier part of this calendar year?
Neeraj Akhoury : So, the January initiative, I don't know how much about the event, but for the initiative it was initiative of the Mother brand of the Umbrella brand, which is Bangur. That strategy could be the Bangur master brand

continues. We have of course introduced some new products in the market. Having said that, once we have stabilized the volumes of the new premium brands, then we have also bought back some of our most tested brands back to the market. So, that is the strategy that we are following and I think it is working quite well given that in premium, we have been able to deliver a better result than last quarters.
Prateek Kumar: So, what specific products have we got back generally asking?
Neeraj Akhoury : So, Roofon was, for example, one product Roofon was one of our very time tested premium products in the market for Shree and that is what we have now reinstated. Similarly, Jung Rodhak was one of the iconic products in India and iconic brands in India. Now, it is coming back as Bangur Shree Jung Rodhak. So, we have made some tweaks, some changes, some alterations, more to suit the market, but overall, the results have been to our estimates quite favorable.
Prateek Kumar: And my last question on depreciation, this quarter, also like very high depreciation, So, what is the expected depreciation number for this financial year and next financial year?
Ashok Bhandari : If you look at the half-year number, it is at about 1311. So, if you just double it because we expect to commission new plants only in April-June, this year, the depreciation number should be 2,700 kind of. However, you have given me the opportunity to explain that I had always been maintaining vis-a-vis Shree that please look at cash profit numbers and not net profit numbers. And I am very happy to say that in spite of whatever we have done, the cash profit still stands at about Rs. 200 a share vis-a-vis 259-260 in last quarter, so Rs. 200 is the cash EPS, net EPS is 25 and it is nothing but because of an aggressive depreciation policy which we have been following.

We are cash centric, we are not net profit centric. And cash, you will appreciate as the cash EPS has gone down marginally only. 15% cash EPS decreased vis-a-vis 24% overall or 21% number is quite good and yes, we will be at about Rs. 2,700 crores of depreciation for the year. And one more thing, I want to point out that the half year depreciation number is almost double of last year's half year depreciation number because of commissioning of 6 million tons of new capacity

and some waste heat recovery and other small capitalization.
Prateek Kumar: So, we will be commissioning like lot of more capacity like in next year also, so that number of Rs. 2,700 crore will remain at the same number as like even next year?
Ashok Bhandari : Look, I will really get back to you on the predicted depreciation numbers. Will it all depends on when, whether we commission it on 1st April or 1st June or 30 June. So, as far as next year depreciation number is concerned, please give us some time. However, please understand I am again repeating that I always maintain that Shree is cash profit centric, not net profit centric and I shall be indeed very happy if you pass the same message to the investors that please don't look at net profit of Shree, look at cash profit of Shree. By doing such accelerated depreciation, I am at a faster rate changing the nature of my non-fungible fixed assets to fungible cash assets. And over a period of time that makes a big difference. That is the reason why we are being able to finance all our expansions from our own internal generations. We don't borrow.
Moderator: Thank you. Next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, first is on the CAPEX, so 1H we have done close to Rs. 1,860 odd crores. So, for full year and maybe next 1 or 2 years or previously we said Rs. 4,000 crores CAPEX, so that number remains intact?
Ashok Bhandari : Yes it does. We will be roughly Rs. 4,000 crore every year for next 4 years.
Shravan Shah: And sir, in term

s of the October and till now, November broadly - our region is South and North in terms of the prices, how are they versus the Q2 average?
Ashok Bhandari : Very marginally better.
Shravan Shah: And couple of data points are needed, blended cement sales in Q2, road share in Q2 and the fuel mix pet coke in Q2?
Ashok Bhandari : Mr. Jajoo will give you these data, please.
Subhash Jajoo: The blended sales ratio is 70% for this quarter and you wanted what, other thing?
Shravan Shah: Road share and fuel mix pet coke?
Subhash Jajoo: Road-rail is around 88% by road and 12% by rail.
Shravan Shah: And pet coke, sir, fuel mix?

Subhash Jajoo: Pet coke, 88% was the pet coke and balance was alternative fuel.
Shravan Shah: And then this 2028, when we say we will be having more than 80 MTPA, so is it a FY28 or calendar year 2028?
Ashok Bhandari : This is stretching too far my friend. Let us commission Q1 FY25-26 and we will get back to you. The Bangalore unit, Mr. Akhoury has said, we are awaiting regulatory approvals. Now, how does it matter if the commissioning is delayed by a quarter? You say in March it will happen or in December it will happen. At this stage it is extremely difficult to answer.
Moderator: Thank you. We will take our next question from the line of Lakshminarayanan Kg from Tunga Investments. Please go ahead.
Lakshminarayanan Kg: I just want to understand what is your average utilization, your target for the year across your Central, East and South markets?
Ashok Bhandari : You are asking for full year guidance and capacity utilization or you are asking regional guidances?
Lakshminarayanan Kg: Two parts. First, I just want to understand the first half, what has been our utilization across these three regions?
Ashok Bhandari : I am giving it to Mr. Jajoo, he will answer it.
Subhash Jajoo: Well, the overall utilization, as Mr. Akhoury said, it is 56%, in North it was 58%, East 63% and South 40%. This is for the September 24 last quarter.
Lakshminarayanan Kg: And in the next 6 months, among the 3 markets which market, you perceive that there will be relatively better growth if you just stack rank?
Neeraj Akhoury : Better growth as in better de-growth you are saying?
Lakshminarayanan Kg: Volume growth, if you are looking at the next 6 months volume growth, which market among these three would like a growth?
Ashok Bhandari : Are you talking of last quarter or in the future?
Lakshminarayanan Kg: Just looking at the next 6 months, among the 3 markets, which markets will you think will grow better?
Neeraj Akhoury : I think the way we see therefore will be to grow, as I said, in order to maintain our market share that will require us to grow across geographies depending on each geographies market demand growth. But my expectation would be that we should see in a relatively better growth in North and South and somewhat more muted in East.

Lakshminarayanan Kg: For this year, for the first half, what is the cash EPS for the Middle East unit?
Ashok Bhandari : Let me repeat the numbers for you. Q2, my cash EPS is 196-197. Q1, my cash EPS was 260. Half year FY 25 is 456. Half year FY 24 was 478. Irrespective of such bad market conditions, we are almost maintaining our cash EPS as per last year. That is why I am telling every one of you, please judge us on cash profits, not on net profit.
Lakshminarayanan Kg: Sir, my question is that our Middle East unit is making cash profits now?
Ashok Bhandari : Yes, it is.
Moderator: Thank you. We will take our next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Just one more question on the other expenses. So, I see that Y-o-Y there is a 70% drop in other expenses when volume is dropped 7% and two new clinker units are also in the base this year. So, I just wante

d to understand why there is a big drop in other expenses.
Ashok Bhandari : You have to please appreciate, other expenses as a group include what? Number one, in last quarter, we had Royalties included in the other expenses, this quarter we have reclassified, and other expenses have been reduced by an amount of Royalty and added to the raw material cost as is being done by most of the cement Company. That is major reason. Rs. 100 Cr is because of that. Secondly, the logistic costs have also slightly improved because of the drop in lead distance. Number three, as the units are getting stabilized, the stabilization expenses which were high in Quarter 1 has also got sobered down and is likely to remain around this level.
Amit Murarka: Also, like you mentioned that every year there will be a Rs. 4,000 crores CAPEX that you plan to do, so given that most of the expansion plans at least announced ones are getting over in Q1, so could you just explain?
Ashok Bhandari : You are making slight mistake. It will reach 70 in June 25, whereas it has to reach 80. Even in this 70, if you see the brownfield and green field mix, maximum is brownfield. In 80, maximum comprises of greenfield .
Moderator: Thank you. We will take our next question from the line of Prateek Maheshwari from HSBC. Please go ahead.
Prateek Maheshwari: Just one book keeping question, what will be the power revenue for the September end quarter?
Ashok Bhandari : We have stopped giving power revenue separately and we don't intend to. I made it very clear in last quarter that we will be giving you blended revenue from operations and blended EBITDA.
Moderator: Thank you. We will take our next question from the line of Uttam Kumar Srimal from Axis Securities. Please go ahead.

Uttam Kumar Srimal: Sir, what is the current status of our RMC plant? How many plants currently we have got and how many plants we have commissioned in this fiscal?
Neeraj Akhoury : So, this is the first year of our RMC foray into this industry. We started in West and South in Hyderabad as well as in Mumbai where we have taken 5 plants in Bombay and 2 in Hyderabad. That makes 7 plants to date. We are also constructing plants in other regions now and what we had assured to the investors was 5 plants in year 1. We have already crossed that to 7 as I said and I hope we will be in double digit by this financial year end.
Moderator: Thank you. We will take our next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Sir, just one question on your standalone and consolidated operations, so couple of your plants are now in subsidiaries, so is this meaningful volumes and revenue and EBITDA output on those plants and would you be reporting like consolidated volume sometime in future?
Ashok Bhandari : Look, Prateek, what I suggest is that you send your exact query and we will reply. These figures, since we are sitting with standalones and consolidated, we don't have these numbers together at the moment. You send us a query and we will get back to you.
Moderator: Thank you. We will take our next question from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Sir, my question is on blended cement. You indicated 70%, is it possible if you could break it up between PPC, PSC, Composite cement and if at all we have any plans for calcine treatment? And the related question over here is any trends on fly ash and flag sourcing costs and if you have any contracts in place which would be longer duration and it helps us on the cost curve?
Ashok Bhandari : Let me put it like this that our fly ash cost quarter-on-quarter has come down. And PSC, PSCC or Calcine or whatever you are asking, we may like to keep it within ourselves.
Moderator: Thank you. We will take our last question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul

Gupta: Can you just help me understand what was the lead distance in first quarter? I understand it would have come more of, but can you please help me with the number?

Ashok Bhandari 433.
Rahul Gupta: So, 453 was last quarter, right?
Ashok Bhandari : Right.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the call to Mr. Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal: Thank you. On behalf of PhillipCapital (India) Private Limited, we thank you the management of Shree Cement for the call and many thanks to participants joining the call. Thank you very much, sir. Yashashri, you may conclude the call. Thank you.
Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

SCL/SE/2025-26/
19th May, 2025

National Stock Exchange of India Limited,
Exchange Plaza,
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MUMBAI – 400 051

SCRIP CODE: SHREECEM EQ
Debt Segment NCD ISIN: INE070A07061 BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001

SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub:- Transcript of the Conference call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, the transcript of the Conference Call held on 14th May, 2025 relating to the Financial Results of the Company for Quarter and Year ended on 31st March, 2025 is attached.

Kindly take the same on record.

Thanking you,

For SHREE CEMENT LIMITED

(S.S. KHANDELWAL)
COMPANY SECRETARY

"Shree Cement Limited
Q4 FY '25 Earnings Conference Call"
May 14, 2025

MANAGEMENT : MR. NEERAJ AKHOURY – MANAGING DIRECTOR – SHREE CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER – SHREE CEMENT LIMITED
MR. ASHOK BHANDARI – SENIOR ADVISOR – SHREE CEMENT LIMITED
MR. S.S. KHANDELWAL – COMPANY SECRETARY – SHREE CEMENT LIMITED
MR. K.K. JAIN – HEAD OF FINANCE & ACCOUNTS – SHREE CEMENT LIMITED

MODERATOR : MR. NAVIN SAHADEO -- ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Shree Cement Limited Q4 FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Navin Sahadeo for opening remarks. Thank you, and over to you, sir.
Navin Sahadeo: Thank you, Saisha. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q4 FY '25 earnings call of Shree Cement. From the management, we have with us MD, Mr. Neeraj Akhoury; Senior Advisor, Mr. Ashok Bhandari; and CFO, Mr. Subhash Jajoo. So without any further ado, I hand over the call to the management for their opening comments. Over to you, sir.
Neeraj Akhoury: Thank you, Navin. Good evening, ladies and gentlemen. Most welcome to the earnings call for Shree Cement Limited. I'm sure you must have had a chance to read our quarterly results. The Q4 last quarter has witnessed a rebound in demand driven by increase in government capex and overall pickup in all the economic activities. The residential sector demand picked up propelled by uptick rural demand because of good monsoons and increased urbanization.
The commercial segment has also shown good potential driven by retail and office space expansion, which is fast emerging as another cement demand growth driver. While there are several challenges, but the strategic expansions, consolidation and sustainability efforts position the cement industry for long-term growth.
Talking about operational and financial performance, the current quarter has been a period of superior performance, if I may say so. Our total India sales volume increased to 9.84 million tons in the current quarter, up from 8.67 million tons on sequential basis, registering a growth of approximately about 13%.
Our focus on premium products helped us improve our average realisation per ton by about 5% to INR4,768 from INR4,554 on a sequential basis again, supported by a drop in the fuel sourcing cost, rationalization of the power cost due to rising the share of green energy and efficiency measures undertaken across our operations.
EBITDA for the quarter was INR1,383 crores, representing a growth of 47%. EBITDA per ton increased by 29% to INR1,406 from INR1,088 on a sequential basis. In fact, I might just like to add that our adjusted EBITDA per ton is standing at INR1,437 when the impact of one-off item of INR30.66 crores regarding impact of voluntary separation scheme of employees and contract workers undertaken by the company during the quarter is taken into account.
Company's focus over the last several months has been on improving price realization through enhancing our sale of premium products raising the level of brand positioning versus competitors and a superior better geo mix. We are confident, ladies and gentlemen, that going forward, the strategy will play out in improving brand equity, lifting volumes as well as price realization.

The company continues its effort towards enhancing the share of green power to produce cement in a more sustainable and cost-effective manner. The company's share of green electricity in total electricity consumption, very proud to say, it stood at about 60.2% in quarter 4, ‘25, which is one of the highest in the Indian cement industry, if not the global cement industry.
The company is consistently ramping up its green power generation capacity, which stood at 582 megawatts at the end of quarter 4 FY '25, up by 21% vis-a-vis 480 megawatts at the beginning of the FY '24-

'25. During March '25, the company commissioned a solar power of 60.3 megawatt at Jodhpur in Rajasthan. The work on a few more solar plants at different plant site is underway. Accordingly, we are convinced that going forward, the share of green energy will increase further.
The company also remains focused and committed to improve our ESG performance in all parameters. Again, very proud to say that yesterday, the company received ESG rating, CareEdge-ESG 1 with rating score of 70.8% from CARE-ESG Ratings Limited. The above ratings represents Shree Cement leadership position in managing ESG risks through its best-in-class disclosure policies and performance.
Further, the company also secured its place with the S&P Global Sustainability Yearbook '25, as an industry mover based on S&P Global Comprehensive Corporate Sustainability Assessment, the Sustainability Yearbook comprises the company is scoring in the top 15% of the industry for sustainable business practices.

On the capex front, recently, the company commissioned few units. First was the cement grinding unit in Etah near Agra in Uttar Pradesh of 3 million tons through its wholly owned subsidiary, and the second was a cement grinding unit at Baloda Bazar Chhattisgarh, which is about 3.4 million tons. This has taken our total installed cement capacity to 62.8 million tons in India. Company's other ongoing projects of integrated cement unit in the Jaitaran, Rajasthan and Kodla in Karnataka are scheduled for commissioning by end of quarter 1 '26 and quarter 2, '26, respectively.

Further, the company decided that out of the two cement mills of aggregate 6 million ton capacity planned earlier in Jaitaran, Rajasthan. Only one will be commissioned in Jaitaran while the other mill will be installed later -- the company is continuously working to identify suitable opportunities to reach its goal of achieving more than 80 million tons capacity by 2028.

Recognizing the market demand for premium products, the company has launched several premium products, which have resulted into increase of share of premium product sales from 11.9% in Q4 2024 to 15.6% in Q4 of '24-'25. During March quarter. The company launched Bangur Marble cement, extra white Portland slag Cement in Bihar, West Bengal and Jharkhand markets.

The product offers high-performance attributes and an eco-friendly approach incorporating GGBFS by-product from the steel manufacturing, an eco-friendly approach from our side and the composition support stronger, more durable structure when reducing the environmental footprints.

The product will be offered alongside Bangur cements premium lineup, including Jungrodhak, Rockstrong, Powermax, Magna and Roofon. We are expecting the cement demand to grow by 6.5% to 7.5% during FY '26, fuelled by infrastructure projects, rural recovery, real state momentum and softening interest rates.

This is from my side, ladies and gentlemen. Now I hand over to my colleagues, Mr. Ashok Bhandari, our Senior Advisor; Mr. Subhash Jajoo, our CFO, to take this conversation further. In addition to them, we also have our company Secretary, with us Mr. Khandelwal as well as our Head of Finance and Accounts, Mr. K.K Jain with us. Thank you, everybody.

Ashok Bhandari: Thank you, Neeraj ji. Good afternoon, everybody. Mr. Neeraj has given a comprehensive overview of the operations of the company. I suggest you may like to go straight to the Q&A. But before that, I must point one more thing here in these results.

From this quarter onwards, we have slightly tweaked our ECL policy, to have a more conservative accounting approach. Accordingly, hitherto, we were providing the ECL only to the extent of legal suits filed. Henceforth, we shall be using ECL provisioning or we shall be providing for ECL for all legal notices served. This means that in this quarter, another INR24 crores of add

itional provision has been made towards ECL based on legal notices issued. I must caution you guys that these are provisions only for a more conservative accounting approach and do not mean that they are debts written off.

We shall be following this policy. So accordingly, apart from Mr. Neeraj Akhoury announcement of about INR31 crores of onetime VRS -- you may also like to add about INR24 crores of onetime such provisioning. In addition, the numbers are there. You may like to ask your questions, please, thank you.

Moderator: The first question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: My first question is on volume. We have seen generally industry kind of do high-single digit volume growth off late, but our volume rate still remains in low single digits. So I wanted to understand that what is the outlook now for volume for FY '26, particularly as we are commissioning large capacities in Q1 also?

Ashok Bhandari: Let me make it very clear to you. Right after in Q1 '24-'25, we had said that our strategy is not to be the biggest volume player in the industry, but be the most profitable player in the industry. Accordingly, a constant trade-off has been undertaken between price and volumes and since profit reflects in terms of price that is, EBITDA or net profit available to the shareholders.

We thought it better to concentrate on profits instead of concentrating on volumes. And you know that it is proven fact that in a capacity overhang scenario, you don't get price and volumes, both. So you have to do a trade-off, come to a cut-off point and see at what volumes you can maximize your profitability because that is the only distributable item in our hands. We don't distribute revenue, we distribute profits.

And I have been telling you this for the last three quarters, but then so be it. And as far as the volumes for '25-'26 is concerned, Mr. Akhoury has clearly said that we expect 6.5% to 7.5% or

8% growth. I would be slightly more aggressive. I would like to say that we may do about 39 million tons for this year. However, the strategy of trade between volume and profit will be foremost in our minds. And as the year progresses, we will keep you updating.
Amit Murarka: So when we pursue like you're saying the high single-digit volume growth in the target maybe this year, which broadly I understand will be in line with industry. So then is it fair to say that the capacity utilization, whether it stays subdued for you? I mean which we have been seeing this to be in the range of 65%-odd for the last year or so. So then the new expansion also will remain same.
Ashok Bhandari: You have to understand the rationale of our capital expenditure or capacity creation. Please understand that the delta between the treasury return, which may be, say, a 10-year G-Sec, and inflation is hardly about 2%. So we are creating an option at 2% for additional capacity because if we get two quarters like January - March, all these option costs are taken care of. So at 2% option, we are creating capacity to see and generally the cement demand should be more vibrant than what we are claiming today.
And that is because of the fact that the demand has not been as robust as it should have been in April -- until first week of May, which was because of the war. So we are slightly cautious. Give us some time the demand should pick up. We are positive about it. No growth is possible without cement and steel. So we expect that in 2-3 years' time, we should go back to about 75%-85% capacity utilization.
Amit Murarka: Understood. That's very clear. Just one last question now on the Q4. So I see that the purchase of traded goods is a bit elevated in this quarter. Is it some kind of earlier, I remember some coal was sold overseas is something similar -- this quarter?
Ashok Bhandari: It must be similar. I'll check and let Mr. Jajoo or Mr. Jain

respond on that. You please appreciate
that I do not go into such detailed analysis of numbers. If you need or if you can wait, send a mail to us, and we will reply you accordingly, but it should be in line with the trend.
Moderator: The next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: Thank you so much. Mr. Akhoury, my first question would be on the branding strategy, you joined Shree Cement about 2.5-3 years ago. So the intent has always been to close the pricing gap with others. Initially, with the different strategies didn't yield the desired results, but last few months, we've seen a change. I just wanted to see what different strategy you adopted now in the past few months.
It doesn't seem like it's just withholding volumes because you're seeing the pricing gap in certain markets close with the peers. So what difference have you done in the last few months, which you've been through earlier? And is that strategy different across regions because as per the channel checks, it seems the gap has closed in certain regions and certain regions still needs to close. So that's the overall change in strategy? And how is it working in different regions?
Neeraj Akhoury: I don't think we had described our strategy. And I think you're hearing from us in the last 2-3 quarters call that we are giving lot of push to our premium products, and with a intent that we

should improve our brand equity scores. We should create the right brands that makes an impact in the market.
That strategy of creating a better brand equity score through several means, including new products, impact on quality, and bringing the right amount of technical work in the field. All that is continuing. It's a journey.
And as we find that our brands are becoming more strong, we are pushing for better pricing as well. As I said, this is a journey, and it will take some more time before we really start talking about it that we are one of the best positioned players in the industry.
Satyadeep Jain: And how is that positioning different in different regions, do you think…?
Neeraj Akhoury: I think Pan India market, the approach will be same in terms of brand equity and improving the brand scores that will be absolutely same. The approach will not be different in different markets.
We may have different brands in different markets, but not the approach. Approach fundamentally will remain the same, and that is to use our brand equity to better our price positioning.
Satyadeep Jain: Okay. Second question on the capacity you're creating, especially in North. You have one near Pali and the other one coming up in Etah. I mean, it looks like on the outside similar market, north with the distance of 500 kilometers. But just wanted to understand, data, are you looking to go further central eastern side of UP main and with the Pali one are you looking at maybe going to Gujarat. So what are the target markets you are looking at, because they're both North,

but are you looking to get to Central and Gujarat from these markets?
Neeraj Akhoury: So clearly, even Etah being closer to Agra - it is closer to the Central UP markets as well as some of the East UP markets. And therefore, we will try to use Etah capacity to better our market shares in the very high demand markets of Central and East UP.
As far as North plants are concerned, we still have rooms in many of the northern markets, including states like Jammu and Kashmir and states like Gujarat and states like West MP and some other markets as well. So that effort will continue.
So both plants will be catering to different markets. But we are excited that we will be entering Central UP and East UP using Etah, as a base, it's a large block. And it will help us to augment our market shares in these markets.
Ashok Bhandari: If I may further add, we putting the Indus water treaty in abeyance. A si

gnificant scope exists in
creating necessary infrastructure to control the flow of waters. That means much greater demand in North India. Please appreciate that.
Satyadeep Jain: So just the one unit you were looking to do it in Pali and get expanded. So this new unit will be, considering Mr. Bhandari what you just said, catering to demand in those particular pockets.
Ashok Bhandari: My dear friend, you can set up a cement capacity only if you have limestone. If there will be limestone in Jammu and Kashmir, we will certainly set it up there.

Satyadeep Jain: That I understand, it comes from Navalgarh or one of the on last year...
Ashok Bhandari: It will be for North players in general, and this gives us confidence in our 11th unit in Ras or Jaitaran wherever you want to call it, that we should be able to service it nicely.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Good Evening and congrats on good set of numbers. First, some housekeeping numbers. If you could share what was the fuel cost per kCal, trade mix and lead distance?
K.K. Jain: Fuel costs per kCal for this quarter is INR1.48 against INR1.82 of March '24.
Rajesh Ravi: And lead distance and trade share?
K.K. Jain: Lead distance is 446 Km for this quarter against 435 Km for March '24.
Rajesh Ravi: Trade share?
K.K. Jain: Trade Share is 73%. It is same for March '24.
Rajesh Ravi: And what was the Cement realization, Neeraj, sir mentioned during the opening remarks?
K.K. Jain: Yes. Cement realization for the quarter is INR 4,768 per ton.
K.K. Jain: Against this December '24, INR4,554.
Rajesh Ravi: INR4,554 in December?
K.K. Jain: And in March '24, it was INR4,722.
Rajesh Ravi: Yes. And what is the incentives we have accrued for the full year? Or we have booked in revenues?
K.K. Jain: The figure is not presently available, we will share with you.
Rajesh Ravi: Okay. And sir, what is the thought process going forward in terms of expansion. We have 3 million tons, which is deferred and 3 million ton in Kodla, this Bangalore grinding unit. I think last call, you had mentioned that the clearances are awaited. So what is the status on that and the 3 million tons at Rajasthan, which you have deferred?
Neeraj Akhoury: As I said, we have announced several locations in India where we're already in the advanced levels of preparedness now to launch an expansion plan as well launch expansion. At the right time, we'll be very happy to share with all of you once we start the work at those sites.
Rajesh Ravi: Okay. So currently, whatever you have announced is for expansion till FY '26 and for expansions beyond FY '26, you would be making announcement soon, right?
Neeraj Akhoury: Yes.

Rajesh Ravi: Okay. And total capex for FY '26, which is earmarked on the ongoing projects?
Neeraj Akhoury: About INR3,000 crores.
Ashok Bhandari: It's about INR3,000 crores.
Moderator: The next question is from the line of Raghav Malik from Jefferies.
Raghav Malik: Just a question on pricing. So you mentioned that average realization for cement are higher about 5% sequentially. So is it possible to bifurcate that between North and East or give some idea of pricing in these two regions for the industry?
Ashok Bhandari: If I may reply. You see, basically, if we shall share with you recent prices, but then you are generally aware that North was quite vibrant market and East has picked up quite a lot. Since

last 2 months, South has also substantially picked up. So I'll ask Mr. Jajoo to look at the numbers and send you a mail or you send him a mail and he'll reply to it. If he has the numbers just now, we'll share it. Give me a minute.
Mr. Jajoo has some numbers, he'll speak.
Subhash Jajoo: Yes. The realization in Northern market, as compared to year-on-year, it is up 3%. For East it is up by 1%

and South, it is down by around 5%-6%. And for quarter-on-quarter, the Northern realization is up by 4%, 8% for East and 2% for South.
Raghav Malik: Okay. North is at 4% and East is at 8% sequentially, and like how is this spread in April, if you could share that as well?
Subhash Jajoo: I think it will be better if we discuss this in the next quarterly call.
Raghav Malik: Sure, sir.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, just continuing the previous question, just on a directional front, is it fair to say from the average of the fourth quarter, for us, the realization would be our 2% plus kind of Q-o-Q till now on a broader sense?
Ashok Bhandari: My friend, broader sense may give you some kind of a directional picture. It is better, you wait for one more quarter. We come back with firm numbers. What is the point in telling you this and then explaining it is 5% or it is 1%. Let's just be realistic. We have not taken anybody of the garden path. We would like to deliver first and then explain instead of proclaiming first and then explaining.
Shravan Shah: Sir, if you can share a couple of housekeeping data point this quarter in terms of the sales mix North, East and South, and it possible for entire full year if you can help?
Ashok Bhandari: This I'm leaving to Mr. Jain to explain to you. Okay. Just give me a minute.

K.K. Jain: Yes, the blended ratio for the quarter is 59%. North India sale is 54.7 MT, East is 32.7 MT and the South is 11 MT. The total is 98.4 MT.
Shravan Shah: And in terms of blended share and of capacity utilization, for even region-wise, if possible?
K.K. Jain: It is 72% at the company level and 74% in North, East is 79% and the South is 51%.
Shravan Shah: This is the blended share you said?
K.K. Jain: Yes.
Shravan Shah: Okay. Got it. And in terms of the premium share, so obviously, we have reached 15% plus. So how we want to take it by end of this year?
Ashok Bhandari: Again, you are asking us to proclaim something. Please. We have said that we have set our direction towards this. Let the numbers evolve over the quarters and we'll come and explain to you every quarter what we have achieved. Please understand in my last 40 years with this company, I have never proclaim and then explained.
I have delivered and explained. Please leave it like that. It is far more easier for us and you come with real data and work on real data. For proclaiming something and then you are extrapolating it into a worksheet and then explaining us or asking us for explanation, probably is not a good strategy, in my opinion.
Shravan Shah: Yes. Lastly, sir, depreciation for FY26 would be how much because we will be adding our decent in terms of the capacities?
Ashok Bhandari: Listen to me. It is about INR3,000 crores to INR3,200 crores for 25-26.
Shravan Shah: Depreciation also?
Ashok Bhandari: Depreciation. I heard you correctly. I have given you depreciation numbers only.
Shravan Shah: Okay, sir. Thank you and all the best.
Moderator: Thank you so much. The next question is from the line of Mr. Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Thank you for the opportunity. Sir, recently, there was an update about limestone mines being granted in Jaisalmer. I think just a few days back, there was an exchange notification to that effect. And in the past, I think we have had some mines being procured under auction in Gujarat as well.
I believe this one, since you did not mention anything about auctions, I'm assuming it is under the old regime. So my question was, is it fair to assume that in the run-up to 80 million tons, one of those capacities is possible to come up either in Gujarat or in Jaisalmer or both?

Ashok Bhandari: Indeed, the Jaisalmer limestone was awarded to us in 2008 and t

hen it got caught in the quagmire
of various legal appeals and counter appeals. Final order has come to us about 10 days back.
And it is a part of our expansion strategy. Gujarat, we are working and many other sites we are working.
Navin, you know me, we'll keep on updating you at right time. Yes, they are part of our overall expansion strategy for sure.
Navin Sahadeo: Thank you. My last question, what is the net debt as of the end of March '24?
Ashok Bhandari: Since when you started using net debt. We have net cash INR5,400 crores roughly.
Navin Sahadeo: Helpful. Thank you.
Moderator: Thank you very much. The next question is from the line of Moksh Ranka from Aurum Capital. Please go ahead.
Moksh Ranka: I would like to know our total clinker capacity and total limestone reserves that we have? Hello am I audible?
Moderator: Yes sir. You are audible.
Neeraj Akhoury: Can you speak little loudly please.
Moksh Ranka: I would like to know our total clinker capacity and total limestone reserves that we have?
Ashok Bhandari: We would not like to be very vocal on our limestone reserve. We would certainly point out to you that our first limestone reserves expires in 2046 sometimes. We have sufficient limestone to service all our existing capacities and our new expansions coming up, up to that time for sure, maybe more, we may not like to put a number on our head. And your first part of the question was that -- you had two questions, what was on limestone Mr. Jajoo will give you the clinker capacity.
Subhash Jajoo: The current clinker capacity is 36.7 million tons and by the end of financial year '25-'26, it will become 44 million tons.
Moksh Ranka: Okay.
Moderator: Thank you so much. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Hi, thank you for taking my question. I have a strategy-related question. I understand the idea is to maximize cash earnings. And towards this, we saw the management and company did very well shifting towards higher pricing at the expense of volumes in the recent quarters. Now that you have guided for high single digits volume growth vis-a-vis 6.5% to 7.5% for the industry. How are you looking at cement pricing during the year? Are you turning littlebearish on cement prices from here on in lieu of you looking to grow faster than the industry?

Ashok Bhandari: Mr. Gupta, let me put it like this. You cannot in a supply overhang scenario, enjoy the cake and have it too. Do you have to play an equilibrium between volumes and prices. We have told you we have never aspired to be the number one cement seller in the country. We aspire to be the most profitable cement company in the country. Top line is never in the command of any commodity manufacturer or supplier.
We will take whatever the price is. We'll try to maximize profit, cash profit and net profit through a proper mix of volume and price prevailing at that time.
Rahul Gupta: I understand that. I'm trying to understand how to look at industry pricing through the year. We have already seen good pricing trends over the past few months and a lot of capacity is expected to come in the system. So in lieu of that, just trying to understand how to look at cement pricing through the year, nothing related to Shree for that matter?
Ashok Bhandari: Mr. Gupta, please appreciate it that nobody sets up a capacity with the hope that he will smash the market share. He will have to fight to get the market share. And if we fight them he really needs very deep pockets. You can't fight without resources. So which is the player we are talking about? What his strategy will be? What region he will be coming into and what kind of financial strength it has, all has to be taken into consideration to understand what his pricing strategy may be.
But then please understand that all existing player balance sheets are quite

strong and they can
take anyone head on as a matter of fact, in matching the prices. Nobody likes to give up market share in our commodity business. So it will be very difficult for us. But having said this, I have a lot of confidence into the growth prospects of the industry and general growth prospects of the country. So I expect the prices should hold and not crash.
Rahul Gupta: Great. Thank you so much. These are my questions.
Moderator: Thank you so much. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.
Jyoti Gupta: Good set of numbers. I have just one question.
Moderator: Ma’am your voice is not clear.
Jyoti Gupta: Is it clear now?

Moderator: Yes, ma'am. Please speak something.
Jyoti Gupta: So good evening everyone. Good set of numbers. Just one question from my side. All your press releases, I understand we'll be setting up something like 50 million tons by FY '26. I just need clarity on that. Correct me if I am wrong, if it is 50 million tons of Shree cement is coming up. I just need to understand by when? And do we have the entire 50 million tons coming by the end of next year or is it staggered to the next year as well. Just on that?

Ashok Bhandari: You have to understand two things. The capacity you are talking about maybe the ballpark number, but then how much of additional clinker and how much of grinding is being set up you have to consider them both separately.
Jyoti Gupta: Exactly, sir. Could you please provide me with the break up?
Ashok Bhandari: I will hand over the mic to Mr. K.K. Jain to reply to how much of clinker is being added and how much of grinding is being added.
K.K. Jain: Our current clinker capacity is 36.7 million tons. And in the current year, that is FY26, the capacity, we are adding is 7.3 million ton. By end of FY'26, the clinker capacity would be 44 million. Same way in the cement capacity, presently, we have 62.8. This includes one unit, which we have started at Etah and another grinding unit at Raipur. And during balance period of FY'26, two new units will come, one at Kodla and another is at Ras- Jaitaran. This would be around 6 million. So the total capacity byFY'26 would be 68.8 million.
Jyoti Gupta: I completely understand the capacity breakup. Could you give me the timeline, is it the end of 5 months that you're coming up? Or is it anticipated any time during the next quarter in the second quarter...?
Ashok Bhandari: Jyoti, this is Bhandari here. Clinker and grinding additional, except whatever has been commissioned, should be done by HY '26.
Jyoti Gupta: Okay. So which means the supply would be FY '27.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: Just had a question, data-related question. Could you kind of spell out what was the other operating revenue in the quarter as well as maybe FY '25?
Ashok Bhandari: We have INR150 crores of other income...
Amit Murarka: Other operating income, INR150 crores, it is?
Ashok Bhandari: You'll hear from Mr. K.K. Jain.
K.K. Jain: Other operating income is included in the revenue. We will give it you offline, please.
Amit Murarka: Also, like if you could spell out clinker sales also in Q4?
K.K. Jain: We will tell you offline, please.
Neeraj Akhoury: It's very, very miniscule.
Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain: Just one question on future greenfield expansion, as you can see from limestones looking at Jaisalmer & Kutch. What is the rationale for this? I know you already have multiple lines in Ras, Beawar and you have Nawalgarh also. So that would mean that there is limited potential there

for expansion, now that you're expanding out into Jaisalmer. I just want to understand the thought process.
Ashok Bhandari: No, no, you

are putting the cart before the horse. We have not said that we will not expand in other regions of North. We have just said that Jaisalmer, we have won the mines and it is certainly on our target now to expand. That doesn't mean that I'm not going to expand at Jaitaran or Nawalgarh or any other place where I have limestone.
It has to be a constant dynamic study of how the market behaves, how the market evolves and what pricing power and what premium production we can push. Please do not consider our thinking to go to Jaisalmer is because of constraints on the limestone reserves at all other North plants we have. Please don't misconstrue it like that.
We have space. Jaisalmer is a virgin area. How much market we can establish there profitably? What kind of lead distances will be there? All these are under study. But since we have got a limestone, which is really a difficult resource to get nowadays, we have taken it in our strategic plan process. And someday, we will come up with a concrete plan of setting up in Jaisalmer.
Moderator: The next question is from the line of Girija from YES Securities.
Girija: Congratulations for a good set of numbers. In fact, it's a great set of number, I can say. My first question is that what is our clinker capacity utilization for the whole year?

Ashok Bhandari: Mr. Jajoo?
Subhash Jajoo: Yes. For the full year, the clinker capacity utilization is around 68%. And for this quarter, it is 73%.
Girija: Okay. So if I see from past few years, 3 years, I can say our capacity utilization has actually declined when other larger players are doing actually 70%, 75%, 80% of capacity utilization in our key market regions. So again, on top of that, we are adding more capacity. And it's a good thing that we are going to capture the market share by installing 80 million tons of capacity. But if in case we are not much focused on the volume in terms of higher capacity utilization, how it is going to help more in the profitability? I understand that we are more focused on reducing the cost structure and focusing on the pricing. And if I'm not wrong, we do not have any kind of control on the pricing.
But yes, we have control on the cost structure. But top line growth we can expect from the volume growth as well as more into pricing. So barring pricing scenario, how we are going to see this new capacity addition, how it is going to pan out? And what's your strategy that we can have a great volume so that our profitability will be more?
Ashok Bhandari: This is Bhandari here. Number one, there is a presumption in your entire premise that India will not grow or cement demand will not grow. That is the underlying -- because if it is going to grow, then everybody's top line will grow, mine too. The difference between everybody's growth in top line and our growth in top line is we don't want to be highest volume producers. We want

to be the highest profit makers, which we have proven in spite of falling capacity utilization or whatever. So please understand that our top line will grow in consonance with growth in market. We will not be laggards. We may be slightly ahead of setting up capacity, but then please understand we don't borrow. We utilize our own cash resources to set up capacities, we are the lowest cost capacity creators. I have explained the concept of our trying to take the option at a delta of 2%. Profit of production, cash comes out of marketing. We must set up and produce only if we can get cash from the marketing in a profitable manner. It is a very difficult question, my dear friend that you sit down, do an excel sheet and extrapolate or intrapolate some numbers.
Girija: Yes. And last question, what is the non-trade mix this time?
Ashok Bhandari: I'm giving it to Mr. Jain to answer that.
KK Jain: Yes. Trade 73%, Non Trade 27%
Girija: Last year, it was in FY '24?
KK Jain: Same in last quarte

r also previous quarter -- in December '24 and then March '24.
Moderator: The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited.
Uttam Kumar Srimal: Sir, my question pertains to RMC business. So what is the current status of RMC business, how many plants we have set up or going to set up? And what kind of revenue we are expecting from this particular business?
Neeraj Akhoury: As we have mentioned earlier also that RMC is a new foray for us. It's about a year or so that we have started this division for us. We are currently operating about 15 plants, but the plan is to grow RMC rapidly. At this moment, we are looking at various markets where more and more units will be set up. And this process will continue.
I'm happy to say that there are several plants in our RMC division, which are already EBITDA positive, they have achieved in a faster ramp-up of those units, especially in the markets of Mumbai or markets of Hyderabad. And this will continue. So we expect that over a period of time, we will have at least 50-odd RMC units.
But at this moment, I will not be in a position to tell you the time lines for that. This is something that we will continue to do. And every quarter, we will be able to give you an update on how many RMC plans we have.
Uttam Kumar Srimal: And sir, two bookkeeping questions. Sir, what was our...
Moderator: Sorry to interrupt, but you may please return to the question queue for follow-up questions. The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, my question is more on the cost structure in the three regions. Can you give some color on how the cost stacks up across the three regions, one on manufacturing basis, and secondly, if possible on a delivered cost basis also including freight?

Ashok Bhandari: My dear friend, this is Bhandari, here. Of course, these data will be available, and we'll be happy to share, but can you please address my curiosity on your asking such region-specific cost

numbers?
Ashish Jain: Sir, one reason is like going ahead market mix. Am I audible?
Ashok Bhandari: Please understand as it is the net profit at company level, which is available at surplus with the shareholders. Region you leave it to us, we will set up capacity wherever it is more profitable to us. You must have some faith in our business acumen. We will tell you the overall numbers, please don't ask us questions, which may have strategic importance to us.
Ashish Jain: Sir, I get that. My only point was that going ahead as we expand capacity in, let's say, South or in West, the share of those regions would increase. I'm not looking at absolute number. My idea was more to understand the relative positioning of region, if possible? I understand the strategic importance of these.
Ashok Bhandari: I very much appreciate it. But please understand that if I'm using my asset side of the balance sheet completely fungible between fixed asset and cash. Any delta in profitability irrespective of region will be incremental to CROCI. So we will be maximizing our CROCI.
Ashish Jain: Right, right. Okay. Sir, secondly, just power cost this quarter, when I see it on a per ton basis, it has gone up, but look, it seems like our power revenues have also gone up quite a bit sequentially.
Ashok Bhandari: Where do you get the power revenue? I don't have that number with me because it is immensely small.
Ashish Jain: But then what explains the increase in power costs sequentially because your cost...
Moderator: Sir, sorry to interrupt. Sir, sorry to interrupt, but you can join in queue…
Ashish Jain: It's a continuation of the same question. Can I go ahead?
Moderator: Sir, you may join the question queue again.
Ashish Jain: Sure, not a problem. Thank you.
Moderator: The next question is from the line of Raashi from Citi Group. Please go ahead.
Raashi: Just one question, on

a sequential basis, how was pure cement cost moved.
Ashok Bhandari: Come back again, you want cost structure sequentially between December '24 and March '25, Am I correct?
Raashi: Yes. Just pure cement, how is that moving?
Ashok Bhandari: Yes, pure cement, I'll give it to Jajoo, he will be able to explain to you.

Subhash Jajoo: So we don't have that data readily available. Raashi, I will send it to you, separately. We have blended cost. I have the blended cost with me, which is roughly 2% up quarter-on-quarter, and it is around 3% down year-on-year basis. But you want specifically for cement. So that is not available right now.
Raashi: Yes. So blended is up right on a sequential basis.
Subhash Jajoo: Yes.
Raashi: So that's what I'm trying to understand. On a pure cement basis, will it be down or will that also be up? That directionally...
Subhash Jajoo: I will just check up and then let you know.
Raashi: Thank you.
Moderator: The last question is from the line of Tushar Chaudhari from PL Capital. Please go ahead.
Tushar Chaudhari: Yes, thanks a lot for the opportunity, sir. And good set of numbers. Sir, I just wanted to know the raill-road rate mix for Q4 and full year and pet coke mix also.
Ashok Bhandari: Before I ask Mr. Jain to explain all these numbers to you, I will like to talk to you. I know Prabhudas Lilladher for maybe 40 years, Mr. Neeraj Akhoury, when he was in Bombay, he was a neighbor to Amisha Vora. Please understand that sometimes, when you say a good set of numbers, it disheartens her. What prevents you from saying things that these are the best set of numbers you have seen. Anyway, I am giving it to Mr. Jain to answer to your other question.
K.K. JAIN: Yes. The rail percentage is around 11.3% for this quarter. And for full year, it's 11.8%. In regard to the pet coke percentage, it is 78% pet coke and the rest is coal and the alternate fuel.
Tushar Chaudhari: And full year?
K.K. JAIN: Full year is almost 18% is the coal and alternate fuel and the rest is pet coke, it's around 82%.
Tushar Chaudhari: I wanted to ask the status of railway sidings, which we talked about in first quarter, we are going to cover all the units with railway sidings. I think FY '25, we are targeting Purulia and Patas.
K.K. JAIN: Purulia has already been done.
Ashok Bhandari: Purulia has already been done. Patas also commisioned. Both are fully operational. And the rest sidings, I think we have said by mid-'27 or early '28 will be done.
Moderator: I now hand the conference over to management for closing comments.
NeerajAkhoury: Thank you, everybody. Thanks, and I think some of you or many of you for complementing us though in a very polite language on our results. It's -- as I said, it is a direction. It's a strategy in execution. It's a journey, and we are happy that we are seeing some good lights, but not reached

the destination as yet. Hopefully, when we meet you next time, we'll have more smiles and more

news to share. Thank you, everybody, for joining us. Gratitude from Shree Cement Limited.
Thank you.
Moderator: Thank you so much on behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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SCL/SE/2025-26/
3rd November, 2025

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Sub: - Transcript of the Conference call Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listi ng Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the Conference Call held on 28
th October, 2025 relating to
the Financial Results of the Company for Quarter and Half Year ended on 30th September, 2025
is attached. Kindly take the same on record.
Thank you,
Yours faithfully, For SHREE CEMENT LIMITED

(S.S. KHANDELWAL) COMPANY SECRETARY

"Shree Cement Limited
Q2 FY '26 Earnings Conference Call"
October 28, 2025

MANAGEMENT : M R. NEERAJ AKHOURY – MANAGING DIRECTOR –
SHREE CEMENT LIMITED
MR. ASHOK BHANDARI – SENIOR ADVISOR – SHREE
CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER –
SHREE CEMENT LIMITED
MR. S.S. KHANDELWAL – COMPANY SECRETARY –
SHREE CEMENT LIMITED
MR. K.K. JAIN – HEAD, FINANCE & ACCOUNTS –
SHREE CEMENT LIMITED

MODERATOR : M R. NAVIN SAHADEO – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Shree Cement Limited Q2 FY '26 Earnings
Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there
will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing star, then zero on
your touch-tone phone.
Before we begin, a brief disclaimer. This conference call may contain certain forward-looking
statements about the company, which are based on the beliefs, opinions and the expectations of the company as on the date of this call. These statements are not the guarantees of the future
performance and involve risks and uncertainties that are difficult to predict.
I now hand over the conference to Mr. Navin Sahadeo from ICICI Secur ities. Thank you, and
over to you.
Navin Sahadeo: Thank you, Mark. Good evening, everyone. On behalf of ICICI Securities, I welcome you all to
the Q2 FY '26 earnings call of Shree Cement Limited. From the management, we have with us
Mr. Neeraj Akhoury, Managing Director; Mr. Ashok Bhandari, Senior Advisor; and Mr. Subhash Jajoo, the company's CFO.
So without any further ado, I hand over the call to the management for opening comments. Over
to you, sir.
Neeraj Akhoury: As you all know, last quarter, the government of India took a significant decision of reducing
the GST rate of cement from 28% to 18% along with various other commodities. We believe this was a very positive and a transformational step and augurs well for cement demand in the
long term.
The company has fully passed the benefit of GST rate rationalization to its customers. The
company continued with its value over volume strategy during the last quarter. The total cement
sales volume, including that of Shree Cement East Private Limited, were up by about 6.8% Y-
o-Y on cement basis. With cement and c linker combined, it wa s slightly lower.
Total sales volume increased from 7.6 million tons in September '24 to 7.9 million tons last
quarter. Realization per ton increased from INR4,451 per ton to INR4,840 mainly due to increase
in share of premium products from 15% last year to 21% in September '25 quarter. Total
EBITDA accordingly increased by 46% from INR582 crores to INR851 crores. EBITDA per ton, adjusted for INR30 per ton for one-time impact, also increased sharply by 43% from INR772
to INR1,105.
On a sequential basis, volumes were down by about 12%, mainly due to heavy rains in North
India in the monsoon season. Despite this, the company was able to maintain its realization. However, the total EBITDA at INR851 crores was down by about 31%. EBITDA per ton also
decreased by 20% from INR1,379 to INR1,105.

Very happy to say that the company's UAE operation registered its best ever quarterly
performance. Sales were up from 9.87 lakh tons to about 13.1 lakh tons, growth of about 34%. Sales revenue also registered growth of 50% Y-o-Y. And EBITDA increased by 158% from
AED20.34 million to AED52.53 million. The impr oved performance is a result of increased
realization and improved operational efficiency. The expansion of the unit is progressing well.
During last quarter, the company commissioned clinkerisation unit of 3.65 million tons at
Jaitaran, Rajasthan. The cement mill of 3 million to ns is also expected to be commissioned very
shortly. The work on integrated pr oject at Kodla, Karnataka of 3 million tons is in the final stage
of completion and expected to be commissioned in this quarter.
The company is continuously ex ploring various opportunities to grow slightly better than
industry growth. Recently, the company has also commissioned a 20-megawatt solar power plant
in Chitrakoot, UP, one of its subsidiaries. With this, the total green power capacity of the group
now

stands at 612 megawatts.
The company has been rapidly expanding its RMC portfolio with 24 operational RMC plants at
present. During the quarter, the company entere d East India market by setting up its RMC plant
in Raipur, Chhattisgarh.
The company also commissioned India's first RMC solar plant at the Jaipur facility. The unit
now runs primarily on green, clean renewable solar energy, reducing its carbon footprint and
setting up a new standard of eco-fri endly construction in India.
We are very proud to say that the share of green electricity in total electricity consumption stood
at 63% in H1 FY '26, which is the highest to my mind globally, but at least highest in the Indian cement industry.
All the company's manufacturing locations are also zero liquid discharge, treating, recycling and
reusing 100% of its waste generated from these operations. These efforts have enabled the
company to improve its water positivity index to more than 8x. With good monsoons this year,
the company expects to further improve its water positivity levels.
India's economy continues to demonstrate res ilience, underpinned by strong consumption and
sustained investment activity. High-frequency indicators point out to a pickup in real GDP
growth in the second half of this year, supported by above-normal monsoons.
Steady employment conditions, benign inflation and recent rationalisation of GST rates are
further expected to stimulate demand. These f actors are likely to accelerate infrastructure

development and growth of the housing sector, which bodes well for the cement demand.
With this, I have with me, Mr. Ashok Bhandari; Mr. Subhash Jajoo; Mr. K.K. Jain; and Mr. S.S. Khandelwal to take you through the Q&A session. Thank you very much, everybody.
Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: On cement realization, you mentioned it was INR4,840 per ton. Could this exclude other operating income, if I'm not wrong? And could you give a similar number for Q1 as well?
Ashok Bhandari: INR4,840 is excluding other operating income. The previous quarter, I had explained that because of our glitch in our SAP system, we co uld not come up with an NCR number. The NCR number this quarter onwards will always be disclosed to everybody, that glitch has been rectified. So we do not have a comparable Q1 number, but roughly there is a decline Q-on-Q, YoY increase you have already understood. Mr. Akhoury has already addressed it. And I will request Mr. Akhoury to address the second part of the question, that was on EBITDA volume.
Neeraj Akhoury: So I am just trying to understand your question. So what we have said that the realization per ton, this last quarter was INR4,840, which has increased from INR4,451 in same quarter last year.
Amit Murarka: Sure. And you also mentioned that you prioritize realization over volume. Given that we are in the midst of a significant expansion program, what would be then the outlook on the expanded capacity? Can we expect them to kind of have a slow and gradual ramp up? What would be the outlook on the vo lumes essentially?
Ashok Bhandari: Amit, please understand that there is no entry barriers which anyone can create in the cement market. It is your strategy of value over vo lume, which restricts you to your dispatches.
However, I can assure you, we will be growing either in line or slightly better than the industry.
Amit Murarka: Sure. And just lastly, on the one-offs, you mentioned that adjusted one-off, what exactly was the one-off?
Ashok Bhandari: I am giving it to Mr. Khandelwal, who's Company Secretary. He will explain you what it is.
S.S. Khandelwal: For our Guntur unit, we had taken power connection from Andhra Pradesh Transmission Company. And we had to create a substation at our capex, which as per the agreement entered into with them, was to be transferred by way of a gift deed back to the transmission company.
This transaction took place this quarter, and therefore this write-off.
Amit Murarka: Understood. Thanks a lot. I will come back in the queue.
Moderator: The next question is from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: Hi. Thank you for taking my question. Just to delve a little deeper into, is there any other one-off in other opex? I see there is a strong jump year-on-year on the other opex side. So any explanation on that would be great. Thank you.
Ashok Bhandari: I'm giving line to Mr. K.K. Ja in, he will explain you about it.
K.K. Jain: As of now there's no other one-off in the result . The expense in the current quarter is slightly higher because of the repair maintenance cost and other spares cost. Otherwise, there is no one-off in this.

Rahul Gupta: Great. My second question is for Mr. Akhoury. Now that we are getting out of monsoon. How should one expect demand from here on over the next couple of quarters? And are we seeing any green shoots from GST cut with respect to retail as rural demand picking up?
Neeraj Akhoury: So a little too early to project demand at this moment. As you know, we're just coming out of festival seasons. As we speak actually today is Chhath and Happy Chhath, everybody. But this Chhath also means that there will be significant labour shortage across construction sites in most of our markets. Let us see how demand pans out.
We expect that GST cut would boost demand in the long term. We have to wait and watch of this impact in the short to medium term. But clearly, GST cut was a transformational step. And this augurs well with the cem ent industry demand projections.
Ashok Bhandari: I would like to add, Mr. Gupta. The effect of GST payable on finished houses, it hurts the low and middle income houses more. So the vibrancy in low and middle income house sales as well as Tier 1 and Tier 2 cities, is expected to be far better than what it had been.
Rahul Gupta: No, understood, sir. So my question pertains mainly from the perspective of how should we see the balance between demand and cement pricing over the next few months? So that's what I was looking for.
Neeraj Akhoury: I mean I fully understand your question. As I said, we have to wait and watch to see how the demand pans out. A little too early to say. Given the fact that there has been a GST cut, one

would argue that the demand boost should happen. But it may take some more time before actual lease is converted into purchase. And that's where I'm saying in long term, it is good for the
industry. It is good for everyone that there has been GST cut. We have to wait and watch for immediately what will happen or in the short term, what will happen.
Prices, as I speak for Shree Cement, we have passed on the entire benefit to the consumers of the GST reduction. And if you see our results, I think one thing you will notice is that our prices have shown about 9-odd percent growth from last year. I think prices have been stable for us from this year last quarter to the last quarter, quarter 1 to quarter 2.
Going forward, it is not for me to forecast prices, it will be wrong. But what I do see that if the demand grows a little better than what we have seen in the first six months, then prices should at least remain stable, If nothing else
Rahul Gupta: Thank you.
Moderator: Thank you. The next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Just wanted to ask on overall volume and the capacity. You're looking at especially in North now that you have new volumes from the new line. Just wanted to see how are you going to look at this volume versus value growth for the last few quarters, the focus has been on premiumization. Should we expect similar focus in ne

w capacity that you have? That first

And maybe tied to this would be the second question, that other players are also looking aggressively at North in general. Typically, if I look at your capacity, it seems incrementally we're also looking at North but also expanding out of North. In North is typically 50% of overall
capacity.
As you look beyond the expansion in the release, you mentioned 80 million tons. How would you look at expansions across region where new capacity is coming in north? Would you look to maintain share and add more capacities North? Or just the thought process on incremental
capacity beyond what you have in plan.
Neeraj Akhoury: So to answer the first part, as I said in my opening remarks that on premium cement, we grew from about 15% to about 21% this year. This has been possible with a very high focus on increasing our share in the premium product segment. Not only that, we have also worked on
our general price levels and to make sure that we are able to squeeze our brand equity in a better way. That has been the strategy, which we have often defined as value over volume. And this strategy is something that we would like to pursue in the coming years as well.
On capacity, we have just commissioned, as I said, a new kiln in our North plant. And this quarter itself very soon, you will see us also announcing the cement expansion in the same cement mill commissioning at the same location, which should happen very shortly. North remains our focus and north is something that will remain our one of the areas where we will
continue to evaluate all possible methods to grow in the coming years as well.
Having said that, we are growing in other regions , be it East, be it South, and that will be on.
But our focus on North will never go down is what I would assure everybody.
Ashok Bhandari: I have two more things to add. One is that if you look at the stand-alone and consolidated results, the EPS differential, which was always around INR6, INR7 has gone up to INR33 in favour of consolidated, which clearly points out that our UAE operations are doing far better. Mr. Akhoury had already pointed this out in his opening stat ement. And we are expanding our capacity there
as there has been very healthy price rise in UAE market.
Also, you will note that we gene rally have been very conservati ve in our dividend payout. But this year, we have given highest interim payout in dividend of INR80. And we expect to have an incremental dividend payout, but there are various factors affecting this. Everybody had
questioned us on the rationale of carrying such cash large reserves. And some Chief Investment Officer had asked for higher dividend payout, and we have acceded to that.
Satyadeep Jain: Just one clarification question on both dividend and depreciation, sir. Generally, depreciation has been very volatile.
Ashok Bhandari: This year we will be depreciating about INR2 ,800 crores or so, wh ich is based on the capitalization schedule. We have already charged about INR1,100 crores in two quarters, so the depreciation for the next two quarters will be a bout INR1,700 crores. And that's alright, because
as everybody is expecting, so we are. The prices should remain stable and the demand should return, so there will be no hassle in availability of distributable profit in any case for the year.

Satyadeep Jain: Okay.
Ashok Bhandari: Excuse me. Once again, I stand corrected. The depr eciation for the year will be INR2,450 crores, not INR2,800 crores.
Moderator: The next question is from the line of Pinakin from HSBC.
Pinakin: Sir, for my first question is that among the three core markets of north, south and east, how is pricing today on the ground versus the second quarter average? Is it lower or is it flat?
Neeraj Akhoury: You're talking about the last quarter?
Pinak

in: No, sir. Today's prices versus the second quarter, the September quarter that went by.
Neeraj Akhoury: No. So, as I said that, the prices have been reduced, but that is largely because, we have passed on the GST to the consumers. To that from 28% to 18%. So the prices are lower than what it were in the peak 22nd September time.
Pinakin: So the net realization to the company would broadly be unchanged today versus what you have seen in the second quarter?
Neeraj Akhoury: No. I would say it will be slightly lower because of all these festivals and all the demand has not been very robust in October. And therefore, we see some slippage of prices happening across India, not only in regions.
Pinakin: Got it. Sir, my second question is that, again, if you were to look at your three core markets and over the next two quarters, do you see any one region demand outlook to be materially better than the other between north, south and east?
Neeraj Akhoury: As we talk about demand forecast, I always keep quiet, because we have to be cautious in this statement. As we speak, we have seen demand gr owth almost similar across the country, except some states, which has been lower and some states have been higher not to compare region wise, state wise one can do some comparisons. Going forward also, I think this trend should continue. I would expect north and west to be slightly better than rest of the country.
Pinakin: Okay, sir. And sir, my last question is, again, if you look at your competitor capacity and expansion announcement, particularly in northern India, which is very large, and you highlighted that north is a core market for Shree, should we expect Shree to defend its capacity share and hence, now at some point of time announced capacity expansion to maintain its current share?
Ashok Bhandari: Well, this is a trick question, isn't it? This is a trick question. We have said that we will be growing marginally better than the industry. Now, which region, what region, what kind of growth, how do you all forecast this? We have to be prepared. We are having sufficient physical resources to set up capacity in most of the areas where we operate and we will take a call as the demand scenario becomes clearer.
Pinakin: Understood.

Moderator: The next question comes from the line of Kunal Shah from DAM Capital.
Kunal Shah: Now, since the time you have undertaken the measures to improve the brand positioning and the premium sales, on a portfolio level, how much would have the base realization improved on a per ton basis? And what would be the milestone year along with any timelines, if you can help?
Neeraj Akhoury: Well, we look for the numbers, as the milestone remains that we have already reached about 20%, 21% of premium sales. This is a level at which we would like to maintain in the coming quarters as well. If there are some improvements, that would be welcome. But milestone was to reach about 18%. We have alr eady reached 21%, up from 15%. An d we will be focusing a lot that we are able to maintain th is same level of premium share of our trade volumes in the coming quarters as well.
Ashok Bhandari: Kunal, Bhandari here.
Kunal Shah: Yes, sir.
Ashok Bhandari: Can you repeat the second part of the question?
Kunal Shah: So one was the premium which is very clearly visible. But also there have been steps to improve the brand positioning as well, the base brand positioning. So all I'm trying to understand is since the time we have taken these measures, how much would the base realization moved up, let’s say, keeping other things aside, I mean, status quo, how much would have the base realization improved?
Ashok Bhandari: Kunal, that is the point I'm trying to make. Mr. Akhoury in his opening statement, has said, we have improved 9% year-on-year. It is unfortunate that I could not give you an NCR number for Q1. But H1 vis-à-vis last ye

ar H1, 9% incremen tal price is there, which is a mix of various things. And it is, you see, please understand, my dear friend, that if we are saying that we will focus and we have reached 21% of premium sales, then the price trajectory should be upwards or stable. Further demand and pricing in commodity, it is very difficult for any company to

address. Isn't it?
Kunal Shah: Understood. No. That helps. And secondly, sir, on the cost savings especially on the logistics front. Now where exactly are we in the journey? And because we were planning aggressively increase the rail share. So could you just reiterate our positioning here.
Neeraj Akhoury: So, just to reiterate on our last question once more, before I come to your second question, this question. So, as I said, we have increased by 9.8%. I believe some of the players who have announced the realization Y-o-Y, if you see the gap of our performance versus you can get a sense of how much we have improved. That is part number one.
On the rail, very focused work is going on. We have, as you know, already commissioned our Purulia railway siding in our Purulia unit. We are doing siding in Kodla for which the project work, land acquisition has been done and now the construction process has started. Similarly, for Etah, we have completed the land acquisition and project work has started. So, a lot of focus

has been there to improve our rail connectivity across India and you will see that very soon some of them will be commissioned.
Kunal Shah: Sir, this is very helpful. Sir, just to extend it, like in FY '25, what would be the rail mix exactly? What are we going towards? And what would be the savings, if that would be very helpful?
Neeraj Akhoury: So presently, it at about 11%, of rail share in our total outbound logistics here. And we think we should reach about 20% in the coming time. If I see a savings, typically on the PTPK railway, rail is about INR 1.8-1.9 versus road at about INR 2.3-2.5, if I look at the industry across,
especially in the North region. So one would expect that at least INR100 per ton savings should come from our increased focus on railway operations.
Kunal Shah: Got it. And sir, if I could just squeeze in one mo re. I think there was a lot of efforts towards the AFR share as well. So INR100 on the logistics front. And anything on the AFR front because I believe that share is also on the lower side. I mean there's a lot of scope over there?
Neeraj Akhoury: Yes. A lot of project work is happening across on the AFR side as well. We are now at about 2.3% up from 1.5% same quarter last year yes. And more and more facilities are getting created as they roll out in the coming years, you will see also go up on our AFR consumption.
Kunal Shah: Got it. And sir, if I can just squeeze one more. Just some capital allocation perspective, what should be the capex number for FY '26, '27 and '28?
Ashok Bhandari: FY 26-27 roughly, you estimate INR3,000 crores and for FY '27-'28 we have a broad capex in mind, but it should be in line with this much only. It was spill slightly to FY '28-'29 because we are rethinking our commissioning strategy. But I can assure you that we will maintain our spirit of growing marginally higher than the industry growth.
Kunal Shah: Yes. Just to clarify, sir, 80 million ton could get spilled over to 29 you mean?
Ashok Bhandari: I cannot, please understand. It's not that we are devoid of any physical resource. It is basically how the capacity utilization of the company gets ramped up an d how the demand gets ramped up. So it is dependent on that. We have taken a stance that if needed 80 can shift from FY 28 to FY 29, but then as the time passes, we'll keep on updating you.
Kunal Shah: Understood. This is extremely helpful, sir. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat

Capital. Please go ahead.
Shravan Shah: Sir, just to check. So now currently, we have a 62.8 million ton and 6 mill ion ton, both Jaitaran and Kodla will be added in this quarter. So we will be 68.8 and from there by FY '27 and '28, will there be any capacity addition because 3 million ton Jaitaran was postponed now?
Ashok Bhandari: Wait a minute, you're asking too many questions. Let us address one at a time. 68.8 for March '26 is given. We have given you our capex guidance of about INR3,000 crores. So we should be about 72 million to 75 million, March '27. I have already told you that let us see how the demand and how capacity utilization moves to see whether we need to become 80 by FY 28 or 29. You

have seen our balance sheet. You understand we ha ve all physical and financial resources to do this capex. But the market condition are to be recognized for planning exact dates.
Shravan Shah: Got it, sir. And then this 2028 or 2029 when we say, is this a calendar year or FY '28 or FY '29?
Ashok Bhandari: We are not talking calendar year at all. We talk FY only.
Shravan Shah: Got it. Sir, I need a couple of da ta points. So even last quarter, we did not have a call. So if you can share the data points for Q1 and Q2. So starting with first is trade sir?
Ashok Bhandari: One second, let Mr. Subhash Jajoo take you through all the numbers because he is the CFO of

the company. You can ask all your questio ns and point your questions to him.
Shravan Shah: Yes. Sir, trade share, blende d cement share, for Q1 and Q2?
Subhash Jajoo: Yes. So for trade sale, it was 70% in September '25. And in June, it was around 71%. Blended cement sales was 68% in September and 70% in June.
Shravan Shah: And a lead distance in Q2 and Q1?
Subhash Jajoo: In Q2, it is 441 kilometers and Q1, it was 451 kilometers.
Shravan Shah: Okay. Got it. And Kcal for Q2 and Q1?
Subhash Jajoo: For Q2, it is 1.66 and Q1, it is 1.59.
Shravan Shah: Okay. Sir, it has recently gone up even from March level. So given the current petcoke prices and the coal prices, do we see any further increase in the Kcal costs?
Subhash Jajoo: No, as per our inventory pipeline, I think it should be around similar levels, maybe slightly lower than this.
Shravan Shah: Okay. And in terms of the fuel mix, broadly, the petcoke and coal would be a 90%-odd, 95% odd?
Subhash Jajoo: No. This quarter it is like around 66% it is petcoke and balance is coal and alternate material.
Shravan Shah: Okay. Got it.
Moderator: The next question is from the line of Raashi from Citi. Please go ahead.
Raashi: Thank you. My first question is, Mr. Akhoury you made a comment saying that in addition to premiumization, you're also focusing on pricing to be able to extract the best value of your brand. Could you just elaborate on that, please?
Ashok Bhandari: Well, look, Raashi, let us understand. Only 21% is premium. In our sales rates, Mr. Akhoury has clearly said only 21%. But if you look at the incremental price rises, it must be incremental plus general category also. You get my point? So overall, there is a price buoyancy. Now how it will

pan out is completely dependent on market conditions. But the delta between peer groups, we are certainly trying to converge on the top line or rather price.
Raashi: Right. So how are you trying to do that?
Ashok Bhandari: Mr. Akhoury will answer that, please.
Neeraj Akhoury: So in a sense, as you know in the industry market for same kind of product, there is a price ladder, which is not less INR15 to INR20 or even higher. And this is what we call the price gap between Brand A and Brand B. Through our pricin g actions as well as distribution actions, we are trying to reduce this gap. That is one effort that has worked for us in the last 6 months and that is where we said that we will focus on value over volu

me.
In addition to that, we have al so focused on premium products, which are higher priced than the base product. And their positioning in the market is on the higher side. And so these two combined for base brands as well as for premium there has been a focus of reducing the gap with some of the peer group companies.
And that has helped us to record a 9% price growth last quarter versus whatever figures the others have, if you could look at it. But I think Shree's performance on price growth will be slightly better than wh at the industry has seen.
Raashi: That's helpful. Then on the volume side, for the first half, now your volumes are around about 2% on a year-on-year basis, total volume, cement plus clinker. So what is your projection for the year?
Ashok Bhandari: We should do about 37 million to 38 million tons this year.
Raashi: And on the power side, so Green Power, I would imagine that in this quarter, our green power proportion has gone down to about 60%-odd or so? I mean for the first half?
Neeraj Akhoury: 60%. Yes.
Raashi: What is for the quarter?
Ashok Bhandari: Raashi, you are forgetting. Renewables also consists of solar, and this was monsoon period.
Raashi: Okay. So that 60% is a correct number, right?
Ashok Bhandari: Yes, 60% for the quarter is correct.
Moderator: The next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar: Yes, sir, my first question is on your UAE plans. Can you elaborate on the expansion plan there and overall outlook, as you said, is very positive?
Neeraj Akhoury: So, UAE demand has been quite robust-quite healthy in the last 1 year, if not a little more than that, our assets in UAE are very well positioned to serve all parts of the country, including the

main consumer centres of Dubai and Ras Al Khaimah. Our numbers have shown that we are doing very well. And hence, we have decided to put a new mill there of 3 million ton capacity. We have extra clinkers, so had sold clinker earlier. We now believe since the cement demand is very robust. We can convert that clinker into cement and sell it in the domestic market. In addition, in UAE, we also produced some special products like oil well cement and oil well cement from our facilities goes across the world, not only in Middle East, but also in some others of Europe and some markets of U.S., North America.

We are also doing debottlenecking of our kiln that will give us about 0.5 million tons of additional income. So overall, we are very positive on UAE market and as well as the Middle East market, where we sell not only the base product, but also the special products like slag and oil well cement. And hence, this capacity expansion program has been announced.

Prateek Kumar: What is the full quantum of capex if you're looking at is probably part of consolidated operations and not standalone capex?

Neeraj Akhoury: AED 110 million approximately of capex in UAE.

Ashok Bhandari: By the way, I must point out that it is fully funded by cash available at UAE.

Neeraj Akhoury: Yes. It is fully funded by cash available at UAE.

Prateek Kumar: Other question on like this past EBITDA per ton of 1100 then like very minimal visibility on price improvement in third quarter. How are we looking at like our EBITDA potential of 1,300 to 1,400 with like sort of earlier?

Ashok Bhandari: Prateek, this question you ask me every quarter and every quarter, I only suggest that it is impossible for the hands of any commodity supplier or manufacturer to predict the price. Price is not in our control my dear fr iend, market forces decide low pr ice. So when will my EBITDA go up at 1,300 or 1,400 or not in a position to achieve that Prateek, please appreciate that. Any incremental price rise is a straight flow to my bottom line. Now how much incremental price rise will come when it will come, how much volume will come? These are affected b

y various macro factors. You are looking at INR1,300 why not INR1,800? Let us understand a little bit realistic.

We have said we have done 1,100. Mr. Akhoury has clearly said that he does not expect some demand vibrancy. He expects stable pricing scenario. So worst we will do 1100, at best we can do 1200, I don't know that. I'm not saying everything. Maybe we can do 1,300 as well. But you will have to have patience my dear friend. People have been claiming all kind of EBITDA numbers never delivered. We don't promise anything. We deliver and then we say.

Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain: Just a couple of questions. First, on the dividend. We appreciate the thought process that there is spare cash and some of it can be given dividend. But still, if you look at dividend yield is still even after interim dividend looks like 0.4% odd.

Ashok Bhandari: Yes, go ahead. Go ahead, please.

Satyadeep Jain: What is the need for having such a lot of dry powder still on the balance sheet, given the capex and all you're looking at for the next 2-3 years, why not look at onetime dividend, special just the thought process on keeping so much spare cash on the balance sheet?

Ashok Bhandari: My dear friend, on our strategy of keeping spare cash, please talk within your firm with Nitin Bhasin. We have explained to him many times why this cash is needed. And the other point that why not one time or this is a heart-wrenching story. We are increasing it and we will keep increasing it. But why can't we give it in one time. We'll address it.

Satyadeep Jain: Second would be on the growth that you're outlining, you're talking about growing in line with the industry. And that I'm guessing or maybe slight ly higher than industry that maybe looks at volume growth and also capacity utilization. Is there any capacity utilization number that you typically look at?

Ashok Bhandari: Is there any demand number you can tell me? Can you tell me what is your expectation of demand growth? And what is the basis of that expectation? So, we will also get that kind of growth. It can also get marginally better. You are asking me a question. Please understand, sir, that no one can give you an answer.

I don't know how much cement I will sell tomorrow . I don't know what price I will sell tomorrow. We will not look shy upon peer group comparison. We will be doing either equal or better. We have done better till now. Ho pefully, God will maintain it.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So just in some data questions actually. So what would have been the other operating income in the quarter, if you can share that?

Subhash Jajoo: Yes. Amit, you can send us a mail, and then we'll reply on that because right now, that data is not available.

Amit Murarka: Sure, sure. And also you mentioned cement growth of 6.8%, but what should be with clinker, if you can get the total volume basically for the quarter?

Subhash Jajoo: Yes. I think you missed the first part of the opening remarks where we have given the volume, it is 7.9%. So the total growth will be around 4.6%-4.7%.
Neeraj Akhoury: 5% is cement and clinker both, 6.8% for cement only.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Hi, sir. Good evening. My first question, you mentioned on the premiumization benefit which you have approved, which I can read in the numbers, given that Q2 you have delivered around 9% NSR growth, while most of the other companies have delivered 5% to 7%. I believe for H1 also you mentioned 9% was realization growth?

Neeraj Akhoury: Ask the question again, please?
Rajesh Ravi: You mentioned the cemented realization that your like-to-like cement realization growt

h is 9%
for Q2, right, year-on-year?
Neeraj Akhoury: It's INR4,854 over INR4,409.
Rajesh Ravi: Which comes to around 8.7% or 9%.
Neeraj Akhoury: 9%. Yes.
Rajesh Ravi: So for H1 also, the growth is similar around 9%?
Neeraj Akhoury: For H1, also, yes, it's similar at about 9%. Yes.
Rajesh Ravi: Okay. Around 9% also.
Neeraj Akhoury: 9%. Yes.
Rajesh Ravi: Okay. So if I work backwards cement realization on a Q-on-Q basis would have come down by around 1%, 1.5%.
Neeraj Akhoury: It is flat.
Rajesh Ravi: It is flat. Okay. It is flattish. So on the UAE busi ness, you gave the volume numbers for Q2. Could you share the Q1 number also and the Y-o-Y number for UAE this year, Q1 and last year. And also now that UAE is also delivering performance in line with the domestic operations 20%-plus margins can we look at the company at a consol level rather than looking the two units separately?
Ashok Bhandari: Indeed, you should. That is what the idea is. That is why I pointed to Cash EPS number. So now onwards maybe a consolidated result for valuation may be more authentic. And more useful than doing standalone.
Rajesh Ravi: So Q1, what was the volume number?
Ashok Bhandari: You take the numbers from Mr. Akhoury, he is prepared with the actual volume numbers.
Neeraj Akhoury: So last year same quarter UAE was at 9.87 lakh tons and this year it has been 13.19 lakh tons.
Rajesh Ravi: That is Q2, right?
Neeraj Akhoury: That is Q2, So June '25 was 10.09 lakh tons. September '24 was 9.87 lakh tons and September '25 was 13.19 lakh tons.
Rajesh Ravi: Okay. And June ‘24 also, would you have handy?
Neeraj Akhoury: No. That I do not have. I am so sorry.

Ashok Bhandari: You can send an email, we will reply.
Rajesh Ravi: Sure, sure. We will get in there. Great. Yes. That is all from my end, sir.
Moderator: The next question is from the line of Sumangal from Kotak Securities.
Sumangal: Yes. Good evening. Sir, first question on the volumes. If you look at 1H, there is a decline of 2%-odd. Just want to understand either industry-wide or in our core markets, what would have been the market industry growth? And just trying to understand what is the market share loss which we have seen?
Neeraj Akhoury: So, I would not have the H1 number for industry. But Q2, the best estimates coming is around 3% to 5% cement demand growth. Versus that 3% to 5%, we have done slightly better at 6.8% on cement sales. The first quarter was when we we re very firmly trying to establish our value positioning in the market. And therefore, you saw lower than expected growth. But last quarter, I believe, and the best information that I have of market growth versus 3.5% of industry growth, we are slightly ahead on our performance.
Ashok Bhandari: Let me just also make one point very clear to you on our value proposition. Consol numbers of INR914 have been reported vis-à-vis our standa lone number of INR1,105. If you compare it with standalone, it is INR966 to INR1105. So, the delta which was there in Q1 of INR137 at turn in EBITDA has been slightly bettered
Sumangal: Understood. So, sir, should we understand it this way that if you look at even FY ‘25, our volume of flattish 1Q also, we would ha ve, I mean, it appears that we wo uld have lost market share and

from 2Q now we are maintaining and gaining. So now, since our value proposition is now established and even for future when a lot of capacities are coming up and you guided that we
will be maintaining share and even gaining to some extent, now there is a subtle change in
strategy. Is this the right way to kind of look at it?
Ashok Bhandari: No. Wait a minute. We have not said that we will not remain focused on value. We expect
additional demand to come in because of all the fiscal measures announced by the Government
of India and that should keep us in line or better than the industry depending on the geographical re

ach, number one.
Number two, you also please appreciate that the value over volume proposition, you do a very
simple calculation. You do the capacity utilization of all cement plants and plot EBITDA per
ton of all cement plants. You will see an In verse correlation. Have a look at that.
Sumangal: Okay.
Neeraj Akhoury: So, just to reinforce that there is no change in the strategy, this is what we would like to keep
reinforcing, yes. So, it is value over volume. Having said that and you have seen that in the results when we say 9%
realization growth over last year and then you should compare it with
the industry numbers and I am sure you will find that we have not done badly.

At the same time, while delivering 9% realization growth, we have also delivered 6.8% volume
growth. It only means that the strategy has started working. How does the future pan out is difficult to say at this point of time and that is how I would say.
Sumangal: Clear. Very clear. Sir, RMC business, looks like there is a lot of focus here. If you can just share
what is the outlook and next three years, four y ears, what sort of targets are we looking at in
terms of number of plants, maybe revenue contribution, etcetera?
Neeraj Akhoury: So, RMC is a new business for us. We have just started a year back. Yes. Already about 24
plants are operational. I think this is one of the fastest ramp up of RMC business in this industry.
We had an initial goal of going up to 40 plants by FY ‘28 and that continues even today. We are
trying to put up more plants. I am so sorry, not FY 28, FY 26. Yes. Having said that, it is also a time for us to better understand the profit levers, the revenue levers for this business and make
it more prepared so that we can have a playbook of RMC business and we can thereafter keep
putting new plants at a better performance level. That is how I would see it.
Sumangal: Understood.
Moderator: Ladies and gentlemen, we will take that as a last question for the day. I now hand over the
conference over to the management for the closing comments.
Neeraj Akhoury: Thank you, everybody. Thank you for participating and thank you for supporting Shree. As I
said, we will continue to remain focused on deli vering a better performance. Our strategy is
working and we hope we should continue to give you better than industry performance, at least on EBITDA in the coming years as well. This is our focus and this is how we would like to
perform. Thank you very much again, everybody. Happy Diwali.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining
us. You may now disconnect your lines.

Call: Feb 2026

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SCL/SE/2025-26/
12th February, 2026

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Debt Segment NCD ISIN: INE070A07061 BSE Limited
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SCRIP CODE 500387
Debt Segment NCD ISIN: INE070A07061

Sub: - Transcript of the Conference call Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listi ng Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the Conference Call held on 6
th February, 2026 relating to the
Financial Results of the Comp any for Quarter ended on 31st December, 2025 is attached.
Kindly take the same on record. Thank you,

Yours faithfully, For SHREE CEMENT LIMITED

(S.S. KHANDELWAL) COMPANY SECRETARY

"Shree Cement Limited
Q3 FY26 Earnings Conference Call"
February 06, 2026

MANAGEMENT : M R. ASHOK BHANDARI – SENIOR ADVISOR – SHREE
CEMENT LIMITED
MR. SUBHASH JAJOO – CHIEF FINANCE OFFICER –
SHREE CEMENT LIMITED
MR. S S KHANDELWAL – COMPANY SECRETARY –
SHREE CEMENT LIMITED
MR. K.K. JAIN – HEAD OF FINANCE & ACCOUNTS –
SHREE CEMENT LIMITED

MODERATOR : M R. NAVIN SAHADEO – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Shree Cement Limited Q3 FY '26 Earnings Call hosted by ICICI Securities Limited. As a remi nder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone ph one. Please note that this conference is being recorded.
I now hand the conference over to Mr. Navin Sahadeo from ICICI Securities. Thank you, and over to you, Mr. Navin.
Navin Sahadeo: Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q3 FY '26 Earnings call of Shree Cement Limited. Today, we have with us Mr. Ashok Bhandari, Senior Advisor of Shree Cement; Mr.

Subhash Jajoo, CFO; Mr. S S Khandelwal, Company Secretary;
and Mr. K. K. Jain, who is Head of Finance and Accounts. So without any further ado, I hand over the call to the management for their opening comments. Over to you, sir.

Ashok Bhandari: Good evening everybody. This is Ashok Bhandari. As per my past practice, I shall not be making an opening statement as all the numbers are with you in the form of results. We may start the Q&A to use the time more efficiently. Thank you.

Moderator: Thank you very much. We will now begin the quest ion and answer session. The first question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead, sir.

Rahul Gupta: Thank you for taking my question. A couple of questions. First, given you are prioritizing absolute earnings, your volumes have lagged the overall industry to some extent. Now in fact, your operating rates would be more like mid-50 utilizations. Now how should we think about your capacity expansion pl ans and target of 80 million tons from the next 2 years' perspective?

How should we look at your volumes from the next 2 years' perspective? That's my first question.

Ashok Bhandari: Mr. Gupta, thank you for your question. Now please understand that since October '24, I had been maintaining that we will be concentrating on value over volumes. That was with a purpose.

The purpose was very simple. We had a large divergence between our sales price and sales price of competitors like UltraTech. If you will notice by restraining our volu mes, we have narrowed the gap from about INR30 a bag to about INR15 a bag.

Now naturally, if you want to maintain discipline on pricing and narrow down the gap, you had to take the pain of sacrificing volumes. That is what we did. And I'm very happy to report that the December growth, though aided by additional demand over November, volume-wise

November we sold about 2.7 m illion tons and December we sold about 3.3 million tons, and January is more or less in line with December '25.

We expect the same momentum to continue with a much higher realization and it should automatically improve our capacity utilization. On the other hand, the capacity utilization will further be augmented by concentrating more and more on RMC plants, which shall give me a better geographical reach, a more logistical co st optimization and increase the volumes as well.

Now coming to your second question of our declar ed capacity of 80 MT by FY'29. FY'29 is still far off. We are still sitting in FY'26. We shall get back to you in due course.

Rahul Gupta: Got it. So two follow-ups, sir. One, given you have narrowed the gap from INR30 to INR15, is it fair to say that you would continue to focus on reducing this further? And my second question is what would be the absolute revenues of the RMC business and how much cement your RMC would be using internally?

Ashok Bhandari: My dear friend, your first question is infructuous. You are saying that will you keep on reducing the gap? It is obvious

. I'll keep on increasing my profits. So that is one part. The increase in profit mainly in cement is because of top line. The cost is more or less the same for the industry, except in a few factors.

Point number two, as on date, we have 19 commercial RMC plants. We intend to take it to 45 within next 6 to 8 months, means you can easily assume that by September'26, the number of plants will increase to 45 from 19. We started RMC about 2 years back. And in 3-3.5 years, we will be achieving 45 plants.

Whereas leading players in RMC like UltraTech has over the last 25 years setup to reach its current scale. So we are on track. It is very difficult for me because much depends on how the demand scenario emerges. But cer tainly, all my RMC plants will be using my cement and it will aid the cement quantity and capacity utilization.

Rahul Gupta: Just what would be the revenues from RMC as of now?

Ashok Bhandari: One second, I'll ask Mr. K.K. Jain to give the answer.

KK Jain: It is INR 71 crores for the quarter.

Ashok Bhandari: For the quarter, we did INR71 crores, my friend on 19 plants.

Rahul Gupta: Got it. And how much captive consumption of cement is going into RMC?

KK Jain: So 45% is the captive consumption for RMC plant for the quarter.

Rahul Gupta: Got it. Thank you. Wish you all the best.

Moderator: Thank you. The next question is from the line of Pinakin from HSBC. Please go ahead.

Pinakin: Yes. Thank you very much. Sir, in the September quarter the sales volume was 7.9 million tons. What would be the comparable sales volume in the December quarter?

KK Jain: 8.7 million tons.

Pinakin: That would imply a roughly 7% decline in blended realization, which seems to be higher than what the peers have reported. What would be driving this decline in realization sir?

Ashok Bhandari: No. You have to do your math correctly. Please understand that my per ton realization has gone up. The blended realization, I don't know how you are calculating. If you want we will give you a detailed calculation sheet. Mr. Jajoo, CFO of the company will send you a mail or you can send him a mail asking precise question. I think you are mistaken somewhere.

Pinakin: Got it. So we were just basically dividing net revenues?
Ashok Bhandari: So that is the point. You have to be slightly careful my friend. You write a mail to Mr. Jajoo and Mr. Jajoo will give you the reply.
Pinakin: So sir, what would be the comparable Q-on-Q change in pricing for the company?
Ashok Bhandari: December '25, realization was INR 4,652. December '24 is INR 4,554. I don't have the September '25 numbers.
Pinakin: Got it. Sir, any colour on the capex for next year at this point of time? How much will the company be spending?
Ashok Bhandari: As I said, we will be adding about 26 to 30 RMC plants. And the capex exp ected is about INR500 crores in FY '26.
Pinakin: Sure. And sir, my last question that it looks on a per ton basis, there is a decline in power and fuel costs?
Ashok Bhandari: Obviously, there are two reasons. One is that per kilocalorie cost is lowest in the industry sitting at 1.56. And my renewable energy has kept on increasing and it has reached almost 61%.
Pinakin: Okay. So this trend should continue, right?
Ashok Bhandari: This trend, why it should not improve, my friend? You see, as far as the per kilocalorie cost is concerned, you have to understand that it is the function of international coal prices or pet coke prices. I cannot take a call there. What I can say is over the 40-year existence of this company
we have always been the lowest price procurer of fuel. And that is why my fuel cost is lower.
My renewable energy portfolio has kept on increasing. We are having the highest renewable portfolio today, and we have reached almost 61%, and we are trying to add 2% or 3% more. As far as Kodla, the new unit, which is due to be commissioned by March, I'll be h

aving a Waste
Heat Recovery System there, which will add up to my renewable or alternative energy. So the energy cost should logically come down if the coal and pet coke prices do not go up.
Pinakin: Got it. That's very clear. Thank you very much, sir.
Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Hi, sir. Good evening. Sir, just a few housekeeping questions. What were the trade and blended cement share in this quarter and lead distance?
Ashok Bhandari: I will give the line to Mr. Subhash Jajoo, he will give you the answer.
Subhash Jajoo: The lead distance for the quarter is 446 kilometer and the trade sale is 65%. What else you want?
Rajesh Ravi: Blended cement?

Subhash Jajoo: Blended is also 65%.
Rajesh Ravi: Okay. And if I look at your fuel costs sequentially, this has come down by around INR0.10. So there is a INR50 per ton saving and your green power mix remains similar. So how is the power cost per ton at a company level? Power cost per unit. Average power blended?
Ashok Bhandari: Means bought out and renewable and waste heat recovery and everything?
Rajesh Ravi: Yes, yes.
Ashok Bhandari: I may not be having that data immediately. I will send you.
Subhash Jajoo: We will get back to you, Rajesh, on this.
Rajesh Ravi: Sure, sir. Yes, certainly. And the realization for the quarter you mentioned was 4,625, right? Grey cement?
Ashok Bhandari: 4,652. Yes.
Rajesh Ravi: 4,652. So which is almost 3% - 4% decline quarter-on-quarter?
Ashok Bhandari: That is what I'm trying to figure out. The earlier, somebody had asked a similar question.
Rajesh Ravi: No, on a blended basis, because you don't disclose the power revenues, that is why the blended number.
Ashok Bhandari: Ravi, listen to me for 2 minutes. What I'm saying is that you write a mail to us. We will reconcile the numbers and get back to you.
Rajesh Ravi: Understood. And just wanted to understand, you mentioned that you'll be focused more on bridging the gap and getting a better price realizat ion. So at least on the volume, what sort of growth one should build in for this year because earlier we were looking at 37 million to 38 million tons for this year, which seems there coul d be a slip of 1 million to 2 million ton on the volumes?

Ashok Bhandari: So I explained. I already explained what was the rationale.
Rajesh Ravi: Right, understood.
Ashok Bhandari: Mr. Ravi, please here me out fully. Number one, the demand in October and November was low that you know, which I had no control. December, the demand picked up, we have picked up more. January, the trend is similar to December. We don't find any let up in February and March because the central government budget has to be spent by 31st March, so I don't think there will be any let up in volumes.
I can easily and with a great deal of confidence, sa y that within this quarter, we will do 9 million to 9.5 million tons. In total, yes, I will not be growing at 7% to 8%. But then that was a function of low demand, what to do. But going forward, I'm confident that we should do.

You see today, the RBI governor has pointed out to a 7.4% GDP growth rate for FY '26-'27 in his MPC. And I have been maintaining that cement generally grows at 1x to 1.1x national GDP. So next year, I expect the demand to be around 7.5% to 8%.
Rajesh Ravi: Great, sir. And lastly, if you could share the UA E performance, which you did in last quarter?
Ashok Bhandari: It is getting better by the day.
Rajesh Ravi: Okay. Possible to share the volume revenue and EBITDA number?
Ashok Bhandari: I don't have the UAE numbers with me at the moment. We'll share with you.
Rajesh Ravi: Great sir. That's all for now. I'll come back in queue. Thank you.
Moderator: Thank you. The next question is from the line of Indra

jit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi sir, thank you for the opportunity. Couple of questions.
Ashok Bhandari: I'm sorry I missed your name.
Indrajit Agarwal: Indrajit Agarwal from CLSA. Sir first, on pricing, can you indicate how the trends have been so far in January and heading into February.
Ashok Bhandari: As I said, the December pricing was much better, and the same trend is continuing. We don't see any let up in demand because of the central government compulsion of exhausting the budget within this quarter. So if demand is good, the pricing will remain good. As a matter of fact, as we have been focusing and we have been reducing the delta between our price and UltraTech price. I expect the same trend to maintain maybe at a slower pace because I'll be doing volumes now also.
Indrajit Agarwal: And sir, secondly, do you think that from now on, we will continue to grow ahead of industry or largely in line with industry at least?
Ashok Bhandari: Let us say, if I want to push volume, then I have to sacrifice price, isn't it? Both don't go hand in hand. So it is a calculated equilibrium game, which we have to play. And as the scenario emerges, we'll keep on updating you. As on date, I expect no let up in demand and no let up in pricing.
Indrajit Agarwal: Sure. Thank you, that's all from my side.
Moderator: Thank you. The next question is from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.
Jashandeep Chadha: Thank you so much sir for the opportunity. I won't trouble you much sir. Just a couple of quick questions. Firstly, sir, Shree Cement has been operating in multiple regions. I wanted to understand the basic understanding of how all these regions are performing? Not necessarily from Shree perspective, but from industry perspective?

Ashok Bhandari: Can we be at divergence with the industry region-w ise? So we will be in line with the industry only. Exactly how much Shree has sold in each region of its capacity, the number I'm asking Mr. K.K. Jain to share with you. That in this regi on, we say Shree's capacity is 100, then region-wise, how much we have sold in this quarter. And that should be roughly the line of operation of all pan-India cement companies. For regional companies, it's not comparable. So I'm asking Mr. Jain to give you the reply.
K.K. Jain: Yes. In North region, the sale is 53 lakh tons, East 23 lakh tons and South 11 lakh tons. And in percentage term, it is 61% in North, East 26% and South 13%.
Jashandeep Chadha: Thank you so much sir. This is very valuable information. But I was also looking from January and going ahead, which region you are seeing uptick coming in volume demand?
Ashok Bhandari: What is the date today my friend? It is 6th of February. Let the January numbers come to me.
Jashandeep Chadha: Okay, sir. Once they are out, I'll reach out. Sir, second question. I understand on per kilo calorific value, Shree Cement has been the lowest and will continue to be the lowest. But with pet coke

international prices going on, what kind of impact will be on the cost for fourth quarter? Any sense can give us?

Ashok Bhandari: Please understand that nothing stops me from changing from coal to petcoke or petcoke to coal. I have multi-fuel burners. This is a constant ex ercise which my purchase people do, that which mix gives them the best landed fuel cost. I am not at all concerned with international prices. I am concerned with landed cost of fuel because that is the actual cost to me. So, this is a constant exercise. As on date, we are at 1.56 per kilocalorie. It may remain same for January, but it may go up in February and March. In any case, I don't think it should increase to1.80, which is my peer group fuel cost.

Jashandeep Chadha: Understood, sir. And thank you for that. Just one last more of a clarification. If I can understand from your previous, an

swer to the previous question. You are expecting 7 to 8% Y-o-Y growth for the industry, and Shree Cement will largely be in line with the industry . Is my understanding right, sir?

Ashok Bhandari: Your understanding is correct, with a caveat that we had generally grown better than the industry. Last one year you leave, because that was with the strategy of narrowing the gap between the selling prices. But once we have achieved that, then probably we may grow better than the industry also. But let the time tell its own story.

Jashandeep Chadha: Sure, sir. Thank you so much and all the best for the future, sir. Thank you.

Ashok Bhandari: Thank you.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yes, thank you, sir. Sir, two questions. First, in the last con-call Q2, you highlighted that investors should look at the Shree Cement from th e consolidated perspective. But in last two

quarters, you have shared the UAE volume, and this time, this is not part of the press release. And also post the call, when we try to connect with the CFO, sir, Mr. Jajoo, he is not ready to share the numbers. So, how can one look at these things? This is first part.

Ashok Bhandari: One second. Now let me stop you here. One second. Do you mean to say that we have not published consolidated numbers?

Shravan Shah: No, volume, I'm saying the volume?

Ashok Bhandari: Wait a minute, no, one second. So, please go through the results. I don't think you have gone through the results. Please go through the results. Standalone is there, consolidated is there. And you very well know how to calculate UAE from the two numbers. So, what are we trying to say? You try to make simple things difficult at all the times whenever we receive your call.

Shravan Shah: Sorry, sir. When did I make it difficult?

Ashok Bhandari: Let us not argue on this. You ask your second question.

Shravan Shah: Yes, sir. What's our clarification on the MC A investigation that is on under section 210?

Ashok Bhandari: It is a routine inquiry. They have asked for information; the information has been shared. Now, they have not come up with any report. So, what do I do?

Shravan Shah: Okay, no issue, sir. Sir, road rail mix for this quarter and fuel mix for this quarter?

Ashok Bhandari: Mr. Jajoo will give you.

Subhash Jajoo: Road-rail is 88% and 12%.

Shravan Shah: And fuel mix, petcoke and coal?

Subhash Jajoo: It's 76% petcoke, 6% coal, and balance is alternative fuels.

Shravan Shah: And capex till now how much we have done for FY?

Subhash Jajoo: Till now, we have done around INR1500 crores. And another INR400-INR500 crores is to be done in this quarter.

Moderator: May we request that you return to the question queue for a follow-up question. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. Just first question on the strategy - pricing versus utilization. You've added capacity in North and South in the past few qu arters. How do you look at an ideal utilization given these capacities have been added, but overall volume increa se is not there? So, is there an ideal utilization you look at when starting an a sset to optimize the operating leverage, fixed costs there?

Ashok Bhandari: Please appreciate that I had always been maintaining that demand is not in the hand of any cement manufacturer. Demand emanates from overall growth within the economy. We are not

happy with our current capacity utilization. We are taking steps to correct it. We have corrected it largely to some extent in January.
I have also pointed out that we are concentrating on setting up more and more RMC plants, which should give me a fillip in capacity utilization. But at this point of time,

especially in this quarter, because in this quarter the demand may be abnormally high due to pull from the central agencies, we may better answer this question in the first quarter of FY '26-'27.
Satyadeep Jain: Sure. Sir, in that context, the focus on utilization, how do we look at the 80 million ton? Would you rather wait to improve utilization? And what's the progress on Jaisalmer?
Ashok Bhandari: Generally, your thinking is correct, that we ar e not announcing specific sites and specific plants only because we want the capacit y utilization to increase. I had hinted that 80 million tons by FY '29 may get deferred or may culminate is completely dependent on how the demand pans out in FY '26-'27. So, this is a question for which I don't have a ready answer.
I would like to expand. Please understand that Shree Cement has increased its capacity 110 times from 1985. Means in last 40 years, we have gone 110 times in capacity. So, our growth has not been lagging. Our CAGR for growth is 12.5% plus. And we expect to do it better. But then you must set up capacity not for idle capital but for productive capital, which is a function of demand.
If demand doesn't have the necessary leverage, wh at is the point in settin g up capacity and keep on operating at 56%, 60%, or 62%? Ideally, we should reach 70% kind of a capacity utilization.
Now, whether it takes place in one year or in one and a half years, time can only tell.
Satyadeep Jain: Okay, perfect. Thank you, sir, so much.
Moderator: Thank you. The ne xt question is from the line of Siddha rth Mahortra from Kotak Securities.
Please go ahead.
Siddharth Mahortra: Thank you, sir, for the opportunity. Sorry if I missed this number. Sir, what is the capex we are expecting for say 2027?
Ashok Bhandari: Look, my major focus is going to be 26 RMC plants, 26 or 30. Per RMC plant it costs about INR5 crores. So, 150 crores visibility I have. Balance is completely dependent on how I try to attain. Like March '26, we will be completing Kodla plant. We have spent about INR2000 crores of capex in this financial year.
Next financial year, I'm giving you a INR150 crores capex. I'm also working on railway sidings, which should be about how many crores?
KK Jain: About INR150 crores to INR250 crores on railway siding.
Ashok Bhandari: About INR200 crores to INR250 crores on rail way siding. So, INR400 to INR500 crores of capex visibility is clearly there. Balance visibility I'll be able to give you once I start planning my further capacity addition. So, you will have to give me one more quar ter to give you more clarity on this.

However, you are may be fully aware that we are completely net debt free and we have about INR6000 crores of free cash sitting in our balance sheet. So, we are not worried about the quantum of capex we need to spend. We would like to be watchful of the demand and the potential capacity utilization.
Siddharth Mahortra: Understood, sir. So, essentially that means we ar e planning to put at least two railway sidings, approximately INR150 crores to INR200 crores per siding, as well as the RMC plants. INR500 crores, we have clarity and maybe some additional capex basis whatever your capacity schedule sort of decides. Is that correct?
Ashok Bhandari: Exactly. Which I'll be able to tell you either in next con-call or in the June con-call. I don't know.
You will have to give us time.
Siddharth Mahortra: Okay. Second sir, could you sort of quantify what sort of industry growth was prevalent in 3Q for the industry? Some ballpark number?
Ashok Bhandari: Q3, you see, it is not comparable. I had a differen t strategy of operating my plants. The industry had a different strategy. So they are not apple-to-apple comparison. I was concentrating more on value, less on volume. So obviously my growth was lower than the industry. If you want we can share those numbers.
Those num

bers will be available el sewhere also. But you can write a mail either to Mr. Subhash Jajoo or to me and we will give you the reply. We have not grown to our fullest potential, by design. Now we will see how it moves.
Siddharth Mahortra: Got it sir. Sir can I just please get the power mi x split sir if possible? It's 34 megawatt was the total green power mix. There should also be additional captive power. So could you just lay out what are the individual components? Say solar, WHRS?
Ashok Bhandari: Wait a minute. Mr. Jajoo will give you exact power plant capacities of various kinds.
Subhash Jajoo: See our total power capacity is currently 1137 megawatt, out of which 503 is the thermal power capacity and balance is all green. WHR is 265 megawatt, Solar is 314 and Wind is 56. So 634 megawatt of green capacity,

503 megawatt of thermal, total 1137.
Siddharth Mahortra: Understood sir. Just one last question sir if I co uld squeeze in. Sir a couple of your peers have sort of sounded out, that they see a very interesting and exciting opportunity in UAE to either sort of increase their stake in subsidiaries there or expand their capacities there in additional grinding units. So sir, given the fact that we already have a long standing exposure to that geography...
Ashok Bhandari: Let me stop you here my dear friend. Do you think that if there is a profit opportunity Shree Cement will let it go a-begging? If there is potential, if there is real demand perk up, if the operations are profitable or good enough profitable, we will certainly do whatever is required to be done. We have the largest cement plant in UAE today in our control.
Siddharth Mahortra: So nothing has changed at least from our perspective in terms of the market opportunity there?

Ashok Bhandari: I would not like to comment on that as yet. I'll comment in March.
Siddharth Mahortra: Understood sir. Thanks a lot for your time sir.
Moderator: The next question is from the line of Tushar Chaudhari from Prabhudas Lilladher Private Limited. Please go ahead.
Tushar Chaudhari: Good evening sir.
Ashok Bhandari: Good evening. First of all, please do me a favor. If you meet Amisha Ben tomorrow please give my regards to her.
Tushar Chaudhari: Sure sir. Sir just wanted to know this employee cost is little bit higher this quarter. Is it because of Baloda Bazar?
Ashok Bhandari: Read Note number 3 of the result.
Tushar Chaudhari: Okay I missed that then. So volume actually I wanted to know?
Ashok Bhandari: Listen. The new labour code has made me provide for all back liabilities which is amounting to INR56 crores. We do not show any expense as an exceptional expense, because it is all in routine course of business. So we have additionally provided INR56 crores as required by the law and we have disclosed it by way of a note in Note number 3. This is all employee cost. Now what is the second question?
Tushar Chaudhari: Volume 2% growth is written. Last year it was 8.77%.
Ashok Bhandari: So last year what had happened my dear friend? Last year what was my realization? This year what is my realization? I gave this number.
Tushar Chaudhari: I have only blended realization?
Ashok Bhandari: December '24 my realization was INR 4554. And December '25 my realization is INR 4652. So you sell to lose money or you sell to make money? We have deliberately constrained our volumes to decrease the delta between other selling price and my selling price.
Tushar Chaudhari: Understood that.
Ashok Bhandari: We have reduced it by 50%. Now it is fine. Now we will see what to do.
Tushar Chaudhari: I understood that sir. You had explained it pretty well earlier. 2% volume growth, is it including clinker?
Ashok Bhandari: That I don't remember it off hand.
Tushar Chaudhari: Because press release is saying 2% volume growth?
Ashok Bhandari: I will get back to you. You send a mail to

Mr. Jajoo and Mr. Jajoo will get back to you with exact numbers.

Tushar Chaudhari: Sure sir. Thanks.
Moderator: Thank you. The next question is from the line of Navin Sahadeo. Please go ahead.
Navin Sahadeo: Yeah, good evening sir. Am I audible?
Ashok Bhandari: How can you not be audible? You are the host man.
Navin Sahadeo: Thank you sir. So my question was on this value versus volume strategy in the context of market share as well as industry superior profitability. Li ke past four quarters as you mentioned in your opening comments, since October '24, the strategy of value over volume was clearly I think rewarding us in terms of significantly higher EBITDA per ton or margins versus the peers. In this quarter it is a bit of a dampener and also of course the volumes are also like, some maybe if I may say some loss of market share as well?
Ashok Bhandari: Navin, slow down. Hear me out. There were two major changes in our sale s strategy in last one year. One was that we had made our rebate and discount policy so transparent, non-negotiable and non-discretionary that the favoured dealers were getting pissed off. So it took some time for them to realize that this is a non-negotiab le policy and now they have fallen in line.

And number two is that end November we have inducted a new President Marketing and he has shown good results in last one month, one and a half month. So I expect that the things should be better in coming times. Now of course I can say anything. I cannot but be bullish on cement.
So I will keep on talking bullish sentiment on cement. But please understand that demand is not in my hand. If demand is there you will not find us wanting.
Navin Sahadeo: Helpful. Thank you so much. My second question was on realizations. So in, I think in Q3 we have sequentially, I think, realization drop is about four odd percent?
Ashok Bhandari: All of you are saying this. Unfortunately I don't have this number. But since all of you are saying it maybe this is correct. Maybe there was a drop in realization or whatever. But you ask me a pointed question or you come to Calcutta. Come one day. I will give you good tea. We have nice tea. I will give you good lunch also if you want. And we will discuss this threadbare.
Navin Sahadeo: Right sir. So then I'll have the discussion over tea. Thank you so much.
Ashok Bhandari: It is better. By sitting face to face we talk more freely and with all the data.
Navin Sahadeo: Sure sir. Thank you.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Yes sir. I just wanted to clarify one number. Did you say fourth quarter run rate to be similar as December and 9 to 9 and a half million tons volume in fourth quarter?
Ashok Bhandari: Yes, I did.
Indrajit Agarwal: So that would imply more or less flattish Y- o-Y number. Is that understanding correct?

Ashok Bhandari: Maybe 1% or 2% growth I don't know. I have not done the maths.
Indrajit Agarwal: Sure. Thank you so much.
Moderator: The next question is from the line of Harsh Mittal from Emkay Global. Please go ahead.
Harsh Mittal: Sir just one question. So given that our cash le vels as on December ending is INR6000 crores, and we are expecting an healthy cash flows in the coming years with a limited capex. So sir, can we expect a material upside in the dividend outlay going ahead?
Ashok Bhandari: Let us understand, material is a relative definition. So let me assure you that yes the dividend payout will be better. It is not my prerogative to say how much better, how much not better, that is up to the wisdom of the board. But I expect the dividend payout for FY ‘25-‘26 to be better than FY ‘24-‘25. And it is not a differential of INR5 rupees kind of a thing. We may give you a better one.
Harsh Mittal: Thank yo

u sir.
Moderator: The next question is from the line of Lakshm inarayanan from Tunga Investments. Please go ahead.
Lakshminarayanan: Yes, thank you sir. Sir some of the return metrics for the comp any, we see that it's currently trending downward. Predominantly because of lower profitability from incremental capacity.
Ashok Bhandari: No, my friend. Sorry. Please let me correct you. The profitability absolute number has gone down because we had by choice taken a value over volume path. Please understand. We have achieved the convergence vis-a-vis say UltraTech on per bag prices. So it is not that, the capacity utilization has substantially affected my profitabi lity. It was my design th at it had lower volumes to better my prices which had affected the profitability.
Lakshminarayanan: Got it. Sir my question is slightly different. I mean, I understand your point. So now our ROCE or ROEs are trending downwards over a period of time. Given this trend, what is the primary metric the company prefers to evaluate its long term performance?
Ashok Bhandari: One second my dear friend. Let us understand. If I keep on making profit, my capital employed keeps on going up. If the additional profit, I am not distributing or I am not utilizing for capex then it is giving me a 4% to 5% revenue return. So if you combine everything you find that, the ROCE or the ROE is going down.
On the other hand, I am committed to add on cap acity to 80 million tons. So what do I do? I have to bear the pain of rather inefficient cash utilization in the form of treasury, till I formalize my plan to have major capex. For the first time in my career, I think, I have spoken of a INR400 to INR500 crores capex visibility in next financial year.
We had never done that. But then the demand scenario is such that I cannot give you a firm commitment on when my capacities will come up. As soon as the capacities come up the the return on cash of 4% will vertically jack up th e ROCE or ROE. So you will have to bear with me.

Lakshminarayanan: Sure sir. Thank you so much.
Moderator: The next question is from the line of Uttam Srimal from Axis Securities Limited. Please go ahead.
Uttam Srimal: Yes, good evening sir. Thanks for the opportunity. Sir my question pertains to premium cement. So we have made a very good progress from 15% last year to 22%. So where do we see this number going forward in next year?
Ashok Bhandari: Have you read any cement research report which has talked of anything else but premium cement? So if everybody is going to make premium cement, then where is the premium? The premium cement becomes the normal cement. Number one.
Number two, the brand belongs to the company. The classification of brand also belongs to the company. There is no standard which defines premium cement. So it is your ten brands, it is your pen, and it is your pencil. And whatever you want to put, you put as a premium brand and sell it. Because there is no yardstick to define what a premium cement is.
So please understand, we are at about 21%-22%. We have defined our premium brands and we are sticking to it. We are not changing the mix of my total cement as per my convenience. And at the moment with the current demand scenario we are at 21%-22%, and we expect to maintain the same run rate for this financial year . Next year what will happen let us see.
Uttam Srimal: And sir, in next year what would be our depreciation cost?
Ashok Bhandari: Depreciation should be about INR1,600 crores.
Uttam Srimal: You said INR1,600 crores?
Ashok Bhandari: Yes, I said INR1,600 crores.
Uttam Srimal: Okay sir. Thanks a lot. That's all from my side.
Ashok Bhandari: INR1600 and INR1700 please don't hold me to th e number. But it will not vary as it had been.
Uttam Srimal: Okay sir. That's all from my side. Thanks a lot.
Moderator: The next question is from the line of Rajesh

Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Hi sir, just a follow up question. On the realization which you explained that you have bridged the gap with UltraTech, can I believe that is visible in numbers. When I compare yours with the like-to-like numbers of UltraTech, in last one year while your competitor has shown a INR50 rupees decline, yours realization has gone up by INR100 rupees.
And similarly is the trend in for last two years, there is a sharp swing upward on your number.
However, if I look at the margin front, your margins have been more or less flattish year-on-year, while the competitor had seen a margin upswing, both on a year on year basis on a two year basis. So is it like you have maintained your pricing?

Ashok Bhandari: Ravi, one second. Fixed cost recovery is completely dependent on capacity utilization, that you appreciate?
Rajesh Ravi: Yes.
Ashok Bhandari: To catch up on the value terms, I had sacrificed volumes. So my fixed cost recovery was less. So my margins dropped. Now if I play intelligently, my fixed co st recovery will improve and my margins will also improve.
Rajesh Ravi: Right.
Ashok Bhandari: This is the first time in the history of this co mpany, that I have reported a more or less equal EBITDA per ton net of labour code expenses vis-a-vis UltraTech. Otherwise we had always maintained a INR100 to INR150 delta plus side. And I expect to catch that up.
Rajesh Ravi: Great, that's happening. And sir just on the adjusted for the labour cost still your employee cost is higher by INR20 crores quarter-on-quarter versus INR250 odd crores.
Ashok Bhandari: My dear friend, what happens if I increase my capacity?
Rajesh Ravi: Okay. This is with regard to the new plant ramp up?
Ashok Bhandari: Exactly.
Rajesh Ravi: Okay. So we should factor in this number as a recurring number and accordingly. And sir lastly just on the UAE business could you make it a practice to in the press release only to share the volumetric and the numbers in AED. Would that be more useful for us?
Ashok Bhandari: I will certainly give a thought to this. Give me one quarter, let us see what I can do in next quarter. If I can I will certainly do that.
Rajesh Ravi: And sir lastly could you repeat the capex number for full year and next year what are you targeting?
Ashok Bhandari: This year I'll be doing INR2,000 crores.
Rajesh Ravi: Okay.
Ashok Bhandari: I've already completed INR1,500. I will be doing about INR500 crores in this quarter. Means January-March.
Rajesh Ravi: Okay. And next year?

Ashok Bhandari: One second. Next year I have not firmed up my plan on further cement capacity addition. We have frozen the plan to set up about 30 RMC plants. One RMC plant costs roughly INR5 to INR6 crores. So you take about INR200 crores for RMC, INR200 crores for my railway sidings, and INR50 to INR100 -crores for normal routine capex. So I am giving a guidance of next year capex at INR500 crores.

Rajesh Ravi: Okay.
Ashok Bhandari: But I am putting a caveat that, this is only because I am not firmed up my plan of adding up further capacity. If that gets fructified the numb er will substantially change. But you will have to wait for that.
Rajesh Ravi: And so there is no capacities which will come on stream next financial year, at least because no concrete work is going on as per you know...
Ashok Bhandari: Yes. I don't think we will go beyond 72 million ton which we will achieve by March '26.
Rajesh Ravi: Okay. Great sir. That's all from my end. Thank you.
Moderator: Thank you. The next question is from the line of Navin Sahadeo from IC ICI Securities. Please go ahead.
Navin Sahadeo: Yes. I'll take the last question sir. So in the like, you mentioned that we have narrowed the price gap versus the industry leader from I

NR30 to INR15. So what is then the next milestone? Is it coming at par or is it like, ho w should one benchmark it at that point of time onward then we again start chasing volume?
Ashok Bhandari: Navin, hear me out. I don't have the capacity or capability or even the enthusiasm of saying I will sell at par with UltraTech. If I say that, you will not believe it. But on the other hand, I with full confidence I can say, that I'll maintain th e delta on EBITDA per ton basis, vis-a-vis the competition, which I had been doing except in this quarter. I had been doing it for 40 years that you know.
Navin Sahadeo: Of course.
Ashok Bhandari: This quarter we lost out on volumes it's all right. It was a calculated move.
Navin Sahadeo: Fair point sir. Sir on the staff cost I just wa nted to know what would be the normalized cost?
Ashok Bhandari: You ask this to Mr . Jajoo. I don't know.
Navin Sahadeo: Okay. Last question to you sir. At a broader industry level, do you think non-trade share or non-trade exposure is rising because everybody is chasing those bulk volumes, RMC units? Is that a fair thing to observe?
Ashok Bhandari: No. As I told you my dear friend this quarter becomes very typical. Non-trade is basically large purchases by infrastructure projects. This quarter the government has to finish the budget allocated in FY ‘25-‘26. So this quarter you may have a trend where non-trade may be more. But I don't think that is a sustainable trend. We will go back to 75-25 kind of a level. We are today at 65-35.
Navin Sahadeo: Understood. Very clear sir. Thank you so much.
Ashok Bhandari: Listen.

Navin Sahadeo: Yeah.
Ashok Bhandari: Is your last question finished?
Navin Sahadeo: Yes, yes. I'm done. There are no more questions.
Ashok Bhandari: So why are you always the last one to shaft me?
Navin Sahadeo: Over tea we will discuss this. Thank you. Nessia you can go ahead and conclude the call please.
Moderator: On behalf of ICICI Securities Limited that conc ludes this conference. Thank you for joining us and you may now disconnect your lines.